

THE FINANCE ACT, 2021

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Union of India - Act

THE FINANCE ACT, 2021

UNION OF INDIA

India

THE FINANCE ACT, 2021

Act 13 of 2021

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An Act to give effect to the financial proposals of the Central Government for the financial year 2021-2022.

BE it enacted by Parliament in the Seventy-second Year of the Republic of India as follows:??

Chapter I

PRELIMINARY

1.

Short title and commencement.

(1)

This. Act may be called the Finance Act, 2021.

(2)

Save as otherwise provided in this Act,?

(a)

sections 2 to 88 shall come into force on the 1st day of April, 2021;

(b)

sections 108 to 123 shall come into force on such date as the 10 Central Government may, by notification in the Official Gazette, appoint.

Chapter II

RATES OF INCOME-TAX

2.

Income-tax.

(1)

Subject to the provisions of sub-sections (2) and (3), for the assessment year commencing on the 1st day of April, 2021, income-tax shall be charged at the rates specified in Part I of the First Schedule and such tax shall be increased by a surcharge, for the purposes of the Union, calculated in each case in the manner provided therein.

(2)

In the cases to which Paragraph A of Part I of the First Schedule applies, where the assessee has, in the previous year, any net agricultural income exceeding five thousand rupees, in addition to total income, and the total income exceeds two lakh fifty thousand rupees, then,?

(a)

the net agricultural income shall be taken into account, in the manner provided in clause (b) [that is to say, as if the net agricultural income were

comprised in the total income after the first two lakh fifty thousand rupees of the total income but without being liable to tax], only for the purpose of charging income-tax in respect of the total income; and

(b)

the income-tax chargeable shall be calculated as follows:?

(i)

the total income and the net agricultural income shall be aggregated and the amount of income-tax shall be determined in respect of the aggregate income at

the rates specified in the said Paragraph A, as if such aggregate income were the total income;

(ii)

the net agricultural income shall be increased by a sum of two lakh fifty thousand rupees, and the amount of income-tax shall be determined in respect of the net agricultural income as so increased at the rates specified in the said Paragraph A, as if the net agricultural income as so increased were the total income;

(iii)

the amount of income-tax determined in accordance with sub-clause (i) shall be reduced by the amount of income-tax determined in accordance with sub-clause (ii) and the sum so arrived at shall be the income-tax in respect of the total income:

Provided that in the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year, referred to in item (II) of Paragraph A of Part I of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "three lakh rupees" had been substituted:

Provided further that in the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year, referred to in item (III) of Paragraph A of Part I of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "five lakh rupees" had been substituted.

(3)

In cases to which the provisions of Chapter XII or Chapter XII-A or section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the Income-tax Act, 1961 (hereinafter referred to as the Income-tax Act) apply, the tax chargeable shall be determined as provided in that Chapter or that section, and with reference to the rates imposed by sub-section (1) or the rates as specified in that Chapter or section, as the case may be:

Provided that the amount of income-tax computed in accordance with the provisions of section 111A or section 112 or section 112A of the Income-tax Act shall be increased by a surcharge, for the purposes of the Union, as provided in

Paragraph A, B, C, D or E, as the case may be, of Part I of the First Schedule, except in case of a domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act or in case of cooperative society whose income is chargeable to tax under section 115BAD of the Income-tax Act:

Provided further that in respect of any income chargeable to tax under section 115A, 115AB, 115AC, 115ACA, 115AD, 115B, 115BA, 115BB, 115BBA, 115BBC, 115BBD, 115BBF, 115BBG, 115E, 115JB or 115JC of the Income-tax Act, the amount of income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated,?

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not having any income under section 115AD of the Income-tax Act,?

(i)

having a total income exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(i)

having a total income exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(ii)

having a total income exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(iii)

having a total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(iv)

having a total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of

(ii)

having a total income exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(iii)

having a total income exceeding two crore rupees, but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax; and

(iv)

having a total income exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax;

(aa)

in the case of individual or every association of person or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, having income under section 115AD of the Income-tax Act,??

the Income-tax Act] exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax; and

(v)

having a total income [including the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeding two crore rupees, but is not covered in sub-clauses (iii) and (iv), at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income chargeable under clause (b) of sub-section (1) of section 115AD of the Income-tax Act, the rate of surcharge on the income-tax calculated on that part of income shall not exceed fifteen per cent.;

(b)

in the case of every co-operative society except a co-operative society whose income is chargeable to tax under section 115BAD of the Income-tax Act or

firm or local authority, at the rate of twelve per cent. of such income-tax, where the total income exceeds one crore

rupees;

(c)

in the case of every domestic company except such domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act,?

(i)

at the rate of seven per cent. of such income-tax, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such income-tax, where the total income exceeds ten crore rupees;

(d)

in the case of every company, other than a domestic company,?

(i)

at the rate of two per cent. of such incometax, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such incometax, where the total income exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (a) and (aa) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(i)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(ii)

one crore rupees but not exceed two crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(iii)

two crore rupees but not exceed five crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(iv)

five crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees:

Provided also that in the case of persons mentioned in (b) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds one crore rupees, the total amount payable as income-tax on such income and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds one crore rupees but does not exceed ten crore rupees, the total amount payable as income-tax on such income and surcharge thereon, shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds ten crore rupees, the total amount payable as income-tax on such income and surcharge thereon, shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in respect of any income chargeable to tax under clause (i) of sub-section (1) of section 115BBE of the Income-tax Act, the amount of income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twenty-five per cent. of such income-tax:

Provided also that in case of every domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act, the income-tax computed under this sub-section shall be increased by a

surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such income-tax:

Provided also that in case of every individual or Hindu undivided family, whose income is chargeable to tax under section 115BAC of the Income-tax Act, the income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A of Part I of the First Schedule:

Provided also that in case of every resident co-operative society, whose income is chargeable to tax under section 115BAD of the Income-tax Act, the income tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such advance tax?.

(4)

In cases in which tax has to be charged and paid under sub-section (2A) of section 92CE or section 115QA or section 115TA or section 115TD of the Income-tax Act, the tax shall be charged and paid at the rates as specified in those sections and shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twelve per cent. of such tax.

(5)

In cases in which tax has to be deducted under sections 193, 194A, 194B, 194BB, 194D, 194LBA, 194LBB, 194LBC and 195 of the Income-tax Act, at the rates in force, the deductions shall be made at the rates specified in Part II of the First Schedule and shall be increased by a surcharge, for the purposes of the Union, calculated in cases wherever prescribed, in the manner provided therein.

(6)

In cases in which tax has to be deducted under sections 192A, 194, 194C, 194DA, 194E, 194EE, 194F, 194G, 194H, 194-I, 194-IA, 194-IB, 194-IC, 194J, 194LA, 194LB, 194LBA, 194LBB, 194LBC, 194LC, 194LD, 194K, 194M, 194N, 194-O, 194Q, 196A, 196B, 196C and 196D of the Income-tax Act, the deductions shall be made at the rates specified in those sections and shall be increased by a surcharge, for the purposes of the Union,?

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident except in case of deduction on income by way of dividend under section 196D of the Income-tax Act, calculated,?

(i)

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

(i)

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds five crore rupees;

(aa)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, in case of deduction on income by way of dividend under section 196D of that Act, calculated,?

(b)

in the case of every co-operative society or firm, being a non-resident, calculated at the rate of twelve per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(c)

in the case of every company, other than a domestic company, calculated,?

(i)

at the rate of two per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds ten crore rupees.

(7)

In cases in which tax has to be collected under the proviso to section 194B of the Income-tax Act, the collection shall be made at the rates specified in Part II of the First Schedule, and shall be increased by a surcharge, for the purposes of the Union, calculated, in cases wherever prescribed, in the manner provided therein.

(8)

In cases in which tax has to be collected under section 206C of the Income-tax Act, the collection shall be made at the rates specified in that section and shall be increased by a surcharge, for the purposes of the Union,?

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, calculated,?

(i)

at the rate of ten per cent. of such tax, where the amount or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the amount or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds five crore rupees.

(b)

in the case of every co-operative society or firm, being a non-resident, calculated at the rate of twelve per cent. of such tax, where the amount or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds one crore rupees;

(c)

in the case of every company, other than a domestic company, calculated,?

(i)

at the rate of two per cent. of such tax, where the amount or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such tax, where the amount or the aggregate of such amounts collected on likely to be collected and subject to the collection exceeds ten crore rupees.

(9)

Subject to the provisions of sub-section (10), in cases in which income-tax has to be charged under sub-section (4) of section 172 or sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the Income-tax Act or deducted from, or paid on, income chargeable under the head ?Salaries? under section 192 of the said Act or deducted under section 194P of the said Act or in which the ?advance tax? payable under Chapter XVII-C of

the said Act has to be computed at the rate or rates in force, such income-tax or, as the case may be, ?advance tax? shall be charged, deducted or computed at the rate or rates specified in Part III of the First Schedule and such tax shall be increased by a surcharge, for the purposes of the Union, calculated in such cases and in such manner as provided therein:

Provided that in cases to which the provisions of Chapter XII or Chapter XII-A or section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the Income-tax Act apply, ?advance tax? shall be computed with reference to the rates imposed by this sub-section or the rates as specified in that Chapter or section, as the case may be:

Provided further that the amount of ?advance tax? computed in accordance with the provisions of section 111A or section 112 or 112A of the Income-tax Act shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A, B, C, D or E, as the case may be, of Part III of the First Schedule except in case of a domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act or in case of a resident cooperative society whose income is chargeable to tax under section 115BAD of the Income-tax Act:

Provided also that in respect of any income chargeable to tax under section 115A, 115AB, 115AC, 115ACA, 115AD, 115B, 115BA, 115BB, 115BBA, 115BBC, 115BBD, 115BBF, 115BBG, 115E, 115JB or 115JC of the Income-tax Act, ?advance tax? computed under the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated,?

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not having any income under section 115AD of the Income-tax Act,?

(i)

at the rate of ten per cent. of such ?advance tax?, where the total income exceeds fifty lakh rupees but does not exceed one crore rupees;

(i)

at the rate of ten per cent. of such ?advance tax?, where the total income exceeds fifty lakh rupees, but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such ?advance tax?, where the total income exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such ?advance tax?, where the total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such ?advance tax?, where the total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds five crore rupees;

(v)

at the rate of fifteen per cent. of such ?advance tax?, where the total income [including the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds two crore rupees but is not covered in sub-clauses (iii) and (iv):

(ii)

at the rate of fifteen per cent. of such ?advance tax?, where the total income exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such ?advance tax?, where the total income exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such ?advance tax?, where the total income exceeds five crore rupees;

(aa)

in the case of individual or every association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in subclause (vii) of clause (31) of section 2 of the Income-tax Act, having income under section 115AD of the Income-tax Act,?

Provided that in case where the total income includes any income by way of dividend or income chargeable under clause (b) of sub-section (1) of section 115AD of the Income-tax Act, the rate of surcharge on the advance tax calculated on that part of income shall not exceed fifteen per cent.;

(b)

in the case of every co-operative society except such co-operative society whose income is chargeable to tax under section 115BAD of the Income-tax Act or firm or local authority at the rate of twelve per cent. of such ?advance tax?, where the total income exceeds one crore rupees;

(c)

in the case of every domestic company except such domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act,?

(i)

at the rate of seven per cent. of such ?advance tax?, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such ?advance tax?, where the total income exceeds ten crore rupees;

(d)

in the case of every company, other than a domestic company,?

(i)

at the rate of two per cent. of such ?advance tax?, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such ?advance tax?, where the total income exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (a) and (aa) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(a)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon shall not exceed the total amount payable as ?advance tax? on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon shall not exceed the total amount payable as ?advance tax? on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees but does not exceed five crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon shall not exceed the total amount payable as ?advance tax? on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(d)

five crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon shall not exceed the total amount payable as ?advance tax? on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees:

Provided also that in the case of persons mentioned in (b) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds one crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon shall not exceed the total amount payable as ?advance tax? on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds one crore rupees but does not exceed ten crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon, shall not exceed the total amount payable as ?advance tax? on a total income of one crore rupees by more than the amount of income that exceeds one crore

rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds ten crore rupees, the total amount payable as ?advance tax? on such income and surcharge thereon, shall not exceed the total amount payable as ?advance tax? and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in respect of any income chargeable to tax under clause (i) of sub-section (1) of section 115BBE of the Income-tax Act, the ?advance tax? computed under the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twenty-five per cent. of such ?advance tax?;

Provided also that in case of every domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act, the advance tax computed under the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such ?advance tax?:

Provided also that in case of every individual or Hindu undivided family, whose income is chargeable to tax under section 115BAC of the Income-tax Act, the advance tax computed under the first proviso shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A of Part III of the First Schedule.

Provided also that in case of every resident co-operative society whose income is chargeable to tax under section 115BAD of the Income-tax Act, the advance tax computed under the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such ?advance tax?:

(10)

In cases to which Paragraph A of Part III of the First Schedule applies, where the assessee has, in the previous year or, if by virtue of any provision of the Income-tax Act, income-tax is to be charged in respect of the income of a period other than the previous year, in such other period, any net agricultural income exceeding five thousand rupees, in addition to total income and the total income exceeds two lakh fifty thousand rupees, then, in charging income-tax under sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the said Act or in computing the ?advance tax? payable under Chapter XVII-C of the said Act, at the rate or rates in force,?

(a)

the net agricultural income shall be taken into account, in the manner provided in clause (b) [that is to say, as if the net agricultural income were comprised in the total income after the first two lakh fifty thousand rupees of the total income but without being liable to tax], only for the purpose of charging or computing such income-tax or, as the case may be, ?advance tax? in respect of the total income; and

(b)

such income-tax or, as the case may be, ?advance tax? shall be so charged or computed as follows:?

(i)

the total income and the net agricultural income shall be aggregated and the amount of income-tax or ?advance tax? shall be determined in respect of the aggregate income at the rates specified in the said Paragraph A, as if such aggregate income were the total income;

(ii)

the net agricultural income shall be increased by a sum of two lakh fifty thousand rupees, and the amount of income-tax or ?advance tax? shall be determined in respect of the net agricultural income as so increased at the rates specified in the said Paragraph A, as if the net agricultural income were the total income;

(iii)

the amount of income-tax or ?advance tax? determined in accordance with sub-clause (i) shall be reduced by the amount of income-tax or, as the case may be, ?advance tax? determined in accordance with sub-clause (ii) and the sum so arrived at shall be the income-tax or, as the case may be, ?advance tax? in respect of the total income:

Provided that in the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year, referred to in item (II) of Paragraph A of Part III of the First Schedule, the provisions of this sub-section shall have effect as if for the words ?two lakh fifty thousand rupees?, the words ?three lakh rupees? had been substituted:

Provided further that in the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year, referred to in item (III) of Paragraph A of Part III of the First Schedule, the provisions of this sub-section shall have effect as if for the words ?two lakh fifty thousand rupees?, the words ?five lakh rupees? had been substituted:

Provided also that the amount of income-tax or ?advance tax? so arrived at, shall be increased by a surcharge for the purposes of the Union, calculated in each case, in the manner provided therein.

(11)

The amount of income-tax as specified in sub-sections (1) to (3) and as increased by the applicable surcharge, for the purposes of the Union, calculated in the manner provided therein, shall be further increased by an additional surcharge, for the purposes of the Union, to be called the ?Health and Education Cess on income-tax?, calculated at the rate of four per cent. of such income-tax and surcharge so as to fulfil the commitment of the Government to provide and finance quality health services and universalised quality basic education and secondary and higher education.

(12)

The amount of income-tax as specified in sub-sections (4) to (10) and as increased by the applicable surcharge, for the purposes of the Union, calculated in the manner provided therein, shall be further increased by an additional surcharge, for the purposes of the Union, to be called the ?Health and Education Cess on income-tax?, calculated at the rate of four per cent. of such income-tax and surcharge so as to fulfil the commitment of the Government to provide and finance quality health services and universalised quality basic education and secondary and higher education:

Provided that nothing contained in this sub-section shall apply to cases in which tax is to be deducted or collected under the sections of the Income-tax Act mentioned in sub-sections (5), (6), (7) and (8), if the income subjected to deduction of tax at source or collection of tax at source is paid to a domestic company and any other person who is resident in India.

(13)

For the purposes of this section and the First Schedule,?

(a)

?domestic company? means an Indian company or any other company which, in respect of its income liable to income-tax under the Income-tax Act, for the assessment year commencing on the 1st day of April, 2018, has made the prescribed arrangements for the declaration and payment within India of the dividends (including dividends on preference shares) payable out of such income;

(b)

?insurance commission? means any remuneration or reward, whether by way of commission or otherwise, for soliciting or procuring insurance business (including business relating to the continuance, renewal or revival of policies of insurance);

(c)

?net agricultural income? in relation to a person, means the total amount of agricultural income, from whatever source derived, of that person computed in accordance with the rules contained in Part IV of the First Schedule;

(d)

all other words and expressions used in this section and the First Schedule but not defined in this sub-section and defined in the Income-tax Act shall have the meanings, respectively, assigned to them in that Act.

Chapter III

DIRECT TAXES

Income-tax

3.

Amendment of section 2.

In section 2 of the Income-tax Act,??

(i)

in clause (11), in sub-clause (b), after the words ?or commercial rights of similar nature,?, the words ?not being goodwill of a business or profession,? shall be inserted;

(ii)

in clause (14), after sub-clause (b), the following subclause shall be inserted, namely:??

?(c) any unit linked insurance policy to which exemption under clause (10D) of section 10 does not apply on account of the applicability of the fourth and fifth proviso thereof;?

(iii)

in clause (19AA), after Explanation 5, the following Explanation shall be inserted, namely:??

?Explanation 6.?? For the purposes of this clause, the reconstruction or splitting up of a public sector company into separate companies shall be deemed to be a demerger, if such reconstruction or splitting up has been made to transfer

any asset of the demerged company to the resulting company and the resulting company??

(i)

is a public sector company on the appointed day indicated in such scheme, as may be approved by the Central Government or any other body authorised under the provisions of the Companies Act, 2013 or any other law for the time being in force governing such public sector companies in this behalf; and

(ii)

fulfils such other conditions as may be notified by the Central Government in the Official Gazette in this behalf;?

(iv)

clause (29A) shall be renumbered as clause (29AA) thereof and before clause (29AA) as so renumbered, the following clause shall be inserted, namely:??

?(29A) ?liable to tax?, in relation to a person, means that there is a liability of tax on such person under any law for the time being in force in any country, and shall include a case where subsequent to imposition of tax liability, an exemption has been provided;?;

(v)

in clause (42C),--

(I)

for the words ?undertaking as a result of the sale?, the words ?undertaking, by any means,? shall be substituted;

(II)

after Explanation 2, the following Explanation shall be inserted, namely:??

?Explanation 3.??For the purposes of this clause, ?transfer? shall have the meaning assigned to it in clause (47);?

(vi)

in clause (48), with effect from the 1st day of April, 2022,??

(I)

in sub-clause (a), after the words ?infrastructure capital fund or?, the words ?infrastructure debt fund or? shall be inserted;

(II)

in sub-clause (b), after the words ?infrastructure capital fund or?, the words ?infrastructure debt fund or? shall be inserted;

(III)

the Explanation shall be numbered as Explanation 1 thereof and after Explanation 1 as so numbered, the following Explanation shall be inserted, namely:??

?Explanation 2.?For the purposes of this clause, the expression ?infrastructure debt fund? shall mean the infrastructure debt fund notified by the Central Government in the Official Gazette under clause (47) of section 10.?

4.

Amendment of section 9A.

In section 9A of the Income-tax Act, after sub-section (8), the following sub-section shall be inserted with effect from the 1st day of April, 2022, namely:??

?(8A) The Central Government may, by notification in the Official Gazette, specify that any one or more of the conditions specified in clauses (a) to (m) of sub-section (3) or clauses (a) to (d) of sub-section (4) shall not apply or shall apply with such modifications, as may be specified in such notification, in case of an eligible investment fund and its eligible fund manager, if such fund manager is located in an International Financial Services Centre, as defined in clause (a) of the Explanation to section 80LA, and has commenced its operations on or before the 31st day of March, 2024.?

5.

Insertion of new section 9B.

After section 9A of the Income-tax Act, the following section shall be inserted namely:-

Income on receipt of capital asset or stock in trade by specified person from specified entity.

'9B.(1) Where a specified person receives during the previous year any capital asset or stock in trade or both from a specified entity in connection with the dissolution or reconstitution of such specified entity, then the specified entity shall be deemed to have transferred such capital asset or stock in trade or both, as the case may be, to the specified person in the year in which such capital asset or stock in trade or both are received by the specified person.

(2)

Any profits and gains arising from such deemed transfer of capital asset or stock in trade or both, as the case may be, by the specified entity shall be-

- (i) deemed to be the income of such specified entity of the previous year in which such capital asset or stock in trade or both were received by the specified person; and
- (ii) chargeable to income-tax as income of such specified entity under the head "Profits and gains of business or profession" or under the head "Capital gains", in accordance with the provisions of this Act.

(3) For the purposes of this section, fair market value of the capital asset or stock in trade or both on the date of its receipt by the specified person shall be deemed to be the full value of the consideration received or accruing as a result of such deemed transfer of the capital asset or stock in trade or both by the specified entity.

(4) If any difficulty arises in giving effect to the provisions of this section and sub-section (4) of section 45, the Board may, with the approval of the Central Government, issue guidelines for the purposes of removing the difficulty.

(5) Every guideline issued by the Board under sub-section (4) shall, as soon as may be after it is issued, be laid before each House of Parliament, and shall be binding on the income-tax authorities and on the assessee.

Explanation.- For the purposes of this section,-

- (i) "reconstitution of the specified entity" means, where-
 - (a) one or more of its partners or members, as the case may be, of such specified entity ceases to be partners or members; or
 - (b) one or more new partners or members, as the case may be, are admitted in such specified entity in such circumstances that one or more of the persons who were partners or members, as the case may be, of the specified entity, before the change, continue as partner or partners or member or members after the change; or
 - (c) all the partners or members, as the case may be, of such specified entity continue with a change in their respective share or in the shares of some of them;
- (ii) "specified entity" means a firm or other association of persons or body of individuals (not being a company or a cooperative society);
- (iii) "specified person" means a person, who is a partner of a firm or member of other association of persons or body of individuals (not being a company or a cooperative society) in any previous year.'

6.

In section 10 of the Income-tax Act,

- (a) with effect from the 1st day of April, 2022.

(i) in clause (4D),-(I) after the words "attributable to units held by non-resident (not being the permanent establishment of a non-resident in India)", the words "or is attributable to the investment division of offshore banking unit, as the case may be," shall be inserted;(II) in the Explanation."

(A) after clause (a), the following clause shall be inserted, namely:-

'(aa) "investment division of offshore banking unit" means an investment division of a banking unit of a non-resident located in an International Financial Services Centre, as referred to in sub-section (IA) of section 80LA and which has commenced its operations on or before the 31st day of March, 2024';

(B)

for clause (c), the following clause shall be substituted, namely:-

(c)

"specified fund" means,-

(i)

a fund established or incorporated in India in the form of a trust or a company or a limited liability partnership or a body corporate,-

(I)

which has been granted a certificate of registration as a Category III Alternative Investment Fund and is regulated under the Securities and Exchange Board of India (Alternative Investment Fund) Regulations, 2012, made under the Securities and Exchange Board of India Act, 1992 or International Financial Services Centres Authority Act, 2019;

(II)

which is located in any International Financial Services Centre; and

(III)

of which all the units other than unit held by a sponsor or manager are held by non-residents; or

(ii)

investment division of an offshore banking unit, which has been-

(I)

granted a certificate of registration as a Category-I Foreign portfolio investor under the Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019 made under the Securities and Exchange Board of India Act, 1992 and

(II)

fulfils such conditions including maintenance of separate accounts for its investment division, as may be prescribed;;

(ii)

after clause. (4D), the following clauses shall be inserted, namely:-

"(4E) any income accrued or arisen to, or received by a non-resident as a result of transfer of non-deliverable forward contracts entered into with an offshore banking unit of an International Financial Services Centre as referred to in sub-section (IA) of section 80LA, which fulfils such conditions as may be prescribed;

(4F)

any income of a non-resident by way of royalty or interest, on account of lease of an aircraft in a previous year, paid by a unit of an International Financial Services Centre as referred to in sub-section (JA) of section 80LA, if the unit has commenced its operations on or before the 31st day of March, 2024.

Explanation.-For the purposes of this clause, "aircraft" means an aircraft or a helicopter, or an engine of an aircraft or a helicopter, or any part thereof;".

(b)

in clause (5),-

(i)

after the proviso and before the Explanation, the following proviso shall be inserted, namely:-

"Provided further that for the assessment year beginning on the 1st day of April, 2021, the value in lieu of any travel concession or assistance received by, or due to, such individual shall also be exempt under this clause subject to the fulfillment of such conditions (including the condition of incurring such amount of such expenditure within such period), as may be prescribed.";

(ii)

the Explanation shall be numbered as Explanation I thereof and after Explanation I as so numbered, the following Explanation shall be inserted, namely:-

"Explanation 2.-For the removal of doubts, it is hereby clarified that where an individual claims exemption and the exemption is allowed under the second proviso in connection with the prescribed expenditure, no exemption shall be allowed under this clause in respect of such prescribed expenditure to any other individual.";

(c)

in clause(10D),-

(i)

after the third proviso and before Explanation I, the following provisos shall be inserted, namely:-

"Provided also that nothing contained in this clause shall apply with respect to any unit linked insurance policy, issued on or after the 1st day of February, 2021, if the amount of premium payable for any of the previous year during the term of such policy exceeds two lakh and fifty thousand rupees:

Provided also that if the premium is payable, by a person, for more than one unit linked insurance policies, issued on or after the 1st day of February, 2021, the provisions of this clause shall apply only with respect to those unit linked insurance policies, where the aggregate amount of premium does not exceed the amount referred to in fourth proviso in any of the previous year during the term of any of those policies:

Provided also that the provisions of the fourth and fifth provisos shall not apply to any sum received on the death of a person:

Provided also that if any difficulty arises in giving effect to the provisions of this clause, the Board may, with the previous approval of the Central Government, issue guidelines for the purpose of removing the difficulty and every guideline issued by the Board under this proviso shall be laid before each House of Parliament, and shall be binding on the income-tax authorities and the assessee.";

(ii)

after Explanation 2, the following Explanation shall be inserted, namely:-

'Explanation 3.-For the purposes of this clause, "unit linked insurance policy" means a life insurance policy which has components of both investment and insurance and is linked to a unit as defined in clause (ee) of regulation 3 of the Insurance Regulatory and Development Authority of India (Unit Linked Insurance Products) Regulations, 2019 issued by the Insurance Regulatory and Development Authority under the Insurance Act, 1938 and the Insurance Regulatory and Development Authority Act, 1999.';

(d)

with effect from the 1st day of April, 2022,-

(i)

in clause (II), the following proviso shall be inserted, namely:-

"Provided that the provisions of this clause shall not apply to the income by way of interest accrued during the previous year in the account of a person to the extent it relates to the amount or the aggregate of amounts of contribution made by that person exceeding two lakh and fifty thousand rupees in any previous year in that fund, on or after the 1st day of April, 2021 and computed in such manner as may be prescribed;"

Provided further that if the contribution by such persons is in a fund in which there is no contribution by the employer of such person, the provisions of the first proviso shall have the effect as if for the words "two lakh and fifty thousand rupees", the words "five lakh rupees" had been substituted;

(ii)

in clause (12), the following proviso shall be inserted, namely:-

"Provided that the provisions of this clause shall not apply to the income by way of interest accrued during the previous year in the account of a 4 5 person to the extent it relates to the amount or the aggregate of amounts of contribution made by that person exceeding two lakh and fifty thousand rupees in any previous year in that fund, on or after the 1st day of April, 2021 and computed in such 50 manner as may be prescribed;"

Provided further that if the contribution by such person is in a fund in which there is no contribution by the employer of such person, the provisions of the first proviso shall have the effect as if for the words "two lakh and fifty thousand rupees", the words "five lakh rupees" had been substituted;"

(iii)

in clause (23C),-

(I)

in sub-clause (iiia), for the words "receipts of such university or educational institution do not exceed the amount of annual receipts as may be prescribed", the words "receipts of the person from such university or universities or educational institution or educational institutions do not exceed five crore rupees" shall be substituted;

(II)

in sub-clause (iiiae),-

(A)

for the words "receipts of such hospital or institution do not exceed the amount of annual receipts as may be prescribed; or", the words "receipts of the person from such hospital or hospitals or institution or institutions do not exceed five crore

rupees." shall be substituted;

(B)

after sub-clause (iiiae), the following

Explanation shall be inserted, namely:-

"Explanation 2.-For the purposes of subo clauses (iiiad) and (iiiae), it is hereby clarified that if the person has receipts from university or universities or educational institution or institutions as referred to in sub-clause (iiiad), as well as from hospital or hospitals or institution or institutions as referred to in subo clause (iiiae), the exemptions under these clauses shall not apply, if the aggregate of annual receipts of the person from such university or universities or educational institution or institutions or hospital or hospitals or institution or institutions, exceed five crore rupees; or";

(III)

in the third proviso,-

(A)

the Explanation shall be numbered as Explanation I thereof and in Explanation I as so numbered, after the words "medical institution:" occurring at the end, the words, brackets and figures "subject to the condition that such voluntary contributions are invested or deposited in one or more of the forms or modes specified in sub-section (5) of section 11 maintained specifically for such corpus" shall be inserted;

(B)

after Explanation I. as so numbered, the following Explanation shall be inserted, namely:-

"Explanation 2.-For the purposes of determining the amount of application under this proviso,-

(i)

application for charitable or religious purposes from the corpus as referred to in Explanation I, shall not be treated as application of income for charitable or religious purposes:

Provided that the amount not so treated as application or part thereof, shall be treated as application for charitable or religious purposes in the previous year in which the amount, or part thereof, is invested or deposited back, into one or more of the forms or modes specified in sub-section (5) of section 11 maintained specifically for such corpus, from the income of that year and to the extent of such investment or deposit; and

(ii)

application for charitable or religious purposes, from any loan or borrowing, shall not be treated as application of income for charitable or religious purposes:

Provided that the amount not so treated as application or part thereof, shall be treated as application for charitable or religious purposes in the previous year in which the loan or borrowing, or part thereof, is repaid from the income of that year and to the extent of such repayment:";

(IV)

in the fourteenth proviso, after the figures and letters "12AA", the words, figures and letters "or section 12AB" shall be inserted;

(V)

after the twentieth proviso, the Explanation shall be numbered as Explanation I thereof and after Explanation 1 as so numbered, the following Explanation shall be inserted, namely;

"Explanation 2.-For the purposes of this clause, it is clarified that the calculation of income required to be applied or accumulated during the previous year shall be made without any set off or deduction or allowance of any excess application of any of the year preceding to the previous year;";

(e)

in clause (23FE),

(A)

in sub-clause (iii),-

(i)

in item (c),-

(I)

for the words "hundred per cent.", the words "not less than fifty per cent." shall be substituted;

(II)

after the word, brackets and letter "item (b)", the brackets, letters and figures "or item (d) or item {e) or in an'.

Infrastructure Investment Trust referred to in sub-clause

(i)

of clause (J 3A) of section 2; or" shall be inserted;

(ii)

after item (c), the following items shall be inserted, namely:-

?(d) a domestic company, set up and registered on or after the 1st day of April, 2021, having minimum seventyfive per cent. investments in one or more of the companies or enterprises or entities referred to in item (b); or

(e)

a non-banking financial company registered as an Infrastructure Finance Company as referred to in notification number RBI/2009-10/316 issued by the Reserve Bank of India or in an Infrastructure Debt Fund, a non-banking finance company, as referred to in the Infrastructure Debt Fund-Non-Banking Financial Companies (Reserve Bank) Directions, 2011, issued by the Reserve Bank of India, having minimum ninety per cent. lending to one or more of the companies or enterprises or entities referred to in item (b):?;

(B)

after the third proviso, the following provisos shall be inserted, namely:??

?Provided also that in case a Category-I or CategoryII Alternative Investment Fund referred to in item (c) of sub-clause (iii) has investment of less than one hundred per cent. in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause or in an Infrastructure Investment Trust referred to in item (c) of the said sub-clause, income accrued or arisen or received or attributable to such investment, directly or indirectly, which is exempt under this clause shall be calculated proportionately to that investment made in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause or in the Infrastructure Investment Trust referred to in item (c) of the said sub-clause, in such manner as may be prescribed:

Provided also that in case a domestic company referred to in item (d) of sub-clause (iii) has investment of less than one hundred per cent in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause, income accrued or arisen or received or attributable to such investments, directly or indirectly, which is exempt under this clause shall be calculated proportionately to the investment made in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause, in such manner as may be prescribed:

Provided also that in case a non-banking finance company registered as an Infrastructure Finance Company or Infrastructure Debt Fund, referred to in item (e) of sub-clause (iii), has lending of less than one hundred per cent. in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause, income accrued or arisen or received or attributable to such lending, directly or indirectly, which is exempt under this clause shall be calculated proportionately to the lending made in one or more of the companies or enterprises or entities referred to in item (b) of the said sub-clause, in such manner as may be prescribed:

Provided also that in case a sovereign wealth fund or pension fund has loans or borrowings, directly or indirectly, for the purposes of making investment in India, such fund shall be deemed to be not eligible for exemption under this clause.??;

(C)

the Explanation shall be numbered as Explanation 1 thereof, and in Explanation 1 as so numbered,??

(i)

in clause (b),??

(I)

after sub-clause (iv), the following proviso shall be inserted, namely:??

?Provided that the provisions of sub-clause

(iii)

and (iv) shall not apply to any payment made to creditors or depositors for loan taken or borrowing for the purposes other than for making investment in India;?;

(II)

in sub-clause (v), for the words ?undertake any commercial activity whether within or outside India?, the words ?participate in the day to day operations of investee but the monitoring mechanism to protect the investment with the investee including the right to appoint directors or executive director shall not be considered as participation in the day to day operations of the investee? shall be substituted;

(ii)

in clause (c),??

(I)

in sub-clause (ii), after the word "country", the words "or if liable to tax, exemption from taxation for all its income has been provided by such foreign country" shall be inserted;

(II)

in sub-clause (iii), for the words "prescribed;

and", the word "prescribed;" shall be substituted;

(III)

after sub-clause (iii), the following subclause shall be inserted, namely:??

"(iiia) it does not participate in the day to day operations of investee but the monitoring mechanism to protect the investment with the investee including the right to appoint directors or executive director shall not be considered as participation in day to day operations of the investee; and";

(D)

after Explanation 1, the following Explanations shall be inserted, namely:??

"Explanation 2. For the purposes of this clause,??

(i)

"investee" means a business trust, or a company, or an enterprise, or an entity, or a Category I or Category II Alternative Investment Fund, or an Infrastructure Investment Trust or a domestic company, or an Infrastructure Finance Company or an Infrastructure Debt Fund referred to in item (e) of sub-clause (iii), in which the sovereign wealth fund or the pension fund, as the case may be, has made the investment, directly or indirectly, under the provisions of this clause;

(ii)

"loan and borrowing" means?

(a)

any loan taken or borrowing by a sovereign wealth fund from, or any deposit or investment made in a sovereign wealth fund by, any person other than the Government of the country in which the sovereign wealth fund is set up;

(b)

any loan taken or borrowing by a pension fund from or any deposit or investment made in a pension fund by, any person but shall not include the deposit or investment which represents statutory obligations and defined contributions of one or more funds or plans established for providing retirement, social security, employment, disability, death benefits or any similar compensation to the participants or beneficiaries of such funds or plans, as the case may be.

Explanation 3.??For the purposes of this clause, the Central Government may prescribe that the method of calculation of "fifty per cent." referred to in item

(c)

or "seventy-five per cent." referred to in item (d) or "ninety per cent." referred to in item (e), of sub-clause (iii) shall be such as may be prescribed;";

(f)

after clause (23FE), the following clause shall be inserted with effect from the 1st day of April, 2022, namely:??

"(23FF) any income of the nature of capital gains, arising or received by a non-resident, which is on account of transfer of share of a company resident in India, by the resultant fund and such shares were transferred from the original fund to the resultant fund in relocation, and where capital gains on such shares were not chargeable to tax if that relocation had not taken place.

Explanation.-For the purposes of this clause,-

(a)

the expressions "original fund", "relocation" and "resultant fund" shall have the meanings respectively assigned to them in the Explanation to clause

(viiac)

and clause (viia) of section 47;

(b)

the expression "specified fund" shall have the meaning assigned to it in clause (c) of the Explanation to clause (4D) of section 10;

(g)

after clause (48C), the following clauses shall be inserted with effect from the 1st day of April, 2022, namely:-

"(48D) any income accruing or arising to an institution established for financing the infrastructure and development, set up under an Act of Parliament and notified by the Central Government for the purposes of this clause, for a period of ten consecutive assessment years beginning from the assessment year relevant to the previous year in which such institution is set up;

(48F)

any income accruing or arising to a developmental financing institution, licensed by the Reserve Bank of India under an Act of the Parliament referred to in clause (48D) and notified by the Central Government for the purposes of this clause, for a period of five consecutive assessment years beginning from the assessment year relevant to the previous year in which the developmental financing institution is set up:

Provided that the Central Government may, by issuing notification under this clause, extend the period of exemption under this clause for a further period, not exceeding five more consecutive assessment years, subject to fulfilment of such conditions as may be specified in the said notification;"

(h)

in clause (50),-

(I)

for the figures "2021 ", the figures "2020" shall be substituted;

(II)

for the Explanation, the following Explanations shall be substituted, namely:-

Explanation 1.-For the removal of doubts it is hereby clarified that the income referred to in this clause shall not include and shall be deemed never to have been included any income which is chargeable to tax as royalty or fees for technical services in India under this Act read with the agreement notified by the Central Government under section 90 or section 90A.

Explanation 2.??For the purposes of this clause,??

(i)

?e-commerce supply or services? shall have the meaning assigned to it in clause (cb) of section 164 of the Finance Act, 2016; 28 of 2016.

(ii)

"specified service" shall have the meaning assigned to it in clause (i) of section 164 of the Finance Act, 2016.?

7.

Amendment of section 11.

In section 11 of the Income-tax Act, with effect from the 1st day of April, 2022,??

(a)

in sub-section (1),??

(i)

in clause (d), for the word ?institution?, the words, brackets and figures ?institution, subject to the condition that such voluntary contributions are invested or deposited in one or more of the forms or modes specified in sub-section (5) maintained specifically for such corpus? shall be substituted;

(ii)

after Explanation 3, the following Explanations shall be inserted, namely:??

?Explanation 4.??For the purposes of determining the amount of application under clause (a) or clause (b),??

(i)

application for charitable or religious purposes from the corpus as referred to in clause (d) of this subsection, shall not be treated as application of income for charitable or religious purposes:

Provided that the amount not so treated as application, or part thereof, shall be treated as application for charitable or religious purposes in the previous year in which the amount, or part thereof, is invested or deposited back, into one or more of the forms or modes specified in sub-section (5) maintained specifically for such corpus, from the income of that year and to the extent of such investment or deposit; and

(ii)

application for charitable or religious purposes, from any loan or borrowing, shall not be treated as application of income

for charitable or religious purposes:

Provided that the amount not so treated as application, or part thereof, shall be treated as application for charitable or religious purposes in the previous year in which the loan or borrowing, or part thereof, is repaid from the income of that year and to the extent of such repayment.

Explanation 5.??For the purposes of this sub-section, it is hereby clarified that the calculation of income required to be applied or accumulated during the previous year shall be made without any set off or deduction or allowance of any excess application of any of the year preceding the previous year.?

(b)

in sub-section (2), in the Explanation, after the figures and letters ?12AA?, the words, figures and letters ?or section 12AB? shall be inserted;

(c)

in sub-section (3), in clause (d), after the figures and letters ?12AA?, the words, figures and letters ?or section 12AB? shall be inserted.

8.

Amendment of section 32.

In section 32 of the Income-tax Act, in sub-section (1),??

(a)

in clause (ii), after the words, figures and letters, ?after the 1st day of April, 1998,?, the words ?not being goodwill of a business or profession,? shall be inserted;

(b)

in Explanation 3, in clause (b), after the words ?or commercial rights of similar nature?, the words ?, not being goodwill of a business or profession? shall be inserted.

9.

Amendment of section 36.

In section 36 of the Income-tax Act, in sub-section (1), in clause (va), the Explanation shall be numbered as Explanation 1 thereof and after Explanation 1 as so numbered, the following Explanation shall be inserted, namely:??

?Explanation 2.??For the removal of doubts, it is hereby clarified that the provisions of section 43B shall not apply and shall be deemed never to have been applied for the purposes of determining the ?due date? under this clause;?.

10.

Amendment of section 43.

In section 43B of the Income-tax Act, after Explanation 4, the following Explanation shall be inserted, namely:??

"as further adjusted by,-

(A)

the increase or the reduction referred to in item (i), not being increase on account of acquisition of goodwill of a business or profession;

(B)

the reduction by an amount which is equal to the actual cost of the goodwill falling within that block as decreased by-

(a)

the amount of depreciation actually allowed to the assessee under this Act or under the corresponding provisions of the Indian Income-tax Act, 1922 for such goodwill in respect of any previous year relevant to the assessment year commencing before the 1st day of April, 1988; and

(b)

the amount of depreciation that would have been allowable to the assessee for such goodwill for any assessment year commencing on or after the 1st day of April, 1988 as if the goodwill was the only asset in the relevant block of assets, in respect of the previous year relevant to the assessment year commencing on the 1st day of April 2021, in a case where the goodwill of a business or profession was part of the block of assets on which depreciation was obtained by the assessee for the immediate preceding previous year, so however that the amount of such reduction does not exceed the written down value."

11.

Amendment of section 43B.

In section 43B of the Income-tax Act, after Explanation 4, the following Explanation shall be inserted, namely:??

?Explanation 5.??For the removal of doubts, it is hereby clarified that the provisions of this section shall not apply and shall be deemed never to have been applied to a sum received by the assessee from any of his employees to which the provisions of sub-clause (x) of clause (24) of section 2 applies.?

12.

Amendment of section 43CA.

In Section 43CA of the Income-tax Act,-

(a)

in sub-section (1), after the proviso, the following proviso shall be inserted, namely:??

?Provided further that in case of transfer of an asset, being a residential unit, the provisions of this proviso shall have the effect as if for the words ?one hundred and ten per cent.?, the words ?one hundred and twenty per cent.? had been substituted, if the following conditions are satisfied, namely:??

(i)

the transfer of such residential unit takes place during the period beginning from the 12th day of November, 2020 and ending on the 30th day of June, 2021;

(ii)

such transfer is by way of first time allotment of the residential unit to any person; and

(iii)

the consideration received or accruing as a result of such transfer does not exceed two crore rupees.?

(b)

after sub-section (4), the following Explanation shall be inserted, namely:??

?Explanation.??For the purposes of this section, ?residential unit? means an independent housing unit with separate facilities for living, cooking and sanitary requirement, distinctly separated from other residential units within the building, which is directly accessible from an outer door or through an interior door in a shared hallway and not by walking through the living space of another household.?

13.

Amendment of section 44AB.

In section 44AB of the Income-tax Act, in clause (a), in the proviso, in long line, for the words ?five crore rupees?, the words ?ten crore rupees? shall be substituted.

14.

Amendment of section 44ADA.

In section 44ADA of the Income-tax Act, in sub-section (1), for the words ?in the case of an assessee, being a resident in India, who?, the words, brackets, letter and figures ?in case of an assessee, being an individual, Hindu undivided family or a partnership firm other than a limited liability partnership as defined under clause (n) of sub-section (1) of section 2 of the Limited Liability Partnership Act, 2008, who is a resident in India, and? shall be substituted.

15.

Amendment of section 44DB.

In section 44DB of the Income-tax Act,--

(a)

in sub-section (3), after the words ?successor cooperative bank?, the words ?or to the converted banking company? shall be inserted;

(b)

in sub-section (4), after the words ?a successor cooperative bank?, and the words ?the successor co-operative bank? the words ?or to a converted banking company? and the words ?or to the converted banking company? shall, respectively, be inserted;

(c)

in sub-section (5),??

(i)

after clause (c), the following clause shall be inserted, namely:??

? (ca) "banking company" shall have the meaning assigned to it in clause (c) of section 5 of Banking Regulation Act, 1949;?

(ii)

in clause (d), after the words "a co-operative bank", the words "or conversion of a primary cooperative bank" shall be inserted;

(iii)

after clause (d), the following clauses shall be inserted, namely:--

?(da) "conversion" means transition of a primary co-operative bank to a banking company under the scheme of the Reserve Bank of India as notified vide its circular number DCBR. CO. LS. PCB. Cir. No. 5/07.01.000/2018-19, dated the 27th September, 2018; (db) "converted banking company" means a banking company formed as a result of conversion from primary co-operative bank;? ;

(iv)

in clause (h), after the words "the demerged cooperative bank", the words "or the primary co-operative bank which has been succeeded as a result of conversion" shall be inserted;

(v)

after clause (h), the following clause shall be inserted, namely:--

?(ha) "primary co-operative bank" shall have the meaning assigned to it in clause (ccv) of section 5 of the Banking Regulation Act, 1949;?.

16.

Amendment of section 45.

In section 45 of the Income-tax Act,--

(a)

after sub-section (1A), the following sub-section shall be inserted, namely:--

?(1B) Notwithstanding anything contained in sub-section (1), where any person receives at any time during any previous year any amount under a unit linked insurance policy, to which exemption under clause (10D) of section 10 does not apply on account of the applicability of the fourth and fifth proviso thereof, including the amount allocated by way of bonus on such policy, then, any profits or gains arising from receipt of such amount by such person shall be chargeable to income-tax under the head "Capital gains" and shall be deemed to be the income of such person of the previous year in which such amount was received and the income taxable shall be calculated in such manner as may be prescribed.?

(b)

for sub-section (4), the following sub-sections shall be substituted, namely:--

'(4) Notwithstanding anything contained in sub-section (1), where a specified person receives during the previous year any money or capital asset or both from a specified entity in connection with the reconstitution of such specified entity, then any profits or gains arising from receipt of such money by the specified person shall be chargeable to income-tax as income of such specified entity under the head "Capital gains" and shall be deemed to be the income of such specified entity of the previous year in which such money or capital asset or both were received by the specified person, and notwithstanding anything to the contrary contained in this Act, such profits or gains shall be determined in accordance with following formula, namely:-

$A=B+C-D$

Where,

A = income chargeable to income-tax under this sub-section as income of the specified entity under the head "Capital gains";

B =value of any money received by the specified person from the specified entity on the date of such receipt;

C = the amount of fair market value of the capital asset received by the specified person from the specified entity on the date of such receipt;and

D = the amount of balance in the capital account (represented in any manner) of the specified person in the books of accounts of the specified entity at the time of its reconstitution:

Provided that if the value of "A" in the above formula is negative , its value shall be deemed to be zero:

Provided further that the balance in the capital account of the specified 5 person in the books of account of the specified entity is to be calculated without taking into account the increase in the capital account of the specified person due to revaluation of any asset or due to self-generated goodwill or any other self-generated asset.

Explanation 1. -For the purposes of this sub-section,-

(i)

the expressions "reconstitution of the specified entity", "specified entity" and "specified person" shall have the meanings respectively assigned to them in section 9B;

(ii)

"self-generated goodwill" and "self-generated asset" mean goodwill or asset, as the case may be, which has been acquired without incurring any cost for purchase or which has been generated during the course of the business or profession.

Explanation 2.-For the removal of doubts it is clarified that when a capital asset is received by a specified person from a specified entity in connection with the reconstitution of such specified entity, the provisions of this sub-section shall operate in addition to the provisions of section 9B and the taxation under the said provisions thereof shall be worked out independently.'

17.

Amendment of section 47.

In section 47 of the Income-tax Act,--

(a)

in clause (vica), after the words "successor cooperative bank", the words "or to the converted banking company" shall be inserted;

(b)

in clause (vicb),??

(i)

after the words "successor co-operative bank", the words "or to the converted banking company" shall be inserted;

(ii)

in the Explanation, for the words "expressions "business reorganisation", "predecessor co-operative bank" and", the words "expressions "business reorganisation", "converted banking company", "predecessor co-operative bank" and" shall be substituted;

(c)

after clause (viiab), the following clauses shall be inserted with effect from the 1st day of April, 2022, namely:??

"(viiac) any transfer, in a relocation, of a capital asset by the original fund to the resulting fund;

(viiad)

any transfer by a shareholder or unit holder or interest holder, in a relocation, of a capital asset being a share or unit or interest held by him in the original fund in consideration for the share or unit or interest in the resultant fund;

Explanation.?? For the purposes of clauses (viiac) and (viiad),??

(a)

"original fund" means a fund established or incorporated or registered outside India, which collects funds from its members for investing it for their benefit and fulfills the following conditions, namely:?

(i)

the fund is not a person resident in India;

(ii)

the fund is a resident of a country or a specified territory with which an agreement referred to in sub-section (1) of section 90 or subsection (1) of section 90A has been entered into; or is established or incorporated or registered in a country or a specified territory as may be notified by the Central Government in this behalf;

(iii)

the fund and its activities are subject to applicable investor protection regulations in the country or specified territory where it is established or incorporated or is a resident; and

(iv)

fulfils such other conditions as may be prescribed;

(b)

"relocation" means transfer of assets of the original fund to a resultant fund on or before the 31st day of March, 2023, where consideration for such transfer is discharged in the form of share or unit or interest in the resulting fund to the shareholder or unit holder or interest holder of the original fund in the same proportion in which the share or unit or interest was held by such shareholder or unit holder or interest holder in such original fund;

(c)

'resultant fund' means a fund established or incorporated in India in the form of a trust or a company or a limited liability partnership, which--

(i)
has been granted a certificate of registration as a Category I or Category II or Category III Alternative Investment Fund, and is regulated under the Securities and Exchange Board of India (Alternative Investment Fund) Regulations, 2012 made under the Securities and Exchange Board of India Act, 1992; and 15 of 1992. or International Finance Services Centres Authority Act, 2019; and

(ii)
is located in any International Financial Services Centre as referred to in sub-section (IA) of section SOLA;'.
(viiia)

any transfer of capital asset by India Infrastructure Finance Company Limited to an institution established for Financing the Infrastructure and Development, set up under an Act of Parliament and notified by the Central Government for the purposes of this clause;

18.

Amendment of section 48.

In section 48 of the Income-tax Act, after clause (ii) the following clause shall be inserted, namely: --

?'(iii) in case of specified entity referred to in sub-section (4A) of section 45, the amount included in the total income of such specified entity under sub-section (4A) of section 45 which is attributable to the capital asset being transferred, calculated in the prescribed manner:?'.

19.

Amendment of section 49.

In section 49 of the income-tax Act, in sub-section (1), in clause (iii), in sub-clause (e), after the words, brackets, figures and letters 'clause (viiia) or', the words, brackets, figures and letters 'clause (viiia) or clause (viiib) or' shall be inserted with effect from the 1st day of April, 2022.

20.

Amendment of section 50.

In section 50 of the Income-tax Act, in clause (2), the following proviso shall be inserted, namely:--

'Provided that in a case where goodwill of a business or profession forms part of a block of asset for the assessment year beginning on the 1st day of April, 2020 and depreciation thereon has been obtained by the assessee under the Act, the written down value of that block of asset and short term capital gain, if any, shall be determined in such manner as may be prescribed.'.

21.

Amendment of section 50B.

In section 50B of the Income-tax Act,-

(a)

for sub-section (2), the following sub-section shall be substituted, namely:-

(2)

In relation to capital assets being an undertaking or division transferred by way of such slump sale,-

(i)

the "net worth" of the undertaking or the division, as the case may be, shall be deemed to be the cost of acquisition and the cost of improvement for the purposes of sections 48 and 49 and no regard shall be given to the provisions contained in the second proviso to section 48;

(ii)

Fair market value of the capital assets as on the date of transfer, calculated in the prescribed manner, shall be deemed to be the full value of the consideration received or accruing as a result of the transfer of such capital asset.';

(b)

in Explanation 2, after clause (a), the following clause shall be inserted, namely:-

"(aa) in the case of capital asset being goodwill of a business or profession, which has not been acquired by the assessee by purchase from a previous owner, nil;".

22.

Amendment of section 54GB.

In section 54GB of the Income-tax Act, in sub-section (5), in the proviso, for the figures ?2021?, the figures ?2022? shall be substituted.

23.

Amendment of section 55.

In section 55 of the Income-tax Act, in sub-section (2), for clause (a), the following clause shall be substituted, namely:??

?(a) in relation to a capital asset, being goodwill of a business or profession, or a trade mark or brand name associated with a business or profession, or a right to manufacture, produce or process any article or thing, or right to carry on any business or profession, or tenancy rights, or stage carriage permits, or loom hours,?

(i)

in the case of acquisition of such asset by the assessee by purchase from a previous owner, means the amount of the purchase price; and

(ii)

in the case falling under sub-clauses (i) to (iv) of sub-section (1) of section 49 and where such asset was acquired by the previous owner (as defined in that section) by purchase, means the amount of the purchase price for such previous owner; and

(iii)

in any other case, shall be taken to be nil:

Provided that where the capital asset, being goodwill of a business or profession, in respect of which a deduction on account of depreciation under

sub-section (1) of section 32 has been obtained by the assessee in any previous year preceding the previous year relevant to the assessment year commencing on or after the 1st day of April, 2021, the provisions of sub-clauses (i) and (ii) shall apply with the modification that the total amount of depreciation obtained by the assessee under sub-section (1) of section 32 before the assessment year commencing on the 1st day of April, 2021 shall be reduced from the amount of purchase price;?.

24.

Amendment of section 56.

In section 56 the Income-tax Act, in sub-section (2), in clause (x),??

(a)

in sub-clause (b), in item (B), after the third proviso, the following proviso shall be inserted, namely:??

?Provided also that in case of property being referred to in the second proviso to sub-section (1) of section 43CA, the provisions of sub-item (ii) of item

(B)

shall have effect as if for the words ?ten per cent.?, the words ?twenty per cent.? had been substituted;?;

(b)

in the proviso, in clause (IX) after the words, brackets and figures ?clause (vii)?, the words, brackets, figures and letters ?or clause (viiac) or clause (viiad)? shall be inserted with effect from the 1st day of April, 2022.

25.

Amendment of section 72A.

In section 72A of the Income-tax Act, in sub-section (1),??

(i)

for clause (c), the following clauses shall be substituted, namely:??

?(c) one or more public sector company or companies with one or more public sector company or companies; or

(d)

an erstwhile public sector company with one or more company or companies, if the share purchase agreement entered into under strategic disinvestment restricted immediate amalgamation of the said public sector company and the amalgamation is carried out within five year from the end of the previous year in which the restriction on amalgamation in the share purchase agreement ends,?;

(ii)

after the long line, the following shall be inserted, namely:??

?Provided that the accumulated loss and the unabsorbed depreciation of the amalgamating company, in case of an

amalgamation referred to in clause (d), which is deemed to be the loss or, as the case may be, the allowance for unabsorbed depreciation of the amalgamated company, shall not be more than the accumulated loss and unabsorbed depreciation of the public sector company as on the date on which the public sector company ceases to be a public sector company as a result of strategic disinvestment.

Explanation.??For the purposes of clause (d),??

(i)

?control? shall have the same meaning as assigned to in clause (27) of section 2 of the Companies Act, 2013;

(ii)

?erstwhile public sector company? means a company which was a public sector company in earlier previous years and ceases to be a public sector company by way of strategic disinvestment by the Government;

(iii)

?strategic disinvestment? means sale of shareholding by the Central Government or any State Government in a public sector company which results in reduction of its shareholding to below fifty-one per cent. along with transfer of control to the buyer.?.

26.

Amendment of section 79.

In section 79 of the Income-tax Act, in sub-section (2), after clause (d), the following clause shall be inserted with effect from the 1st day of April, 2022, namely:??

?(e) to a company to the extent that a change in the shareholding has taken place during the previous year on account of relocation referred to in the

Explanation to clause (viiac) and (viiad) of section 47.?.

27.

Amendment of section 80EEA.

In section 80EEA of the Income-tax Act, in sub-section (3), in clause (i), for the figures ?2021?, the figures ?2022? shall be substituted with effect from the 1st day of April, 2022.

28.

Amendment of section 80-IAC.

In section 80-IAC of the Income-tax Act, in the Explanation, in clause (ii), in sub-clause (a), for the figures ?2021?, the figures ?2022? shall be substituted.

29.

Amendment of section 80-IBA.

In section 80-IBA of the Income-tax Act, with effect from the 1st day of April, 2022,??

(a)

after sub-section (1) , the following sub-section shall be inserted, namely:??

?(1A) Where the gross total income of an assessee includes any profits and gains derived from the business of developing and building rental housing project,

there shall be allowed a deduction of an amount equal to hundred per cent. of the profits and gains derived from such business.?.

(b)

in sub-section (2), in clause (a), for the figures ?2021?, the figures ?2022?shall be substituted;

(c)

in sub-section (6), after clause (d), the following clause shall be inserted, namely:??

?(da) ?rental housing project? means a project which is notified by the Central Government in the Official Gazette under this clause on or before the 31st day of March, 2022 and fulfils such conditions as may be specified in the said notification;?.

30.

Amendment of section 80LA.

In section 80LA of the Income-tax Act, with effect from the 1st day of April, 2022,??

(i)

in sub-section (1A), for the words ?any other relevant laws was obtained?, the words ?permission or registration under the International Financial Services Centre Authority Act, 2019 was obtained? shall be substituted; 50 of 2019.

(ii)

in sub-section (2), after clause (c), the following clause shall be inserted, namely:??

?(d) arising from the transfer of an asset, being an aircraft or aircraft engine, which was leased by a unit referred to in clause (c) to a domestic company engaged in the business of operation of aircraft, before such transfer subject to condition that the unit has commenced operation on or before the 31st day of March, 2024.?.

(iii)

in sub-section (3), for clause (ii), the following clause shall be substituted, namely:??

?(ii) a copy of the permission obtained under clause (a) of sub-section (1) of section 23 of the Banking Regulation Act, 1949 or copy of permission or registration obtained under the International Financial Services Centre Authority Act, 2019.?.

31.

Insertion of new section 89A.

Relief from taxation in income from retirement benefit account maintained in a notified country.

?89A. Where a specified person has income accrued in a specified account, such income shall be taxed in such manner and in such year as may be prescribed.

Explanation.??For the purposes of this section,??

(a)

?specified person? means a person resident in India who opened a specified account in a notified country while being non-resident in India and resident in that country;

(b)

?specified account? means an account maintained in a notified country by the specified person in respect of his retirement benefits and the income from such account is not taxable on accrual basis but is taxed by such country at the time of withdrawal or redemption;

(c)

?notified country? means a country as may be notified by the Central Government in the Official Gazette for the purposes of this section.?.

32.

Amendment of section 112A.

In section 112A of the Income-tax Act, in the Explanation, in clause (a),

(i)

in the opening portion, after the word and figures ?section 10?, the words, brackets, figures and letter ?or under a scheme of an insurance company comprising unit linked insurance policies to which exemption under clause (10D) of the said section does not apply on account of the applicability of the fourth and fifth proviso thereof? shall be inserted.

(ii)

after the proviso, the following proviso shall be inserted, namely:-

"Provided further that in case of a scheme of an insurance company comprising unit linked insurance policies to which exemption under clause (JOD) of section 10 does not apply on account of the applicability of the fourth and fifth proviso thereof, the minimum requirement of ninety per cent. or sixty-five per cent., as the case may be, is required to be satisfied throughout the term of such insurance policy".'

33.

Amendment of section 115ACA.

In section 115ACA of the Income-tax Act, in the Explanation, with effect from the 1st day of April, 2022-

{i) in clause (a), in the opening portion,-

(a)

after the words "the Overseas Depository Bank outside India", the words "or in an International Financial Services Centre" shall be inserted;

(b)

after sub-clause (ii), the following sub-clause shall be inserted, namely:-

"(iii) ordinary shares of issuing company, being a company incorporated outside India, if such depository receipt or certificate is listed and traded on any International Financial Services Centre;;

(ii)

after clause (c), the following clause shall be inserted, namely:-

'(ca) "International Financial Services Centre" shall have the meaning assigned to it in clause (q) of section 2 of the Special Economic Zone Act, 2005.' .

34.

Amendment of section 115AD.

In section 115AD of the Income-tax Act, with effect from the 1st day of April, 2022,??

(i)

after sub-section (1A), the following sub-section shall be inserted, namely:??

?(1B) Notwithstanding anything contained in subsection (1), in case of investment division of an offshore banking unit, the provisions of this section shall apply to the extent of income that is attributable to the investment division of such banking units, referred to in sub-clause (ii) of clause (c) to the Explanation to clause (4D) of section 10, as a Category-III portfolio investor under the Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019 made under the Securities And Exchange Board of India Act, 1992, calculated in such manner as may be prescribed.?

(ii)

in the Explanation, after clause (a), the following clause shall be inserted, namely:???

?(aa) the expression ?investment division of offshore banking unit? shall have the meaning assigned to it in clause (aa) of the Explanation to clause (4D) of section 10;?.

35.

Amendment of section 115JB.

In section 115JB of the Income-tax Act, in sub-section (2),??

(a)

in Explanation 1,??

(i)

in clause (fb), in sub-clause (B), for the words ?interest, royalty?, the words ?interest, dividend, royalty? shall be substituted;

(ii)

in the long line, in clause (iid), in sub-clause (B), for the words ?interest, royalty?, the words ?interest, dividend, royalty? shall be substituted;

(b)

after sub-section (2C), the following sub-section shall be inserted, namely: --

?(2D) In the case of an assessee being a company, where there is an increase in book profit of the previous year due to income of past year or years included in the book profit on account of an advance pricing agreement entered into by the assessee under section 92CC or on account of secondary adjustment required to be made under section 92CE, the Assessing Officer shall, on an application made to him in this behalf by the assessee, recompute the book profit of the past year or years and tax payable, if any, by the assessee during the previous year under sub-section (1), in such manner as may be prescribed and the provisions of section 154 shall, so far as may be, apply and the period of four years specified in sub-section (7) of that section shall be reckoned from the end of the financial year in which the said application is received by the Assessing Officer.?

Provided that the provisions of this sub-section shall apply only if the assessee has not utilised the credit of tax paid under this section in any subsequent assessment year under section 115JAA:

Provided that the provisions of this sub-section shall also apply to an assessment year beginning on or before the 1st day of April, 2020 and notwithstanding anything contained in any other provisions of this Act, no interest shall be payable to such assessee on the refund arising on account of the provisions of this subo section."

36.

Amendment of section 115UB.

In section 11 SUB of the Income-tax Act, in Explanation 1, in clause (a), for the figures "1992", the figures and words "1992 or under the International Financial Services Centers Authority Act, 2019" shall be substituted with effect from the 1st day of April, 2022.

37.

Amendment of section 139.

In section 139 of the Income-tax Act,??

(a)

in sub-section (1), in Explanation 2,??

(i)

in clause (a), in sub-clause (iii), after the words "any other law for the time being in force", the words, figure and letter "or the spouse of such

partner if the provisions of section 5A applies to such spouse" shall be inserted;

(ii)

in clause (aa), after the words "an assessee", the words ", including the partners of the firm being such assessee," shall be inserted;

(b)

in sub-section (4), for the words "return for any previous year at any time before", the words "a return for any previous year at any time within three months prior to" shall be substituted;

(c)

in sub-section (5), for the words "he may furnish a revised return at any time", the words "he may furnish a revised return at any time within three months" shall be substituted;

(d)

in sub-section (9), in the Explanation, the following proviso shall be inserted, namely:??

"Provided that the Board may, by notification in the Official Gazette, specify that any of the conditions specified in clauses (a) to (f) to the Explanation shall not apply to such class of assessee or shall apply with such modifications, as may be specified in such notification.".

38.

Amendment of section 142.

In section 142 of the Income-tax Act, in sub-section (1), in clause (i), after the existing proviso, the following proviso shall be inserted, namely:??

"Provided further that a notice under this sub-section for the purposes of this clause may also be served by the prescribed income-tax authority,?".

39.

Amendment of section 143.

In section 143 of the Income-tax Act,?

(a)

in sub-section (1),??

(i)

in the second proviso, for the words "one year", the words "nine months" shall be substituted;

(ii)

in clause (a),??

(I)

in sub-clause (iv), for the words "disallowance of expenditure indicated", the words "disallowance of expenditure or increase in income indicated" shall be substituted;

(II)

in sub-clause (v), for the words, figures and letters "sections 10AA, 80-IA, 80-IAB, 80-IB, 80-IC, 80-ID or section 80-IE, if", the words, figures and letters "section 10AA or under any of the provisions of Chapter VI-A under the heading "C.-Deductions in respect of certain incomes", if" shall be substituted;

(b)

in sub-section (2), in the proviso, for the word "six", the word "three" shall be substituted.

40.

Substitution of new section for section 147.

For section 147 of the Income-tax Act, the following section shall be substituted, namely:-

Income escaping assessment.

"147. If any income chargeable to tax, in the case of an assessee, has escaped assessment for any assessment year, the Assessing Officer may, subject to the provisions of sections 148 to 153, assess or reassess such income or recompute the loss or the depreciation allowance or any other allowance or deduction for such assessment year

(hereafter in this section and in sections 148 to 153 referred to as the relevant assessment year).

Explanation. For the purpose of assessment or reassessment under this section, the Assessing Officer may assess or reassess the income in respect of any issue, which has escaped assessment, and such issue comes to his notice subsequently in the course of the proceedings under this section, irrespective of the fact that the provisions of section 148A have not been complied with.

41.

Substitution of new section for section 148.

For section 148 of the Income-tax Act, the following section shall be substituted, namely:-

Issue of notice where income has escaped assessment.

148. Before making the assessment, reassessment or recomputation under section 147, and subject to the provisions of section 148A, the Assessing Officer shall serve on the assessee a notice, along with a copy of the order passed, if required, under clause (d) of section 148A, requiring him to furnish within such period, as may be specified in such notice, a return of his income or the income of any other person in respect of which he is assessable under this Act during the previous year corresponding to the relevant assessment year, in the prescribed form and verified in the prescribed manner and setting forth such other particulars as may be prescribed; and the provisions of this Act shall, so far as may be, apply accordingly as if such return were a return required to be furnished under section 139:

Provided that no notice under this section shall be issued unless there is information with the Assessing Officer which suggests that the income chargeable to tax has escaped assessment in the case of the assessee for the relevant assessment year and the Assessing Officer has obtained prior approval of the specified authority to issue such notice.

Explanation 1. For the purposes of this section and section 148A, the information with the Assessing Officer which suggests that the income chargeable to tax has escaped assessment means,

(i)

any information flagged in the case of the assessee for the relevant assessment year in accordance with the risk management strategy formulated by the Board from time to time;

(ii)

any final objection raised by the Comptroller and Auditor General of India to the effect that the assessment in the case of the assessee for the relevant assessment year has not been made in accordance with the provisions of this Act.

Explanation 2. For the purposes of this section, where,

(i)

a search is initiated under section 132 or books of account, other documents or any assets are requisitioned under section 132A, on or after the 1st day of April, 2021, in the case of the assessee; or

(ii)

a survey is conducted under section 133A in the case of the assessee on or after the 1st day of April, 2021; or

(iii)

the Assessing Officer is satisfied, with the prior approval of the Principal Commissioner or Commissioner, that any money, bullion, jewellery or other valuable article or thing, seized or requisitioned in case of any other person on or after the 1st day of April, 2021, belongs to the assessee; or

(iv)

the Assessing Officer is satisfied, with the prior approval of Principal Commissioner or Commissioner, that any books of account or documents, seized or requisitioned in case of any other person on or after the 1st day of April, 2021, pertains or pertain to, or any information contained therein, relate to, the assessee, the Assessing Officer shall be deemed to have information which suggests that the income chargeable to tax has escaped assessment in the case of the assessee for the three assessment years immediately preceding the assessment year relevant to the previous year in which the search is initiated or books of account, other documents or any assets are requisitioned or survey is conducted in the case of the assessee or money, bullion, jewellery or other valuable article or thing or books of account or documents are seized or requisitioned in case of any other person.

Explanation.3 For the purposes of this section, specified authority means the specified authority referred to in section 151.

42.

Insertion of new section 148A.

After section 148 of the Income-tax Act, the following section shall be inserted, namely:?

Conducting inquiry, providing opportunity before issue of notice under section 148.

?148A. The Assessing Officer shall, before issuing any notice under section 148, ?

(a)

conduct any enquiry, if required, with the prior approval of specified authority, with respect to the information which suggests that the income chargeable to tax has escaped assessment;

(b)

provide an opportunity of being heard to the assessee, with the prior approval of specified authority, by serving upon him a notice to show cause within such time, as may be specified in the notice, being not less than seven days and but not exceeding thirty days from the date on which such notice is issued, or such time, as may be extended by him on the basis of an application in this behalf, as to why a notice under section 148 should not be issued on the basis of information which suggests that income chargeable to tax has escaped assessment in his case for the relevant assessment year and results of enquiry conducted, if any, as per clause (a);

(c)

consider the reply of assessee furnished, if any, in response to the show-cause notice referred to in clause (b);

(d)

decide, on the basis of material available on record including reply of the assessee, whether or not it is a fit case to issue a notice under section 148, by passing an order, with the prior approval of specified authority, within one month from the end of the month in which the reply referred to in clause (c) is received by him, or where no such reply is furnished, within one month from the end of the month in which time or extended time allowed to furnish a reply as per clause (b) expires:

Provided that the provisions of this section shall not apply in a case where,?

(a)

a search is initiated under section 132 or books of account, other documents or any assets are requisitioned under section 132A in the case of the assessee on or after the 1st day of April, 2021; or

(b)

the Assessing Officer is satisfied, with the prior approval of the Principal Commissioner or Commissioner that any money, bullion, jewellery or other valuable article or thing, seized in a search under section 132 or requisitioned under section 132A, in the case of any other person on or after the 1st day of April, 2021, belongs to the assessee; or

(c)

the Assessing Officer is satisfied, with the prior approval of the Principal Commissioner or Commissioner that any books of account or documents, seized in a search under section 132 or requisitioned under section 132A, in case of any other person on or after the 1st day of April, 2021, pertains or pertain to, or any information contained therein, relate to, the assessee.

Explanation.?For the purposes of this section, specified authority means the specified authority referred to in section 151.?

43.

Substitution of new section for section 149.

For section 149 of the Income-tax Act, the following section shall be substituted, namely:??

Time limit for notice.

?149. (1) No notice under section 148 shall be issued for the relevant assessment year,?

(a)

if three years have elapsed from the end of the relevant assessment year, unless the case falls under clause (b);

(b)

if three years, but not more than ten years, have elapsed from the end of the relevant assessment year unless the Assessing Officer has in his possession books of accounts or other documents or evidence which reveal that the income chargeable to tax, represented in the form of asset, which has escaped assessment amounts to or is likely to amount to fifty lakh rupees or more for that year:

Provided that no notice under section 148 shall be issued at any time in a case for the relevant assessment year beginning on or before 1st day of April, 2021, if such notice could not have been issued at that time on account of being beyond the time limit specified under the provisions of clause (b) of sub-section (1) of this section, as they stood

immediately before the commencement of the Finance Act, 2021:

Provided further that the provisions of this sub-section shall not apply in a case, where a notice under section 153A, or section 153C read with section 153A, is required to be issued in relation to a search initiated under section 132 or books of account, other documents or any assets requisitioned under section 132A, on or before the 31st day of March, 2021:

Provided also that for the purposes of computing the period of limitation as per this section, the time or extended time allowed to the assessee, as per show-cause notice issued under clause (b) of section 148A or the period during which the proceeding under section 148A is stayed by an order or injunction of any court, shall be excluded:

Provided also that where immediately after the exclusion of the period referred to in the immediately preceding proviso, the period of limitation available to the Assessing Officer for passing an order under clause (d) of section 148A is less than seven days, such remaining period shall be extended to seven days and the period of limitation in sub-section (1) shall be deemed to be extended accordingly.

Explanation.-For the purposes of clause (b) of this sub-section, "asset" shall include immovable property, being land or building or both, shares and securities, loans and advances, deposits in bank account.'

(2)

The provisions of sub-section (1) as to the issue of notice shall be subject to the provisions of section 151.?

44.

Substitution of new section for section 151.

For section 151 of the Income-tax Act, the following section shall be substituted, namely:-

Sanction for issue of notice.

?151. Specified authority for the purposes of section 148 and section 148A shall be,?

(i)

Principal Commissioner or Principal Director or Commissioner or Director, if three years or less than three years have elapsed from the end of the relevant assessment year;

(ii)

Principal Chief Commissioner or Principal Director General or where there is no Principal Chief Commissioner or Principal Director General, Chief Commissioner or Director General, if more than three years have elapsed from the end of the relevant assessment year.?

45.

Amendment of section 151A.

In section 151A of the Income-tax Act, in sub-section (1), in the opening portion, after the words and figures ?issuance of notice under section 148?, the words, figures and letter ?or conducting of enquiries or issuance of show-cause notice or passing of order under section 148A? shall be inserted.

46.

Amendment of section 153.

In section 153 of the Income-tax Act,-

(i)

In section 153 of the Income-tax Act, in sub-section (1), after the second proviso, the following proviso shall be inserted, namely:??

?Provided also that in respect of an order of assessment relating to the assessment year commencing on or after the 1st day of April, 2021, the provisions of this sub-section shall have effect, as if for the words ?twenty-one months?, the words ?nine months? had been substituted.?

(ii)

in Explanation 1,-

(a)

in clause (viii), for the words "Authority for Advance Rulings", the words "Authority for Advance Rulings or before the Board for Advance Rulings" shall be substituted;

{b) in clause (ix), for the words "Authority for Advance Rulings", the words "Authority for Advance Rulings or before the Board for Advance Rulings" shall be substituted;

{c) after the third proviso, the following provisos shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:-

"Provided also that where the assessee exercises the option to withdraw the application under sub-section (1) of section

245M, the period of limitation available under this section to the Assessing Officer for making an order of assessment, reassessment or recomputation, as the case may be, shall, after the exclusion of the period under sub-section (5) of the said section, be not less than one year; and where such period of limitation is less than one year, it shall be deemed to have been extended to one year:

Provided also that for the purposes of determining the period of limitation under sections 149, 154 and 155, and for the purposes of payment of interest under section 244A, the provisions of the fourth proviso shall apply accordingly.".'.

"Provided also that in respect of an order of assessment relating to the assessment year commencing on or after the 1st day of April, 2021, the provisions of this sub-section shall have effect, as if for the words "twentyone months", the words "nine months" had been substituted."

47.

Amendment of section 153A.

In section 153A of the Income-tax Act, in sub-section (1), in the opening portion, after the words, figures and letters "after the 31st day of May, 2003", the words, figures and letters "but on or before the 31st day of March, 2021" shall be inserted.

48.

Amendment of section 153B.

In section 153B of the Income-tax Act, in the Explanation,-

(a)

in clause (vi), for the words "Authority for Advance Rulings", the words "Authority for Advance Rulings or before the Board for Advance Rulings" shall be substituted;

(b)

in clause (vii), for the words "Authority for Advance Rulings", the words "Authority for Advance Rulings or before the Board for Advance Rulings" shall be substituted;

(c)

after the third proviso, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:-

"Provided also that where the assessee exercises the option to withdraw the application under sub-section (1) of section 245M, the period of limitation available under this section to the Assessing Officer for making an order of assessment or reassessment, as the case may be, shall, after the exclusion of the period under sub-section (5) of the said section, be not less than one year; and where such period of limitation is less than one year, it shall be deemed to have been extended to one year.".'.

49.

Amendment of section 153C.

In section 153C of the Income-tax Act, after sub-section (2), the following sub-section shall be inserted, namely:?

“(3) Nothing contained in this section shall apply in relation to a search initiated under section 132 or books of account, other documents or any assets requisitioned under section 132A on or after the 1st day of April, 2021.”.

50.

Amendment of section 194.

In section 194 of the Income-tax Act, in the second proviso, after clause (c), the following clauses shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2020, namely:??

“(d) a "business trust", as defined in clause (13A) of section 2, by a special purpose vehicle referred to in the Explanation to clause (23FC) of section 10;

(e)

any other person as may be notified by the Central Government in the Official Gazette in this behalf.”.

51.

Amendment of section 194A.

In section 194A of the Income-tax Act, in sub-section (3), in clause (x), after the words "infrastructure capital fund or", the words "infrastructure debt fund or" shall be inserted.

52.

Amendment of section 194-IB.

In section 194-IB of the Income-tax Act, in sub-section (4), for the words, figures and letters "section 206AA, such", the

words, figures and letters ?section 206AA or section 206AB, such? shall be substituted with effect from the 1st day of July, 2021.

53.

Insertion of new section 194P.

After section 194-O of the Income-tax Act, the following section shall be inserted, namely:??

Deduction of tax in case of specified senior citizen.

?194P. (1) Notwithstanding anything contained in the provisions of Chapter XVII-B, in case of a specified senior citizen, the specified bank shall, after giving effect to the deduction allowable under Chapter VI-A and rebate allowable under section 87A, compute the total income of such specified senior citizen for the relevant assessment year and deduct income-tax on such total income on the basis of the rates in force.

(2)

The provisions of section 139 shall not apply to a specified senior citizen for the assessment year relevant to the previous year in which the tax has been deducted under subsection (1).

Explanation.?? For the purposes of this section,??

(a)

?specified bank? means a banking company as the Central Government may, by notification in Official Gazette, specify;

(b)

?specified senior citizen? means an individual, being a resident in India??

(i)

who is of the age of seventy-five years or more at any time during the previous year;

(ii)

who is having income of the nature of pension and no other income except the income of the nature of interest received or receivable from any account maintained by such individual in the same specified bank in which he is receiving his pension income; and

(iii)

has furnished a declaration to the specified bank containing such particulars, in such form and verified in such manner, as may be prescribed.?.

54.

Insertion of new section 194Q.

After section 194P of the Income-tax Act, the following section shall be inserted with effect 1st day of July, 2021, namely:??

Deduction of tax at source on payment of certain sum for purchase of goods.

?194Q. (1) Any person, being a buyer who is responsible for paying any sum to any resident (hereafter in this section referred to as the seller) for purchase of any goods of the value or aggregate of such value exceeding fifty lakh rupees in any previous year, shall, at the time of credit of such sum to the account of the seller or at the time of payment thereof by any mode, whichever is earlier, deduct an amount equal to 0.1 per cent. of such sum exceeding fifty lakh rupees as income-tax.

Explanation.??For the purposes of this sub-section, ?buyer? means a person whose total sales, gross receipts or turnover from the business carried on by him exceed ten crore rupees during the financial year immediately preceding the financial year in which the purchase of goods is carried out, not being a person, as the Central Government may, by notification in the Official Gazette, specify for this purpose, subject to such conditions as may be specified therein.

(2)

Where any sum referred to in sub-section (1) is credited to any account, whether called ?suspense account? or by any other name, in the books of account of the person liable to pay such income, such credit of income shall be deemed to be the credit of such income to the account of the payee and the provisions of this section shall apply accordingly.

(3)

If any difficulty arises in giving effect to the provisions of this section, the Board may, with the previous approval of the Central Government, issue guidelines for the purpose of removing the difficulty.

(4)

Every guideline issued by the Board under sub-section (3) shall, as soon as may be after it is issued, be laid before each House of Parliament, and shall be binding on the incometax authorities and the person liable to deduct tax.

(5)

The provisions of this section shall not apply to a transaction on which??

(a)

tax is deductible under any of the provisions of this Act; and

(b)

tax is collectible under the provisions of section 206C other than a transaction to which sub-section (1H) of section 206C applies.?

55.

Amendment of section 196D.

In section 196D of the Income-tax Act, in sub-section (1), the following proviso shall be inserted, namely:??

?Provided that where an agreement referred to in subsection (1) of section 90 or sub-section (1) of section 90A applies to the payee and if the payee has furnished a certificate referred to in sub-section (4) of section 90 or sub-section (4) of section 90A, as the case may be, then, income-tax thereon shall be deducted at the rate of twenty per cent. or at the rate or rates of income-tax provided in such agreement for such income, whichever is lower.?

56.

Amendment of section 206AA.

In section 206AA of the Income-tax Act, in sub-section (1), after the proviso, the following proviso shall be inserted with effect from the 1st day of July, 2021, namely:??

?Provided further that where the tax is required to be deducted under section 194Q, the provisions of clause (iii) shall apply as if for the words ?twenty per cent.?, the words ?five per cent.? had been substituted.?

57.

Insertion of new section 206AB.

After section 206AA of the Income-tax Act, the following section shall be inserted with effect from the 1st day of July, 2021, namely:??

Special provision for deduction of tax at source for non-filers of income-tax return.

?206AB. (1) Notwithstanding anything contained in any other provisions of this Act, where tax is required to be deducted at source under the provisions of Chapter XVIIIB, other than sections 192, 192A, 194B, 194BB, 194LBC or 194N on any sum or income or amount paid, or payable or credited, by a person (hereafter referred to as deductee) to a specified person, the tax shall be deducted at the higher of the following rates, namely:??

(i)

at twice the rate specified in the relevant provision of the Act; or

(ii)

at twice the rate or rates in force; or

(iii)

at the rate of five per cent..

(2)

If the provisions of section 206AA is applicable to a specified person, in addition to the provision of this section, the tax shall be deducted at higher of the two rates provided in this section and in section 206AA.

(3)

For the purposes of this section ?specified person? means a person who has not filed the returns of income for both of the two assessment years relevant to the two previous years immediately prior to the previous year in which tax is required to be deducted, for which the time limit of filing return of income under sub-section (1) of section 139 has expired; and the aggregate of tax deducted at source and tax collected at source in his case is rupees fifty thousand or more in each of these two previous years:

Provided that the specified person shall not include a nonresident who does not have a permanent establishment in India.

Explanation.??For the purposes of this sub-section, the expression ?permanent establishment? includes a fixed place of business through which the business of the enterprise is wholly or partly carried on.?

58.

Insertion of new section 206CCA.

After section 206CC of the Income-tax Act, the following section shall be inserted with effect from the 1st day of July,

2021, namely:??

Special provision for collection of tax at source for non-filers of income-tax return.

206CCA. (1) Notwithstanding anything contained in any other provisions of this Act, where tax is required to be collected at source under the provisions of Chapter XVII-BB, on any sum or amount received by a person (hereafter referred to as collectee) from a specified person, the tax shall be collected at the higher of the following two rates, namely:??

(i)

at twice the rate specified in the relevant provision of the Act; or

(ii)

at the rate of five per cent.

(2)

If the provisions of section 206CC is applicable to a specified person, in addition to the provisions of this section, the tax shall be collected at higher of the two rates provided in this section and in section 206CC.

(3)

For the purposes of this section ?specified person? means a person who has not filed the returns of income for both of the two assessment years relevant to the two previous years immediately prior to the previous year in which tax is required to be collected, for which the time limit of filing return of income under sub-section (1) of section 139 has expired; and the aggregate of tax deducted at source and tax collected at source in his case is rupees fifty thousand or more in each of these two previous years:

Provided that the specified person shall not include a nonresident who does not have a permanent establishment in India.

Explanation.??For the purposes of this sub-section, the expression ?permanent establishment? includes a fixed place of business through which the business of the enterprise is wholly or partly carried on.?

59.

Amendment of section 234C.

In section 234C of the Income-tax Act, in sub-section (1),??

(i)

in the first proviso, for clause (d), the following clause shall be substituted, namely:??

?(d) the amount of dividend income,?;

(ii)

the Explanation shall be numbered as Explanation 1 thereof and after Explanation 1 as so numbered, the following Explanation shall be inserted, namely: ??

?Explanation 2.??For the purposes of this sub-section, the term ?dividend? shall have the meaning assigned to it in clause (22) of section 2, but shall not include sub-clause (e) thereof.?

60.

Amendment of section 234F.

In section 234F of the Income-tax Act, for sub-section (1), the following sub-section shall be substituted, namely:-

"(i) Without prejudice to the provisions of this Act, where a person required to furnish a return of income under section 139, fails to do so within the time prescribed in sub-section(i) of the said section, he shall pay, by way of a fee, a sum of five thousand rupees:

Provided that if the total income of the person does not exceed five lakh rupees, the fee payable under this section shall not exceed one thousand rupees.";

61.

Insertion of new section 234H.

After section 234G of the Income-tax Act, the following section shall be inserted, namely:-

Fee for default relating to intimation of Aadhaar number

"234H. Without prejudice to the provisions of this Act, where a person is required to intimate his Aadhaar number under sub-section (2) of section 139AA and such person fails to do so on or before such date, as may be prescribed, he shall be liable to pay such fee, as may be prescribed, not exceeding one thousand rupees, at the time of making intimation under sub-section(2) of section 139AA after the said date.".

62.

Amendment of section 245A.

In section 245A of the Income-tax Act, with effect from the 1st day of February, 2021,??

(i)

after clause (d), the following clause shall be inserted and shall be deemed to have been inserted, namely:??

?(da) ?Interim Board? means the Interim Board for Settlement constituted under section 245AA;?;

(ii)

after the clause (e), the following clauses shall be inserted and shall be deemed to have been inserted, namely:??

?(ea) ?Member of the Interim Board? means a Member of the Interim Board;

(eb)

?pending application? means an application which was filed under section 245C and which fulfils the following conditions, namely: ?

(i)

it was not declared invalid under sub-section (2C) of section 245D; and

(ii)

no order under sub-section (4) of section 245D was issued on or before the 31st day of January, 2021 with respect to such application;?.

63.

Insertion of new section 245AA.

After section 245A of the Income-tax Act, the following section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

Interim Boards for Settlement.

?245AA.(1) The Central Government shall constitute one or more Interim Boards for Settlement, as may be necessary, for the settlement of pending applications.

(2)

Every Interim Board shall consist of three members, each being an officer of the rank of Chief Commissioner, as may be nominated by the Board.?

(3)

If the Members of the Interim Board differ in opinion on any point, the point shall be decided according to the opinion of the majority.?

64.

Amendment of section 245B.

In section 245B of the Income-tax Act, in sub-section (1), the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?Provided that the Income-tax Settlement Commission so constituted shall cease to operate on or after the 1st day of February, 2021.?

65.

Amendment of section 245BC.

In section 245BC of the Income-tax Act, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?Provided that the provisions of this section shall not apply on or after the 1st day of February, 2021.?

66.

Amendment of section 245BD.

In section 245BD of the Income-tax Act, the following proviso shall be inserted and shall be deemed to have been inserted, with effect from the 1st day of February, 2021, namely:??

?Provided that the provisions of this section shall not apply on or after the 1st day of February, 2021.?

67.

Amendment of section 245C.

In section 245C of the Income-tax Act, after subsection (4), the following sub-section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?(5) No application shall be made under this section on or after the 1st day of February, 2021.?

68.

Amendment of section 245D.

In section 245D of the Income-tax Act, with effect from the 1st day of February, 2021,??

(i)

in sub-section (2C), after the second proviso, the following proviso shall be inserted and shall be deemed to have been inserted, namely:??

?Provided also that where in respect of an application, an order, which was required to be passed under this subsection on or before the 31st day of January, 2021, has not been passed on or before the 31st day of January, 2021, such application shall deemed to be valid.??;

(ii)

in sub-section (6B), for the words ?amend any order passed by it?, the words ?amend any order passed? shall be substituted and shall be deemed to have been substituted;

(iii)

after sub-section (8), the following sub-sections shall be inserted and shall be deemed to have been inserted, namely:??

? (9) On and from the 1st day of February, 2021, the provisions of sub-sections (1), (2), (2B), (2C), (3), (4), (4A), (5), (6) and (6B) shall apply to pending applications allotted to Interim Board with the following modifications, namely:??

(i)

for the words ?Settlement Commission?, wherever they occur, the words ?Interim Board? shall be substituted;

(ii)

for the word ?Bench?, the words ?Interim Board? shall be substituted;

(iii)

for the purposes of this section, the date referred to in sub-section (2) of section 245M shall be deemed to be date on which the application was made under section 245C and received by the Interim Board;

(iv)

where the time-limit for amending any order or filing of rectification application as per sub-section (6B) expires on or after the 1st day of February, 2021, in computing the period of limitation, the period commencing from the 1st February, 2021 and ending on the end of the month in which the Interim Board is constituted shall be excluded and where immediately after exclusion of such period, the remaining period available to the Interim Board for amending the order or to the Principal Commissioner or Commissioner or the applicant for filing of application is less than sixty days, such remaining period shall be extended to sixty days and the period of limitation shall be deemed to have been extended accordingly.

(10)

On and from the 1st day of February, 2021, the provisions of sub-sections (6A) and (7) shall have effect as if for the words ?Settlement Commission?, the words ?Settlement Commission or Interim Board of Settlement? had been substituted.

(11)

The Central Government may by notification in the Official Gazette, make a scheme, for the purposes of settlement in respect of pending applications by the Interim Board, so as to impart greater efficiency, transparency and accountability by?

(a)

eliminating the interface between the Interim Board and the assessee in the course of proceedings to the extent technologically feasible;

(b)

optimising utilisation of the resources through economies of scale and functional specialisation;

(c)

introducing a mechanism with dynamic jurisdiction.

(12)

The Central Government may, for the purposes of giving effect to the scheme made under sub-section (11), by notification in the Official Gazette, direct that any of the provisions of this Act shall not apply or shall apply with such exceptions, modifications and adaptations as may be specified in the said notification:

Provided that no such direction shall be issued after the 31st day of March, 2023.

(13)

Every notification issued under sub-section (11) and sub-section (12) shall, as soon as may be after the notification is

issued, be laid before each House of Parliament.?

69.

Amendment of section 245DD.

In section 245DD of the Income-tax Act, after sub-section (2), the following sub-section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?(3) On and from the 1st day of February, 2021, the power of the Settlement Commission under this section shall be exercised by the Interim Board and the provisions of this section shall mutatis mutandis apply to the Interim Board as they apply to the Settlement Commission.?

70.

Amendment of section 245F.

In section 245F of the Income-tax Act, after sub-section (7), the following sub-section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?(8) On and from the 1st day of February, 2021, the powers and functions of the Settlement Commission under this section shall be exercised or performed, by the Interim Board and all the provisions of this section shall mutatis mutandis apply to the Interim Board as they apply to the Settlement Commission.?

71.

Amendment of section 245G.

In section 245G of the Income-tax Act, after the first proviso, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?Provided further that on or after the 1st day of February, 2021, functions of the Settlement Commission under this section shall be performed by the Interim Board and the provisions of this section shall mutatis mutandis apply to Interim Board as they apply to the Settlement Commission.?

72.

Amendment of section 245H.

In section 245H of the Income-tax Act, after sub-section (2), the following sub-section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

?(3) On and from the 1st day of February, 2021, the power of the Settlement Commission under this section shall be exercised by the Interim Board and the provisions of this section shall mutatis mutandis apply to the Interim Board as they apply to the Settlement Commission.?

73.

Insertion of new section 245M.

In the Income-tax Act, after section 245L, the following section shall be inserted and shall be deemed to have been inserted with effect from the 1st day of February, 2021, namely:??

Option to withdraw pending application.

?245M.(1) With respect to a pending application, the assessee who had filed such application may, at his option, withdraw such application within a period of three months from the date of commencement of the Finance Act, 2021 and intimate the Assessing Officer, in the prescribed manner, about such withdrawal.

(2)

Where the option under sub-section (1) is not exercised by the assessee within the time allowed under that sub-section, the pending application shall be deemed to have been received by the Interim Board on the date on which such application is allotted or transferred to the Interim Board under sub-section (3).

(3)

The Board may, by an order, allot any pending application to any Interim Board and may also transfer, by an order, any pending application from one Interim Board to another Interim Board.

(4)

Where the pending application is allotted to an Interim Board under sub-section (3) or transferred to another Interim Board subsequently, all the records, documents or evidences, by whatever name called, with the Settlement Commission shall be transferred to such Interim Board and shall be deemed to be the records before it for all purposes.

(5)

Where the assessee exercises the option under subsection (1) to withdraw his application, the proceedings with respect to the application shall abate on the date on which such application is withdrawn and the Assessing Officer, or, as the

case may be, any other income-tax authority before whom the proceeding at the time of making the application was pending, shall dispose of the case in accordance with the provisions of this Act as if no application under section 245C.

had been made:

Provided that for the purposes of the time-limit under sections 149, 153, 153B, 154 and 155 and for the purposes of payment of interest under section 243 or 244 or, as the case may be, section 244A, for making the assessment or reassessment under this sub-section, the period commencing on and from the date of the application to the Settlement Commission under section 245C and ending with the date referred to in this sub-section shall be excluded:

Provided further that the income-tax authority shall not be entitled to use the material and other information produced by the assessee before the Settlement Commission or the results of the inquiry held or evidence recorded by the Settlement Commission in the course of proceedings before it:

Provided also that nothing contained in the first proviso shall apply in relation to the material and other information collected, or results of the inquiry held or evidence recorded by the Assessing Officer, or as the case may be, other income tax authority during the course of any other proceeding under this Act irrespective of whether such material or other information or results of the inquiry or evidence were also produced by the assessee or the Assessing Officer before the Settlement Commission.?

74.

Insertion of new Chapter XIXAA.

After Chapter XIX-A of the Income-tax Act, the following Chapter shall be inserted, with effect from the 1st day of April, 2021, namely: ?

Chapter XIX

AA DISPUTE RESOLUTION COMMITTEE IN CERTAIN CASES

245MA.

Dispute Resolution Committee.

(1)

The Central Government shall constitute, one or more Dispute Resolution Committees, as may be necessary, in accordance with the rules made under this Act, for dispute resolution in the case of such persons or class of persons, as may be specified by the Board, who may opt for dispute resolution under this Chapter in respect of dispute arising from any variation in the specified order in his case and who fulfils the specified conditions.

(2)

The Dispute Resolution Committee, subject to such conditions, as may be prescribed, shall have the powers to reduce or waive any penalty imposable under this Act or grant immunity from prosecution for any offence punishable under this Act in case of a person whose dispute is resolved under this Chapter.

(3)

The Central Government may make a scheme, by notification in the Official Gazette, for the purposes of dispute resolution under this Chapter, so as to impart greater efficiency, transparency and accountability by?

(a)

eliminating the interface between the Dispute Resolution Committee and the assessee in the course of dispute resolution proceedings to the extent technologically feasible;

(b)

optimising utilisation of the resources through economies of scale and functional specialisation;

(c)

introducing a dispute resolution system with dynamic jurisdiction.

(4)

The Central Government may, for the purposes of giving effect to the scheme made under sub-section (3), by notification in the Official Gazette, direct that any of the provisions of this Act shall not apply or shall apply with such exceptions, modifications and adaptations as may be specified in the said notification:

Provided that no such direction shall be issued after the 31st day of March, 2023.

(5)

Every notification issued under sub-sections (3) and

(4)

shall, as soon as may be after the notification is issued, be laid before each House of Parliament.

Explanation.? For the purposes of this section,?

(a)

?specified conditions? in relation to a person means a person who fulfils the following conditions, namely:?

(I)

where he is not a person,?

(A)

in respect of whom an order of detention has been made under the provisions of the Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974:

Provided that?

(i)

such order of detention, being an order to which the provisions of section 9 or section 12A of the said Act do not apply, has been revoked on the report of the Advisory Board under section 8 of the said Act or before the receipt of the report of the Advisory Board; or

(ii)

such order of detention being an order to which the provisions of section 9 of the said Act apply, has not been revoked before the expiry of the time for, or on the basis of, the review under sub-section (3) of section 9, or on the report of the Advisory Board under section 8, read with sub-section (2) of section 9, of the said Act; or

(iii)

such order of detention, being an order to which the provisions of section 12A of the said Act apply, has not been revoked before the expiry of the time for, or on the basis of, the first review under sub-section (3) of the said section, or on the basis of the report of the Advisory Board under section 8, read with subsection (6) of section 12A, of the said Act; or

(iv)

such order of detention has not been set aside by a court of competent jurisdiction;

(B)

in respect of whom prosecution for any offence punishable under the provisions of the Indian Penal Code, the Unlawful Activities (Prevention) Act, 1967, the Narcotic Drugs and Psychotropic Substances Act, 1985, the Prohibition of Benami Transactions Act, 1988, the Prevention of Corruption Act, 1988 or the Prevention of Money Laundering Act, 2002 has been instituted and he has been convicted of any offence punishable under any of those Acts;

(C)

in respect of whom prosecution has been initiated by an income-tax authority for any offence punishable under the provisions of this Act or the Indian Penal Code or for the purpose of enforcement of any civil liability under any law for the time being in force, or such person has been convicted of any such offence consequent upon the prosecution initiated by an Income-tax authority;

(D)

who is notified under section 3 of the Special Court (Trial of Offences Relating to Transactions in Securities) Act, 1992;

(II)

such other conditions, as may be prescribed.

(b)

?specified order? means such order, including draft order, as may be specified by the Board, and,?

(i)

aggregate sum of variations proposed or made in such order does not exceed ten lakh rupees;

(ii)

such order is not based on search initiated under section 132 or requisition under section 132A in the case of assessee or any other person or survey under section 133A or information received under an agreement referred to in section 90 or section 90A;

(iii)

where return has been filed by the assessee for the assessment year relevant to such order, total income as per such return does not exceed fifty lakh rupees.?

75.

Amendment of section 245N.

In section 245N of the Income-tax Act,??

(i)

in clause (b), sub-clauses (B), (C) and (D) shall be omitted with effect from such date as the Central Government may, by notification in the Official Gazette, appoint;

(ii)

in clause (c), after the word ?Authority?, the words ?or the Board for Advance Rulings? shall be inserted;

(iii)

after clause (c), the following clause shall be inserted, namely:?

?(ca) ?Board for Advance Rulings? means the Board for Advance Rulings constituted by the Central Government under section 245-OB;?;

(iv)

in clause (f), after the word ?Vice-Chairman?, the words ?or a Member of the Board for Advance Rulings? shall be inserted.

76.

Amendment of section 245-O.

In section 245-O of the Income-tax Act, in sub-section (1), after the proviso, the following proviso shall be inserted, namely:?

?Provided further that the Authority so constituted shall cease to operate on and from such date as the Central Government may, by notification in the Official Gazette, appoint.?.

77.

Insertion of new section 245-OB.

After section 245-OA of the Income-tax Act, the following section shall be inserted, namely:?

?245-OB. Board for Advance Rulings.

(1)

The Central Government shall constitute one or more Boards for Advance Rulings, as may be necessary, for giving advance rulings under this Chapter on or after such date as the Central Government may, by notification in the Official Gazette, appoint.

(2)

The Board for Advance Rulings shall consist of two members, each being an officer not below the rank of Chief Commissioner, as may be nominated by the Board.?.

78.

Amendment of section 245P.

Section 245P of the Income-tax Act shall be numbered as sub-section (1) thereof, and after sub-section (1) as so numbered, the following sub-section shall be inserted, namely:??

?(2) With effect from such date as the Central Government may, by notification in the Official Gazette, appoint, the provisions of this section shall have effect as if for the word ?Authority?, the words ?Board for Advance Rulings? had been substituted.?.

79.

Amendment of section 245Q.

In section 245Q of the Income-tax Act,?

(a)

in sub-section (1), the words, figures and letters ?or under Chapter IIIA of the Central Excise Act, 1944 or under Chapter VA of the Finance Act, 1994? shall be omitted with effect from such date as the Central Government may, by notification in the Official Gazette, appoint;

(b)

after sub-section (3), the following sub-section shall be inserted, namely:?

?(4) Where an application is made under this section before such date as the Central Government may, by notification in the Official Gazette appoint, and in respect of which no order under sub-section (2) of section 245R has been passed or advance ruling under sub-section (4) of section 245R has been pronounced before such date, such application along with all the relevant records, documents or material, by whatever name called, on the file of the Authority shall be

transferred to the Board for Advance Rulings and shall be deemed to be the records before the Board for Advance Rulings for all purposes.?

80.

Amendment of section 245R.

In section 245R of the Income-tax Act, after subsection (7), the following sub-sections shall be inserted, namely:?

?(8) On and from such date as the Central Government may, by notification in the Official Gazette, appoint, the provisions of this section shall have effect as if for the word ?Authority?, the words ?Board for Advance Rulings? had been substituted and the provisions of this section shall apply mutatis mutandis to the Board for Advance Rulings as they apply to the Authority.

(9)

The Central Government may, by notification in the Official Gazette, make a scheme for the purposes of giving advance rulings under this Chapter by the Board for Advance Rulings, so as to impart greater efficiency, transparency and accountability by?

(a)

eliminating the interface between the Board for Advance Rulings and the applicant in the course of proceedings to the extent technologically feasible;

(b)

optimising utilisation of the resources through economies of scale and functional specialisation;

(c)

introducing a system with dynamic jurisdiction.

(10)

The Central Government may, for the purposes of giving effect to the scheme made under sub-section (9), by notification in the Official Gazette, direct that any of the provisions of this Act shall not apply or shall apply with such exceptions, modifications and adaptations as may be specified in the said notification:

Provided that no such direction shall be issued after the 31st day of March, 2023.

(11)

Every notification issued under sub-section (9) and sub-section (10) shall, as soon as may be after the notification is issued, be laid before each House of Parliament.?

81.

Amendment of section 245S.

In section 245S of the Income-tax Act, after subsection (2), the following sub-section shall be inserted, namely:?

?(3) Nothing contained in this section shall apply to any advance ruling pronounced under section 245R on or after such date as the Central Government may, by notification in the Official Gazette, appoint.?

82.

Amendment of section 245T.

In section 245T of the Income-tax Act,?

(a)

in sub-section (1), the words ?by it? shall be omitted;

(b)

after sub-section (2), the following sub-section shall be inserted, namely:?

?(3) With effect from such date as the Central Government may, by notification in the Official Gazette, appoint, the provisions of this section shall have effect as if for the word ?Authority?, the words ?Board for Advance Rulings? had been substituted.?

83.

Amendment of section 245U.

In section 245U of the Income-tax Act, after sub-section (2), the following sub-section shall be inserted, namely:?

?(3) On and from such date as the Central Government may, by notification in the Official Gazette, appoint, the powers of the Authority under this section shall be exercised by the Board for Advance Rulings and the provisions of this section shall mutatis mutandis apply to the Board for Advance Rulings as they apply to the Authority.?

84.

Amendment of section 245V.

In section 245V of the Income-tax Act, the following proviso shall be inserted, namely:?

?Provided that nothing contained in this section shall apply on or after such date as the Central Government may, by notification in the Official Gazette, appoint.?

85.

Insertion of new section 245W.

After section 245V of the Income-tax Act, the following section shall be inserted, namely:?

Appeal.

?245W. (1) The applicant, if he is aggrieved by any ruling pronounced or order passed by the Board for Advance Rulings or the Assessing Officer, on the directions of the Principal Commissioner or Commissioner, may appeal to the High Court against such ruling or order of the Board of Advance Rulings within sixty days from the date of the communication of that ruling or order, in such form and manner, as may be prescribed:

Provided that where the High Court is satisfied, on an application made by the appellant in this behalf, that the appellant was prevented by sufficient cause from presenting the appeal within the period specified in sub-section (1), it may grant further period of thirty days for filing such appeal.

(2)

The Central Government may make a scheme, by notification in the Official Gazette, for the purposes of filing appeal to the High Court under sub-section

(1)

by the Assessing Officer, so as to impart greater efficiency, transparency and accountability by?

(a)

optimising utilisation of the resources through economies of scale and functional specialisation;

(b)

introducing a team-based mechanism with dynamic jurisdiction.

(3)

The Central Government may, for the purposes of giving effect to the scheme made under sub-section (2), by notification in the Official Gazette, direct that any of the provisions of this Act shall not apply or shall apply with such exceptions, modifications and adaptations as may be specified in the said notification:

Provided that no such direction shall be issued after the 31st day of March, 2023.

(4)

Every notification issued under sub-section (2) and sub-section (3) shall, as soon as may be after the notification is issued, be laid before each House of Parliament.?

86.

Amendment of section 255.

In section 255 of the Income-tax Act, after sub-section (6), the following sub-sections shall be inserted, namely: ??

?(7) The Central Government may make a scheme, by notification in the Official Gazette, for the purposes of disposal of appeals by the Appellate Tribunal so as to impart greater efficiency, transparency and accountability by?

(a)

eliminating the interface between the Appellate Tribunal and parties to the appeal in the course of appellate proceedings to the extent technologically feasible;

(b)

optimising utilisation of the resources through economies of scale and functional specialisation;

(c)

introducing an appellate system with dynamic jurisdiction.

(8)

The Central Government may, for the purposes of giving effect to the scheme made under sub-section (7), by notification in the Official Gazette, direct that any of the provisions of this Act shall not apply to such scheme or shall apply with such exceptions, modifications and adaptations as may be specified in the said notification:

Provided that no such direction shall be issued after the 31st day of March, 2023.

(9)

Every notification issued under sub-section (7) and sub-section (8) shall, as soon as may be after the notification is issued, be laid before each House of Parliament.?

87.

Amendment of section 263.

In section 263 of the Income-tax Act, in sub-section (1), before Explanation, for the words "Principal Commissioner", the words "Principal Chief Commissioner or Chief Commissioner or Principal Commissioner" shall be inserted and shall be deemed to have been inserted with effect from the 151 day of November, 2020.'

88.

Amendment of section 281B.

In section 281B of the Income-tax Act, in sub-section (1), after the words 'escaped assessment', the words, figures and letters 'or for imposition of penalty under section 271AAD where the amount or aggregate of amounts of penalty likely to be imposed under the said section exceeds two crore rupees' shall be inserted.

Chapter IV

INDIRECT TAXES

Customs

89.

Amendment of section 2.

In the Customs Act, 1962 (hereinafter referred to as the Customs Act), in section 2, after clause (7A), the following clause shall be inserted, namely:??

?(7B) 'common portal' means the Common Customs Electronic Portal referred to in section 154C;?.

90.

Amendment of section 5.

In section 5 of the Customs Act, in sub-section (3), for the words and figures 'Chapter XV and section 108', the words, figures, brackets and letter 'Chapter

XV, section 108 and subsection (1D) of section 110' shall be substituted.

91.

Amendment of section 25.

In section 25 of the Customs Act, after sub-section (4), the following sub-section shall be inserted, namely:??

?(4A) Where any exemption is granted subject to any condition under sub-section (1), such exemption shall, unless otherwise specified or varied or rescinded, be valid upto 31st day of March falling immediately after two years from the date of such grant or variation:

Provided that in respect of any such exemption in force as on the date on which the Finance Bill, 2021 receives the assent of the President, the said period of two years shall be reckoned from the 1st day February, 2021.?

92.

Insertion of new section 28BB.

After section 28BA of the Customs Act, the following section shall be inserted, namely:??

Time limit for completion of certain actions.

28BB.(1) Any inquiry or investigation under this Act, culminating in the issuance of a notice under sub-section (1) or sub-section (4) of section 28 shall be completed by issuing such notice, within a period of two years from the date of initiation of audit, search, seizure or summons, as the case may be:

Provided that the Principal Commissioner of Customs or the Commissioner of Customs may, on sufficient cause being shown and for reasons to be recorded in writing, extend the said period to a further period of one year.

(2)

For computing the period under sub-section (1), the period during which stay was granted by an order of a court or tribunal, or the period for seeking information from an overseas authority through a legal process, shall be excluded.

Explanation.??For the removal of doubts, it is hereby declared that nothing contained in this section shall apply to any such proceeding initiated before the date on which the Finance Bill, 2021 receives the assent of the President.?

93.

Amendment of section 46.

In section 46 of the Customs Act, in sub-section (3),??

(i)

in the opening portion, for the words and brackets 'before the end of the next day following the day (excluding holidays)', the words and brackets 'before the end of the day (including holidays) preceding the day' shall be

substituted;

(ii)

for the words "Provided that", the following shall be substituted, namely:--

"Provided that the Board may, in such cases as it may deem fit, prescribe different time limits for presentation of the bill of entry, which shall not be later than the end of the day of such arrival:

Provided further that";

(iii)

for the words "Provided further that", the words "Provided also that" shall be substituted.

94.

Amendment of section 110.

In section 110 of the Customs Act, after sub-section (1C), the following sub-section shall be inserted, namely:--

"(1D) Where the goods seized under sub-section (1) is gold in any form as notified under sub-section (1A), then, the proper officer shall, instead of making an application under sub-section (1B) to the Magistrate, make such application to the Commissioner (Appeals) having jurisdiction, who shall, as soon as may be, allow the application and thereafter, the proper officer shall dispose of such goods in such manner as the Central Government may determine.?"

95.

Amendment of section 113.

In section 113 of the Customs Act, after clause (j), the following clause shall be inserted, namely:--

"(ja) any goods entered for exportation under claim of remission or refund of any duty or tax or levy to make a wrongful claim in contravention of the provisions of this Act or any other law for the time being in force;?"

96.

Insertion of new section 114AC.

After section 114AB of the Customs Act, the following section shall be inserted, namely:--

Penalty for fraudulent utilisation of input tax credit for claiming refund.

"114AC. Where any person has obtained any invoice by fraud, collusion, willful misstatement or suppression of facts to utilise input tax credit on the basis of such invoice for discharging any duty or tax on goods that are entered for exportation under claim of refund of such duty or tax, such person shall be liable for penalty not exceeding five times the refund claimed.

Explanation.--For the purposes of this section, the expression "input tax credit" shall have the same meaning as assigned to it in clause (63) of section 2 of the Central Goods and Services Tax Act, 2017.?"

97.

Amendment of section 139.

In section 139 of the Customs Act, in the Explanation, for the words, brackets, figures and letter "a Magistrate under subsection (1C) of section 110", the words, brackets, figures and letters "a Magistrate under sub-section (1C), or Commissioner (Appeals) under sub-section (1D), of section 110" shall be inserted.

98.

Amendment of section 149.

In section 149 of the Customs Act, after the proviso, the following provisos shall be inserted, namely:--

"Provided further that such authorisation or amendment may also be done electronically through the customs automated system on the basis of risk evaluation through appropriate selection criteria:

Provided also that such amendments, as may be specified by the Board, may be done by the importer or exporter on the common portal.?"

99.

Amendment of section 153.

In section 153 of the Customs Act, in sub-section (1), after clause (c), the following clause shall be inserted, namely:--

"(ca) by making it available on the common portal;?"

100.

Insertion of new section 154C.

After section 154B of the Customs Act, the following section shall be inserted, namely:--

Common Customs Electronic Portal.

"154C. The Board may notify a common portal, to be called the Common Customs Electronic Portal, for facilitating

registration, filing of bills of entry, shipping bills, other documents and forms prescribed under this Act or under any other law for the time being in force or the rules or regulations made thereunder, payment of duty and for such other purposes, as the Board may, by notification, specify.?

Customs tariff

101.

Amendment of section 8B.

In the Customs Tariff Act, 1975 (hereinafter referred to as the Customs Tariff Act), in section 8B, in sub-section (6),??

(i)
in clause (i), for the word ?unit;?, the words ?unit; or? shall be substituted;

(ii)
for the Explanation, the following Explanation shall be substituted, namely:?

?Explanation.??For the purposes of this sub-section,?

(a)
the expression ?hundred per cent. exportoriented undertaking? shall have the same meaning as assigned to it in clause (i) of Explanation 2 to subsection

(1)
of section 3 of the Central Excise Act, 1944;

(b)
the expression ?special economic zone? shall have the same meaning as assigned to it in clause (za) of section 2 of the Special Economic Zones Act, 2005.?

102.

Amendment of section 9.

In section 9 of the Customs Tariff Act,??

(i)
in sub-section (1A), after the words ?such other article also?, the words ?from such date, not earlier than the date of initiation of the inquiry, as the Central Government may, by notification in the Official Gazette, specify? shall be inserted;

(ii)
after sub-section (1A), the following sub-section shall be inserted, namely:??
?(1B) Where the Central Government, on such inquiry as it considers necessary, is of the opinion that absorption of countervailing duty imposed under sub-section (1) has taken place whereby the countervailing duty so imposed is rendered ineffective, it may modify such duty to counter the effect of such absorption, from such date, not earlier than the date of initiation of the inquiry, as the Central Government may, by notification in the Official Gazette, specify.

Explanation.??For the purposes of this sub-section, ?absorption of countervailing duty? is said to have taken place,?

(a)
if there is a decrease in the export price of an article without any commensurate change in the resale price in India of such article imported from the exporting country or territory; or

(b)
under such other circumstances as may be provided by rules.?

(iii)
after sub-section (2), the following sub-section shall be inserted, namely: ?

?(2A) Notwithstanding anything contained in sub-sections (1) and (2), a notification issued under sub-section (1) or any countervailing duty imposed under sub-section (2) shall not apply to article imported by a hundred per cent. export-oriented undertaking or a unit in a special economic zone, unless, ?

(i)
it is specifically made applicable in such notification or to such undertaking or unit; or

(ii)
such article is either cleared as such into the domestic tariff area or used in the manufacture of any goods that are cleared into the domestic tariff area, in which case, countervailing duty shall be imposed on that portion of the article so cleared or used, as was applicable when it was imported into India.

Explanation.??For the purposes of this sub-section,??

(a)

the expression "hundred per cent. export-oriented undertaking" shall have the same meaning as assigned to it in clause (i) of Explanation 2 to sub-section

(1)

of section 3 of the Central Excise Act, 1944;

(b)

the expression "special economic zone" shall have the same meaning as assigned to it in clause (za) of section 2 of the Special Economic Zones Act, 2005.?

(iv)

in sub-section (6),??

(a)

in the first proviso, for the words "of five years", the words "upto five years" shall be substituted;

(b)

after the second proviso, the following proviso shall be inserted, namely:??

"Provided also that if the said duty is revoked temporarily, the period of such revocation shall not exceed one year at a time.?"

103.

Amendment of section 9A.

In section 9A of the Customs Tariff Act,??

(i)

in sub-section (1A), after the words "as the case may be", the words ", from such date, not earlier than the date of initiation of the inquiry, as the Central Government may, by notification in the Official Gazette, specify" shall be inserted;

(ii)

after sub-section (1A), the following sub-section shall be inserted, namely:??

“(1B) Where the Central Government, on such inquiry as it may consider necessary, is of the opinion that absorption of anti-dumping duty imposed under sub-section (1) has taken place whereby the anti-dumping duty so imposed is rendered ineffective, it may modify such duty to counter the effect of such absorption, from such date, not earlier than the date of initiation of the inquiry, as the Central Government may, by notification in the Official Gazette, specify.

Explanation.??For the purposes of this sub-section, "absorption of anti-dumping duty" is said to have taken place,??

(a)

if there is a decrease in the export price of an article without any commensurate change in the cost of production of such article or export price of such article to countries other than India or resale price in India of such article imported from the exporting country or territory; or

(b)

under such other circumstances as may be provided by rules.?"

(iii)

for sub-section (2A), the following sub-section shall be substituted, namely:??

“(2A) Notwithstanding anything contained in sub-section (1) and sub-section (2), a notification issued under subsection (1) or any anti-dumping duty imposed under subsection (2) shall not apply to articles imported by a hundred per cent. export-oriented undertaking or a unit in a special economic zone, unless,?”

(i)

it is specifically made applicable in such notification or to such undertaking or unit; or

(ii)

such article is either cleared as such into the domestic tariff area or used in the manufacture of any goods that are cleared into the domestic tariff area, in which case, antidumping duty shall be imposed on that portion of the article so cleared or used, as was applicable when it was imported into India.

Explanation.??For the purposes of this section,??

(a)

the expression "hundred per cent. export-oriented undertaking" shall have the same meaning as assigned to it in clause (i) of Explanation 2 to sub-section

(1)

of section 3 of the Central Excise Act, 1944;

(b)
the expression "special economic zone" shall have the same meaning as assigned to it in clause (za) of section 2 of the Special Economic Zones Act, 2005.;

(iv)
in sub-section (5),??

(a)
in the first proviso, for the words "of five years", the words "upto five years" shall be substituted;

(b)
after the second proviso, the following proviso shall be inserted, namely:?
"Provided also that if the said duty is revoked temporarily, the period of such revocation shall not exceed one year at a time.?"

104.

Amendment of First Schedule.

In the Customs Tariff Act, the First Schedule shall??

(i)
be amended in the manner specified in the Second Schedule;

(ii)
with effect from the 1st April, 2021, be also amended in the manner specified in the Third Schedule; and

(iii)
with effect from the 1st January, 2022, be also amended in the manner specified in the Fourth Schedule.

Excise

105.

Amendment of Fourth Schedule.

In the Central Excise Act, 1944 (hereinafter referred to as the Central Excise Act), the Fourth Schedule shall,??

(i)
with effect from the 1st April, 2021, be amended in the manner specified in the Fifth Schedule; and

(ii)
with effect from the 1st January, 2022, be also amended in the manner specified in the Sixth Schedule.

106.

Amendment of Chapter 27 of Fourth Schedule.

In the Fourth Schedule to the Central Excise Act, in Chapter 27, with effect from the 1st day of January, 2020,??

(i)
for the entry in column (2) occurring against tariff item 2710 12 49, the entry "---- M15 Fuel conforming to standard IS 17076" shall be substituted and shall be deemed to have been substituted;

(ii)
for the entry in column (4) occurring against tariff item 2710 20 10, the entry "14% + Rs.15.00 per litre" shall be substituted and shall be deemed to have been substituted;

(iii)
for the entry in column (4) occurring against tariff item 2710 20 20, the entry "14% + Rs.15.00 per litre" shall be substituted and shall be deemed to have been substituted.

107.

Revised date of effect to amendments made in Fourth Schedule vide notification issued under section 3C of Central Excise Act, 1944.

Notwithstanding anything contained in paragraph 2 of the notification of the Government of India in the Ministry of Finance (Department of Revenue) number G.S.R 978 (E), dated the 31st December, 2019, issued in exercise of the powers conferred under section 3C of the Central Excise Act, 1944, the amendments made in Chapter 27 of the Fourth Schedule thereto by the said notification shall be deemed to have, and always to have had effect, for all purposes, on and from the

1st.

day of January, 2020.

Central Goods and Services Tax

108.

Amendment of section 7.

In the Central Goods and Services Tax Act, 2017 (hereinafter referred as the Central Goods and Services Tax Act), in section 7, in sub-section (1), after clause (a), the following clause shall be inserted and shall be deemed to have been inserted with effect from the 1st day of July, 2017, namely:??

?(aa) the activities or transactions, by a person, other than an individual, to its members or constituents or viceversa, for cash, deferred payment or other valuable consideration.

Explanation.??For the purposes of this clause, it is hereby clarified that, notwithstanding anything contained in any other law for the time being in force or any judgment, decree or order of any Court, tribunal or authority, the person and its members or constituents shall be deemed to be two separate persons and the supply of activities or transactions inter se shall be deemed to take place from one such person to another;?.

109.

Amendment of section 16.

In section 16 of the Central Goods and Services Tax Act, in sub-section (2), after clause (a), the following clause shall be inserted, namely:??

?(aa) the details of the invoice or debit note referred to in clause (a) has been furnished by the supplier in the statement of outward supplies and such details have been communicated to the recipient of such invoice or debit note in the manner specified under section 37;?

110.

Amendment of section 35.

In section 35 of the Central Goods and Services Tax Act, sub-section (5) shall be omitted.

111.

Substitution of new section for section 44.

For section 44 of the Central Goods and Services Tax Act, the following section shall be substituted, namely:??

Annual return.

?44. Every registered person, other than an Input Service Distributor, a person paying tax under section 51 or section 52, a casual taxable person and a non-resident taxable person shall furnish an annual return which may include a selfcertified reconciliation statement, reconciling the value of supplies declared in the return furnished for the financial year, with the audited annual financial statement for every financial year electronically, within such time and in such form and in such manner as may be prescribed:

Provided that the Commissioner may, on the recommendations of the Council, by notification, exempt any class of registered persons from filing annual return under this section:

Provided further that nothing contained in this section shall apply to any department of the Central Government or a State Government or a local authority, whose books of account are subject to audit by the Comptroller and AuditorGeneral of India or an auditor appointed for auditing the accounts of local authorities under any law for the time being in force.?

112.

Amendment of section 50.

In section 50 of the Central Goods and Services Tax Act, in sub-section (1), for the proviso, the following proviso shall be substituted and shall be deemed to have been substituted with effect from the 1st day of July, 2017, namely:??

?Provided that the interest on tax payable in respect of supplies made during a tax period and declared in the return for the said period furnished after the due date in accordance with the provisions of section 39, except where such return is furnished after commencement of any proceedings under section 73 or section 74 in respect of the said period, shall be payable on that portion of the tax which is paid by debiting the electronic cash ledger.?

113.

Amendment of section 74.

In section 74 of the Central Goods and Services Tax Act, in Explanation 1, in clause (ii), for the words and figures ?sections 122, 125, 129 and 130?, the words and figures ?sections 122 and 125? shall be substituted.

114.

Amendment of section 75.

In section 75 of the Central Goods and Services Tax Act, in sub-section (12), the following Explanation shall be inserted,

namely:??

?Explanation.??For the purposes of this sub-section, the expression "self-assessed tax" shall include the tax payable in respect of details of outward supplies furnished under section 37, but not included in the return furnished under section 39.?

115.

Amendment of section 83.

In section 83 of the Central Goods and Services Tax Act, for sub-section (1), the following sub-section shall be substituted, namely:??

?(1) Where, after the initiation of any proceeding under Chapter XII, Chapter XIV or Chapter XV, the Commissioner is of the opinion that for the purpose of protecting the interest of the Government revenue it is necessary so to do, he may, by order in writing, attach provisionally, any property, including bank account, belonging to the taxable person or any person specified in sub-section (1A) of section 122, in such manner as may be prescribed.?

116.

Amendment of section 107.

In section 107 of the Central Goods and Services Tax Act, in sub-section (6), the following proviso shall be inserted, namely:??

?Provided that no appeal shall be filed against an order under sub-section (3) of section 129, unless a sum equal to twenty-five per cent. of the penalty has been paid by the appellant.?

117.

Amendment of section 129.

In section 129 of the Central Goods and Services Tax Act, ??

(i)

in sub-section (1), for clauses (a) and (b), the following clauses shall be substituted, namely:??

?(a) on payment of penalty equal to two hundred per cent. of the tax payable on such goods and, in case of exempted goods, on payment of an amount equal to two per cent. of the value of goods or twenty-five thousand rupees, whichever is less, where the owner of the goods comes forward for payment of such penalty;

(b)

on payment of penalty equal to fifty per cent. of the value of the goods or two hundred per cent. of the tax payable on such goods, whichever is higher, and in case of exempted goods, on payment of an amount equal to five per cent. of the value of goods or twenty-five thousand rupees, whichever is less, where the owner of the goods does not come forward for payment of such penalty;?

(ii)

sub-section (2) shall be omitted;

(iii)

for sub-section (3), the following sub-section shall be substituted, namely:??

?(3) The proper officer detaining or seizing goods or conveyance shall issue a notice within seven days of such detention or seizure, specifying the penalty payable, and thereafter, pass an order within a period of seven days from the date of service of such notice, for payment of penalty under clause (a) or clause (b) of sub-section (1).?;

(iv)

in sub-section (4), for the words ?No tax, interest or penalty?, the words ?No penalty? shall be substituted;

(v)

for sub-section (6), the following sub-section shall be substituted, namely:??

?(6) Where the person transporting any goods or the owner of such goods fails to pay the amount of penalty under sub-section (1) within fifteen days from the date of receipt of the copy of the order passed under sub-section (3), the goods or conveyance so detained or seized shall be liable to be sold or disposed of otherwise, in such manner and within such time as may be prescribed, to recover the penalty payable under sub-section (3):

Provided that the conveyance shall be released on payment by the transporter of penalty under sub-section (3) or one lakh rupees, whichever is less:

Provided further that where the detained or seized goods are perishable or hazardous in nature or are likely to depreciate in value with passage of time, the said period of fifteen days may be reduced by the proper officer.?

118.

Amendment of section 130.

In section 130 of the Central Goods and Services Tax Act,??

(a)

in sub-section (1), for the words "Notwithstanding anything contained in this Act, if ", the word "Where" shall be substituted;

(b)

in sub-section (2), in the second proviso, for the words, brackets and figures "amount of penalty leviable under sub-section (1) of section 129", the words "penalty equal to hundred per cent. of the tax payable on such goods" shall be substituted;

(c)

sub-section (3) shall be omitted.

119.

Substitution of new section for section 151.

For section 151 of the Central Goods and Services Tax Act, the following section shall be substituted, namely: ??

Power to call for information.

"151. The Commissioner or an officer authorised by him may, by an order, direct any person to furnish information relating to any matter dealt with in connection with this Act, within such time, in such form, and in such manner, as may be specified therein?.

120.

Amendment of section 152.

In section 152 of the Central Goods and Services Tax Act,??

(a)

in sub-section (1),??

(i)

the words "of any individual return or part thereof" shall be omitted;

(ii)

after the words "any proceedings under this Act", the words "without giving an opportunity of being heard to the person concerned" shall be inserted;

(b)

sub-section (2) shall be omitted.

121.

Amendment of section 168.

In section 168 of the Central Goods and Services Tax Act, in sub-section (2),??

(i)

for the words, brackets and figures "sub-section (1) of section 44", the word and figures "section 44" shall be substituted;

(ii)

the words, brackets and figures "sub-section (1) of section 151," shall be omitted.

122.

Amendment to Schedule II.

In Schedule II of the Central Goods and Services Tax Act, paragraph 7 shall be omitted and shall be deemed to have been omitted with effect from the 1st day of July, 2017.

Integrated Goods and Services Tax

123.

Amendment of section 16.

In the Integrated Goods and Services Tax Act, 2017, in section 16, ??

(a)

in sub-section (1), in clause (b), after the words "supply of goods or services or both", the words "for authorised operations" shall be inserted;

(b)

for sub-section (3), the following sub-sections shall be substituted, namely:??

?(3) A registered person making zero rated supply shall be eligible to claim refund of unutilised input tax credit on supply of goods or services or both, without payment of integrated tax, under bond or Letter of Undertaking, in accordance with the provisions of section 54 of the Central Goods and Services Tax Act or the rules made thereunder, subject to such conditions, safeguards and procedure as may be prescribed:

Provided that the registered person making zero rated supply of goods shall, in case of non-realisation of sale proceeds, be liable to deposit the refund so received under this sub-section along with the applicable interest under section 50 of the Central Goods and Services Tax Act within thirty days after the expiry of the time limit prescribed under the Foreign Exchange Management Act, 1999 for receipt of foreign exchange remittances, in such manner as may be prescribed.

(4)

The Government may, on the recommendation of the Council, and subject to such conditions, safeguards and procedures, by notification, specify??

(i)

a class of persons who may make zero rated supply on payment of integrated tax and claim refund of the tax so paid;

(ii)

a class of goods or services which may be exported on payment of integrated tax and the supplier of such goods or services may claim the refund of tax so paid.?

Chapter V

AGRICULTURE INFRASTRUCTURE AND DEVELOPMENT CESS

124.

Agriculture Infrastructure and Development Cess on imported goods.

(1)

There shall be levied and collected, in accordance with the provisions of this section, for the purposes of the Union, a duty of customs, to be called Agriculture Infrastructure and Development Cess, on the goods specified in the First Schedule to the Customs Tariff Act, 1975 (hereinafter referred to as the Customs Tariff Act), being the goods imported into India, at the rate not exceeding the rate of customs duty as specified in the said Schedule, for the purposes of financing the agriculture infrastructure and other development expenditure.

(2)

The Central Government may, after due appropriation made by Parliament by law in this behalf, utilise such sums of money of the Agriculture Infrastructure and Development Cess levied under this section for the purposes specified in sub-section (1), as it may consider necessary.

(3)

Where the duty is leviable on the goods at any percentage of its value, then, for the purposes of calculating the Agriculture Infrastructure and Development Cess under this section, the value of such goods shall be calculated in the same manner as the value of goods is calculated for the purpose of customs duty under section 14 of the Customs Act, 1962.

(4)

The Agriculture Infrastructure and Development Cess on imported goods shall be in addition to any other duties of customs chargeable on such goods, under the Customs Act, 1962 or any other law for the time being in force.

(5)

The provisions of the Customs Act, 1962 and the rules and regulations made thereunder, including those relating to assessment, non-levy, short-levy, refund, exemptions, interest, appeals, offences, and penalties shall, as far as may be, apply in relation to the levy and collection of the Agriculture Infrastructure and Development Cess on imported goods as they apply in relation to the levy and collection of duties of customs on such goods under the said Act, or the rules or regulations, as the case maybe.

125.

Agriculture Infrastructure and Development Cess on excisable goods.

(1)

There shall be levied and collected, in accordance with the provisions of this section, for the purposes of the Union, an additional duty of excise, to be called Agriculture Infrastructure and Development Cess, on the goods specified in the Seventh Schedule (hereinafter referred to as scheduled goods), being the goods manufactured or produced, at the rates specified in column (3) of the said Schedule, for the purposes of financing the agriculture infrastructure and other

development expenditure.

(2)

The Central Government may, after due appropriation made by Parliament by law in this behalf, utilise such sums of money of the Agriculture Infrastructure and Development Cess levied under this section for the purposes specified in sub-section (1), as it may consider necessary.

(3)

The cess leviable under sub-section (1), chargeable on the scheduled goods, shall be in addition to any other duties of excise chargeable on such goods under the Central Excise Act, 1944 or any other law for the time being in force.

(4)

The provisions of the Central Excise Act, 1944 and the rules and the regulations made thereunder, including those relating to assessment, non-levy, short-levy, refund, exemptions, interest, appeals, offences, and penalties shall, as far as may be, apply in relation to the levy and collection of the cess leviable under this section in respect of scheduled goods as they apply in relation to the levy and collection of duties of excise on such goods under the said Act or the rules or regulations, as the case maybe.

Chapter VI

MISCELLANEOUS

PART I-AMENDMENT TO THE INDIAN STAMP ACT, 1899

126.

Insertion of new section 8G.

In the Indian Stamp Act, 1899, after section 8F, the following section shall be inserted, namely:??

Strategic sale, disinvestment, etc., of immovable property by Government company not liable to stamp duty.

"8G. Notwithstanding anything contained in this Act or any other law for the time being in force, any instrument for conveyance or IS transfer of a business or asset or right in any immovable property from a Government company, its subsidiary, unit or joint venture, -

(i)

by way of strategic sale or disinvestment or demerger or any other scheme of arrangements or through any law, to another Government company or to the Central Government or any State Government or to the development financial institution established by any law made by Parliament; or

(ii)

which is to be wound up, closed, struck-off, liquidated or otherwise shut down, to another Government company or to the Central Government or any State Government, after approval of the Central Government or the State Government, as the case may be, shall not be liable to duty under this Act.

Explanation.??For the purposes of this section, ?Government company? shall have the same meaning as assigned to it in clause (45) of section 2 of the Companies Act, 2013.?

PART II-AMENDMENT TO THE CONTINGENCY FUND OF INDIA ACT, 1950

127.

Amendment of Act 49 of 1950.

In section 2 of the Contingency Fund of India Act, 1950, after sub-section (2), the following sub-section shall be inserted, namely:??

?(3) On and from the date on which the Finance Bill, 2021 receives the assent of the President, the sum which shall be paid from and out of the Consolidated Fund of India into the Contingency Fund of India under sub-section (2) shall stand enhanced to thirty thousand crores of rupees.?

PART III-AMENDMENTS TO THE LIFE INSURANCE CORPORATION ACT, 1956

128.

Commencement of this Part.

The provisions of this Part shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint:

Provided that different dates may be appointed for different provisions of this Part and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

129.

Amendment of section 2.

In the Life Insurance Corporation Act, 1956 (hereinafter in this Part referred to as the principal Act), in section 2,?

(i)

after clause (1), the following clauses shall be inserted, namely:?

?(1a) ?Audit Committee? means the Committee constituted under section 19C;

(1b)

?Board of Directors? or ?Board? means the collective body of the directors appointed or nominated or deemed as such under section 4;

(1c)

?Chairperson? means the Chairperson referred to in clause (a) of sub-section (2) of section 4;

(1d)

"Chief Executive" means,-

(i)

During the initial period, the Chairperson referred to in sub-clause (i) of clause (a) of sub-section (2) of section 4;

(ii)

after the initial period, the Chief Executive Officer and Managing Director;

(1e)

"Chief Executive Officer and Managing Director" means the Chief Executive Officer and Managing Director referred to in clause (h) of sub-section (2) of section 4;

(1f)

"Companies Act" means the Companies Act, 2013;

(1g)

"court" means "Court" as defined in clause (29) of section 2 of the Companies Act, 2013;;

(ii)

after clause (4), the following clauses shall be inserted, namely:-

'(4a) "director" means a director appointed or nominated or deemed as such under section 4;

(4b)

"financial statement", in relation to the Corporation, includes-

(i)

a balance-sheet as at the end of the financial year;

(ii)

a profit and loss account for the financial year;

(iii)

cash flow statement for the financial year;

(iv)

a statement of changes in equity, if applicable; and

(v)

any explanatory note annexed to, or forming part of, any document referred to in sub-clause (i) to sub-clause (iv);

(4c)

?fully diluted basis? shall mean, in relation to the percentage holding of the Central Government on such basis, the total number of shares held by the Central Government expressed as a percentage of the total number of shares of the Corporation that would be outstanding if all possible sources of conversion are exercised;

(4d)

?independent director? means an independent director referred to in clause (f) of sub-section (2) of section 4;?;

(4e)

"initial period" means the period of three years reckoned from the date on which the provisions of section 121 of the Finance Act, 2021 shall come into force;".

(iii)

after clause (6), the following clause shall be inserted, namely :-

'(6a) "Managing Director" means a Managing Director referred to in clause (c) of sub-section (2) of section 4;';

(iv)

for clause (7), the following clauses shall be substituted, namely:-

'(7) "member" means every person holding shares of the /O Corporation and whose name is entered in .the register of members maintained under clause (a) of sub-section(J) of section SB;

(7a)

"Nomination and Remuneration Committee" means the Committee constituted under section I9B;

(7b)

"notification" means a notification published in the Official Gazette, and the expression "notify" shall be construed accordingly;;

(v)

after clause (8), the following clause shall be inserted, namely:-

'(8a) "special resolution" means a resolution for which the intention to propose the same as a special resolution has been duly specified in the notice given to members for calling a general meeting, and the votes cast in favour of the resolution by members are not less than three times the number of votes, if any, cast against the resolution;;

(vi)

for clause (10), the following clause shall be substituted, namely:-

"(10) unless there is anything repugnant in the subject or context, all the words and expressions used herein but not defined and defined in the Insurance Act, 1938 or in the Companies Act, 2013 shall have the meanings respectively assigned to them in the said Acts.".

130.

Substitution of new section for section 4.

For section 4 of the principal Act, the following sections shall be substituted, namely:-

Board of Directors

'4.(1) The general superintendence and direction of the affairs and 35 business of the Corporation shall vest in its Board of Directors, which may exercise all such powers and do all such acts and things as may be exercised or done by the Corporation and are not by this Act expressly directed or required to be done by the Corporation in general meeting.

(2)

The Board of Directors of the Corporation shall consist of the 4b following directors, not exceeding eighteen, of whom at least one shall be a woman, namely:-

(a)

a Chairperson of the Board, to be appointed by the Central Government, who shall,-

(i)

during the initial period, be a whole-time director of the Corporation; and

(ii)

after the initial period, be from amongst the non-executive directors nominated or to be nominated by the Central Government;

(b)

after the initial period, a Chief Executive Officer and Managing Director, who shall be a who-time director of the Corporation to be 'Sb appointed by the

Central Government: .

Provided that where no Chief Executive Officer and Managing Director is appointed before expiry of the initial period, the individual holding office as Chairperson shall be deemed to have been appointed as the Chief Executive Officer and Managing Director on and from the date of such expiry;".

(c)

Managing Directors, not exceeding four, to be appointed by the Central Government, who shall be whole-time directors of the Corporation;

(d)

an officer of the Central Government not below the rank of a Joint Secretary to the Government of India, to be nominated by the Central Government;

(e)

an individual to be nominated by the Central Government, who has special knowledge or practical experience in actuarial science, business management, economics, finance, human resources, information technology, insurance,

law, risk management, or any other field the special knowledge or practical experience of which would be useful to the Corporation in the opinion of the Central Government or who represent the interests of policyholders;

(f)

where the total holding of members other than the Central Government in the paid-up equity capital of the Corporation is-

(a)

not more than ten per cent., one individual;

(b)

more than ten per cent., two individuals;

who shall be elected by and from amongst such members and in such manner as may be specified by regulations, to be appointed by the Board; and

(g)

such number of independent directors, not exceeding nine, to be recommended by the Nomination and Remuneration Committee and appointed by the Board;

(3)

An independent director of the Corporation shall, in relation to the Corporation, meet the same criteria of independence as an independent director of a company is required to meet in relation to the company under sub-section (6) of section 149 of the Companies Act:

Provided that such a director shall also meet, in addition to the aforesaid criteria, any criteria that the Nomination and Remuneration Committee may formulate regarding qualifications, positive attributes and independence:

Provided further that every such director shall at the first meeting of the Board in which he participates as a director and thereafter at the first meeting of the Board in every financial year or whenever there is any change in the circumstances which may affect his status as an independent director, give a declaration that he meets the criteria of independence under this sub-section and that he is not aware of any circumstance or situation, which exist or may reasonably be anticipated, that could impair or impact his ability to discharge his duties with an objective independent judgment and without any external influence.

(4)

An individual appointed by the Board as a director under clause (f) or clause (g) of sub-section (2) shall hold office up to the date of the next annual general meeting or the last date on which the annual general meeting should have been held, whichever is earlier, and shall hold office beyond such date only if his appointment is approved at the annual general meeting.

(5)

Before an individual is appointed or nominated as a director under sub-section (2), the Central Government or the Nomination and Remuneration Committee, as the case may be, shall satisfy itself that such an individual as a director shall have no financial or other interest as is likely to affect prejudicially the exercise or performance by him of the functions of a director:

Provided that the Board shall satisfy itself from time to time with respect to every director other than a director nominated under clause (d) of sub-section (2) that he has no such interest:

Provided further that, for the purposes of this sub-section, any individual who is, or whose appointment or nomination or election is proposed and who has consented to be a director, shall furnish such information as the Central Government or the Nomination and Remuneration Committee or the Board, as the case may be, may require.

(6)

Notwithstanding anything contained in sub-section (2), on and 15 from the appointed date, an individual appointed under section 4 who is eligible to be or remain a director under section 4A and who, immediately before such appointed date, held the office of a member of the Corporation-

(i)

in the capacity as the Chairman of the Corporation, shall be deemed to be a director and the Chairperson under sub-clause (1) of clause (a) of sub-section (2);

(ii)

in the capacity as a Managing Director of the Corporation, shall be deemed to be a director and a Managing Director under clause (c) of sub-section (2);

(iii)

and is an officer of the Central Government not below the rank of a Joint Secretary to the Government of India in the department of Financial Services, shall be deemed to be a director nominated under clause (d) of sub-section (2);

(iv)

and has been in office for a duration which is the longest amongst members other than members referred to in clauses (i), (ii) and (iii), shall be deemed to be a director nominated under clause (e) of sub-section (2):

Provided that every such individual shall hold office until expiry of the term, if any, specified at the time of his appointment; as a member of the Corporation, or until a director appointed or nominated, as the case may be, under sub-section (2) in place of such an individual assumes office:

Provided further that any act or proceeding of the collective body of members constituting the Corporation under section 4 before the appointed date, shall be deemed to be an act or proceeding, as the case may be, of the Board.

Explanation-For the purposes of this sub-section,-

(a)

notwithstanding anything contained in clause (7) of section 2, the expression "member" shall mean a member appointed to the 45 Corporation constituted under section 4 [as it stood before the coming into force of section 130 of the Finance Act, 2021];

(b)

"appointed date" means the date on which the provisions of section 130 of the Finance Act, 2021 shall come into force.

4A.

Disqualification to be director.

An individual shall not be eligible to be or remain a director if, -

(a)

he is of unsound mind and stands so declared by a competent court;

(b)

he is an undischarged insolvent;

(c)

he has applied to be adjudicated as an insolvent and his application is pending;

(d)

he has been convicted by a court of any offence, whether involving moral turpitude or otherwise, and sentenced in respect thereof to imprisonment for not less than six months and a period of five years has not elapsed from the date of expiry of the sentence:

Provided that if an individual has been convicted of any offence and sentenced in respect thereof to imprisonment for a period of seven years or more, he shall not be eligible to be a director;

(e)

an order disqualifying him to be a director has been passed by a court or the National Company Law Tribunal constituted under section 408 of the Companies Act, and the order is in force;

(f)

he has not paid any calls in respect of any shares of the Corporation held by him, whether alone or jointly with others, and six months have elapsed from the last day fixed for the payment of such call;

(g)

he attracts any disqualification for being a director of a company under the provisions of sub-section (2) of section 164 of the Companies Act, subject to such exceptions thereto as the Central Government may be notification specify;

(h)

he is a salaried government official, other than an individual nominated director under clause (d) of sub-section (2) of section 4;

(i)

he is an insurance agent or an intermediary or an insurance intermediary;

(j)

he is an employee of the Corporation, other than the Chief Executive or a Managing Director, or of its subsidiary or associate company;

(k)

he is a director of a subsidiary or an associate company of the Corporation and is other than the Chief Executive or a Managing Director;

(l)

he is an employee or a director or a promoter of any insurer carrying on life insurance business anywhere in the world, other than the Corporation or its subsidiary or associate company, or of any holding company, subsidiary or associate company of such an insurer;

(m)

he absents himself from all the meetings of the Board held during a period of twelve months, with or without seeking leave of absence of the Board:

Provided that the disqualifications referred to in clauses (d) and (e) shall continue to apply even if an appeal or petition has been filed against the order of conviction or disqualification.

4B.

Disclosure of interest by director and senior management.

(1)

Every director shall at the first meeting of the Board in which he participates as a director and thereafter at the first meeting of the Board in every financial year, or whenever there is any change in the disclosures already made, then at the first Board meeting held after such change, disclose his concern or interest in any body corporate, which shall include shareholding, in such manner as may be prescribed.

(2)

Every director who is in any way, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement entered into or to be entered into by the Corporation-

(a)

with a body corporate in which such director or such director in association with any other director, holds more than two per cent shareholding of that body corporate, or is a promoter, manager, chief executive officer or trustee of that body corporate, or;

(b)

with a firm or other entity in which such director is a partner, owner or member, as the case may be, shall not participate in any meeting of the Board or of its Committee in which such contract or arrangement is deliberated upon, or in any other deliberations or discussions regarding such contract or arrangement, and shall, in the case of such deliberations in a meeting of the Board or its Committee, disclose the nature of his concern or interest to the Board or the Committee, as the case may be:

Provided that where any director who is not so concerned or interested at the time of entering into such contract or arrangement, he shall, if he becomes concerned or interested after the contract or arrangement is entered into, disclose his concern or interest forthwith when he becomes concerned or interested, or at the first meeting of the Board held after he becomes so concerned or interested.

(3)

A contract or arrangement entered into by the Corporation without disclosure under sub-section (2) or with participation by a director who is concerned or interested in any way, whether directly or indirectly, in such contract or arrangement, shall be voidable at the option of the Corporation.

(4)

Such employees as the Board may specify as constituting the senior management of the Corporation shall make disclosures to the Board relating to all material, financial and commercial transactions, in which they have personal interest that may have a potential conflict with the interest of the Corporation, and the Board shall formulate a policy on such transactions, including any materiality threshold therefore, and shall review such policy at least once every three years.

Explanation-For the purposes of this sub-section, conflict of interest relates to dealing in the shares of the Corporation or any of its subsidiaries or associate companies, commercial dealings with bodies in which the senior management individual or his relatives have shareholding, etc.

(5)

If an individual who is a director contravenes the provisions of sub-section (J) or sub-section (2), or an employee referred to in sub-section (4), contravenes such provisions, such an individual or employee shall be liable to pay penalty

of a sum of up to one lakh rupees.

(6)

Without prejudice to anything contained in sub-section (5), it shall be open to the Corporation to proceed against a director or any other employee who had entered into such contract or arrangement in contravention of the provisions of this section for recovery of any loss sustained by it as a result of such contract or arrangement.

Explanation-For the purposes of sections 4B and 4C, the expression "body corporate" shall include a company, a body corporate as defined under clause (11) of section 2 of the Companies Act, a firm, a financial institution or a scheduled bank or a public sector enterprise established or constituted by or under any Central Act or State Act, and an)' other incorporated association of persons or body of individuals.

4C.

Related party transactions.

(1)

Except with the consent of the Board and subject to such conditions as may be prescribed, the Corporation shall not enter into any contract or arrangement with a related party with respect to-

(a)

sale, purchase or supply of any goods or materials;

(b)

selling or otherwise disposing of, or buying, property of any kind; ·

(c)

leasing of property of any kind;

(d)

availing or rendering of any services;

(e)

appointment of any agent for purchase or sale of goods; materials, services or property;

(f)

such related party's appointment to any office or place of profit in the Corporation, its subsidiary or associate company;

(g)

underwriting the subscription of any securities, or derivatives thereof, of the Corporation:

Provided that no contract or arrangement involving transactions exceeding such sums as the Board may specify, shall be entered into except with the prior approval in the general meeting:

Provided further that no member shall vote in such general meeting to approve any contract or arrangement which may be entered into by the Corporation, if such member is a related party:

Provided also that nothing in this sub-section shall apply to any transactions entered into by the Corporation in its ordinary course of business, other than transactions which are not on an arm's length basis:

Provided also that the requirement of approval under the first proviso shall not be applicable for transactions entered into between the Corporation and-

(a)

its wholly owned subsidiary, if any, whose financial statements are consolidated with the Corporation and placed before the 5 members at the general meeting for adoption;

(b)

a Government company, or the Central Government, or any State Government, or any combination thereof, in respect of contracts or arrangement entered into between them.

Explanation-In this sub-section,-

(a)

the expression "office or place of profit" means any office or place-

(i)

where such office or place is held by a director, if the director holding it receives from the Corporation anything by way of remuneration over and above the remuneration to which he is entitled as director, by way of salary, fee, commission, perquisites, any rentfree accommodation, or otherwise;

(ii)

where such office or place is held by an individual other than a director or by any firm, private company or other body

corporate, if the individual, firm, private company or body corporate holding it receives from the Corporation anything by way of remuneration, salary, fee, commission, perquisites, any rent-free accommodation, or otherwise;

(b)

the expression "arm's length transaction" means a transaction between two related parties that is conducted as if they were unrelated, so that there is no conflict of interest.

(2)

The Board shall formulate a policy on materiality of related party transactions and on dealing with related party transactions, including clear threshold limits, and shall review and update such policy at least once in every three years.

Explanation--For the removal of doubts, it is hereby clarified that a transaction with a related party shall be considered material if the amount of the transaction to be entered into, individually or taken together with previous transactions during a financial year, exceeds such percentage of the annual consolidated turnover of the Corporation as per its last audited financial statements as may be specified in any regulation made by the Securities and Exchange Board in this behalf.

(3)

Every contract or arrangement entered into under sub-section (1) shall be referred to in a report made by the Board to the members, along with the justification for entering into such contract or arrangement.

(4)

Where any contract or arrangement is entered into by a director or any other employee, without obtaining the consent of the Board or approval by a resolution in the general meeting under sub-section (1) and if it is not ratified by the Board or, as the case may be, by the members at a meeting within three months from the date on which such contract or arrangement was entered into, such contract or arrangement shall be voidable at the option of the Board or, as the case may be, of the members and if the contract or arrangement is with a related party to any director, or is authorised by any other director, the directors concerned shall indemnify the Corporation against any loss incurred by it.

(5)

Without prejudice to anything contained in sub-section (4), it shall be open to the Corporation to proceed against a director or any other employee who had entered into such contract or arrangement in contravention of the provisions of this section for recovery of any loss sustained by it as a result of such contract or arrangement.

(6)

Any director or any other employee of the Corporation who had entered into or. authorised a contract or arrangement in violation of the provisions of this section, shall be liable to pay penalty of a sum of up to twenty-five lakh rupees.

4D.

Adjudication of penalties.

(1)

The Central Government may, by an order published in the Official Gazette, appoint an officer of the Central Government, not below the rank of Joint Secretary to the Government of India or equivalent, as adjudicating officer for adjudging penalties under the provisions of this Act.

(2)

The adjudicating officer may, on a complaint made in writing by a person authorised by the Corporation, and after giving a reasonable opportunity of being heard, by an order impose penalty on a director or employee liable to penalty under any provision of this Act on account of any contravention or violation on his part.

(3)

The adjudicating officer, for the purposes of discharging his functions under this Act, shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 while trying a suit, to summon and enforce the attendance of any person and examine him on oath and to require the discovery and production of documents or other electronic records, and shall be deemed to be a civil court for purposes of Order XXI of the Civil Procedure Code, 1908.

(4)

A director or employee aggrieved by any order made by the adjudicating officer may prefer an appeal to such officer to the Central Government of a rank higher than that of the adjudicating officer as the Central Government may appoint as appellate authority, within thirty days from the date on which a copy of the order made by the adjudicating officer is received by the aggrieved individual, and the officer so appointed may, after giving the individual an opportunity of being heard, pass such order as he may deem fit, confirming, modifying or setting aside the order appealed against, or

remanding the case to the adjudicating officer for disposal, with such directions as he may deem fit.

(5)

Where a director or employee of the Corporation having already been subjected to penalty under this Act for any contravention or "to violation of any provision of this Act, again commits such contravention or violation within a period of three years from the date of order imposing such penalty passed by the adjudicating officer, he shall be liable for the second or subsequent contravention or violation for twice the amount of penalty provided therefor.'.

131.

Substitution of new section for section 5.

For section 5 of the principal Act, the following sections shall be substituted, namely:-

Capital of Corporation.

'5.(1) The authorised share capital of the Corporation shall be twenty-five thousand crore rupees, divided into two thousand and five hundred crore shares of ten rupees each:

Provided that the Central Government may, by notification, increase the authorised share capital or reduce the authorised share capital to such amount not less than the amount of the paid-up equity capital of the Corporation immediately before the coming into force of section 131 of the Finance Act, 2021, as it may deem fit:

Provided further that the Corporation may, with the previous approval of the Central Government, consolidate or reduce the nominal li or face value of the shares, divide the authorised share capital into equity share capital or a combination of equity and preference share capital, and divide the nominal or face value of shares into such denomination as the Corporation may decide.

(2)

The Corporation shall, with the previous approval of the Central lb Government, issue equity _shares to the Central Government in consideration for the paid-up equity capital provided by the Central Government to the Corporation as it stood before the coming into force of section 131 of the Finance Act, 2021.

(3)

The share capital of the Corporation shall consist of equity 15" shares and preference shares, which may be fully paid-up or partly paid-up:

Provided that the Board may determine the terms of issue of partly paid-up shares and payment of calls for such partly paid-up shares.

(4)

The Corporation may from time to time increase its issued share capital, with the previous approval of the Central Government, whether by ·public issue or rights issue or preferential allotment or private placement or issue of bonus shares to existing members holding equity shares, or by issue of shares to employees pursuant to share based employee benefits schemes, or by issue of shares to life insurance policyholders of the Corporation, or otherwise:

Provided that the Central Government shall, on a fully diluted basis hold,-

(a)

at all times, not less than fifty-one per cent. of the issued equity share capital of the Corporation;

(b)

during a period of five years from the date of first issue of shares to any person other than the Central Government, not less than seventy-five per cent. of the issued equity share capital of the Corporation.

Provided further that no shares shall be issued other than by way of rights issue unless authorised by a special resolution, except in the circumstances where the provisions of the second and third provisos to sub-section (1) of section 23A apply:

Provided also that issue of shares to life insurance 40 policyholders of the Corporation shall not be by preferential allotment or private placement.

(5)

Where the Corporation issues shares at a premium, whether for cash or otherwise, a sum equal to the aggregate amount of the premium received on those shares shall be transferred to a share premium account, and the provisions of sub-sections (7) and (8) shall, except as provided in sub-section (6), apply as if the share premium account were the paid-up share capital of the Corporation.

(6)

The share premium account referred to in sub-section (5) may be applied by the Corporation-

(a)
towards the issue of unissued shares of the Corporation to 'members as fully paid-up bonus shares;

(b)
in writing off the expenses of, or the commission paid or discount allowed on, any issue of shares or debentures of the Corporation;

(c)
in providing for the premium payable on the redemption of any redeemable preference shares or of any debentures or of any securities of the Corporation; or

(d)
for the purchase of its own shares or other securities.

(7)
The Corporation may, by a special resolution, reduce its paid-up equity share capital in the following manners, namely:-

(a)
giving of previous notice by the Corporation of the intended reduction to every member, and to such class or classes of creditors as the Central Government may, by notification, specify;

(b)
constitution of a committee which shall consist of a chairperson who has been a judge of a High Court or the chairperson of a tribunal and such independent experts not exceeding two as the Board may appoint, to consider representations, if any, that may be made by members and creditors referred to in clause (a) in respect of the intended reduction and to submit its recommendations to the Board; and

(c)
after consideration of the committee's recommendations, making of recommendations by the Board for reduction, either as given in the notice or with such modifications as the Board may consider necessary, to the Central Government for its approval.

(8)
Without prejudice to the generality of the power under sub-section (7), the Corporation may reduce its paid-up equity share capital by-

(a)
extinguishing or reducing the liability on any of its equity shares in respect of share capital not paid-up; or

(b)
cancelling, with or without extinguishing or reducing liability on any of its paid-up equity shares, any paid-up equity share capital which is either lost or is unrepresented by available assets; or

(c)
paying off, with or without extinguishing or reducing liability on any of its paid-up equity shares, any paid-up equity share capital which is in excess of the wants of the Corporation.

(9)
Notwithstanding anything contained in any other law for the time being in force-

(a)
regarding various categories of persons in favour of whom an issuer may make reservations on a competitive basis, in relation to a public issue, the Corporation may, at any time during the period of five years from the commencement of section 131 of the Finance Act, 2021, make a reservation on a competitive basis, to an extent of up to ten per cent. out of the issue size, in favour of its life insurance policyholders as one of the reserved categories for such public issue:

Provided that the value of the allotment of equity shares to such a policyholder shall not exceed two lakh rupees, or such higher amount as the Central Government may by notification specify:

Provided further that, in the event of under-subscription in the policyholder reservation portion, the unsubscribed portion may be allotted on a proportionate basis, in excess of the value referred to in the first proviso, subject to the total allotment to a policyholder not exceeding five lakh rupees or such higher amount as the Central Government may by notification specify:

Provided also that the policyholders in favour of whom reservation is made under this sub-section may be offered shares at a price not lower than by more than ten per cent. of the price at which net offer to public is made to other categories of

applicants;

(b)

regarding ineligibility for computation of minimum promoter's contribution, in relation to a public issue by way of an initial public offer, all equity shares of the Corporation held by the Central Government, including all shares acquired during the period of three years preceding the opening of such public offer, resulting from a bonus issue or otherwise, shall be eligible for such computation;

(c)

requiring the holding of paid-up equity shares by the sellers for minimum holding period as a condition for offering such shares for sale to the public, in relation to a public issue by way of an initial public offer, all fully paid-up equity shares of the Corporation held by the Central Government shall be eligible for such an offer for sale:

Provided that and subject to any regulation made by the Securities and Exchange Board, no shares issued by the Corporation against revaluation of assets or by utilization of revaluation reserves or from unrealized profits shall be eligible for computation of minimum promoter's contribution and for offer for sale in relation to a public Issue by way of initial public offer.

Explanation.-Words and expressions used in this sub-section but not defined either in this Act or in the Insurance Act or in the Companies Act shall have the meanings respectively assigned to them in regulations made by the Securities and Exchange Board regarding issue of capital and disclosure requirements, to the extent not repugnant with the provisions of this Act.

(10)

The Corporation may issue other securities, including bonds, debentures, notes, commercial paper and other debt instruments, for the purpose of raising funds to meet its business requirements.

5A.

Transferability of shares.

(1)

Save as otherwise provided in sub-sections (2) and (3), the shares of the Corporation shall be freely transferable:

Provided that any arrangement between two or more persons in respect of transfer of shares shall be enforceable as a contract.

(2)

Nothing contained in sub-section (1) shall entitle the Central Government to transfer any shares held by it in the Corporation, if as a result of such transfer, the shares held by it, on a fully diluted basis, shall reduce to less than fifty-one per cent. of the issued equity share capital of the Corporation.

(3)

No person, other than the Central Government, acting individually or with persons acting in concert with such person, or 50 constituents of a group, shall hold equity share in excess of five per cent. of issued equity share capital of the Corporation, or such higher percentage as the Central Government may by notification specify.

Explanation.-For the purposes of this section,-

(a)

the expression "group" shall have the meaning assigned to it in the Competition Act, 2002.

(b)

the expression "persons acting in concert" shall have the meaning assigned to it in regulations made by the Securities and Exchange Board regarding substantial acquisition of shares and takeovers.

5B.

Register of members, etc.

(I)

The Corporation shall keep and maintain the following registers, in such form and in such manner as may be specified by regulations, namely:-

(a)

register of members, indicating separately each class of equity and preference shares held by each member residing in or outside India;

(b)

register of debenture-holders; and

(c)

register of any other security holders.

(2)

Every register maintained under sub-section (/) shall include an index of the names included therein.

(3)

The register and index of beneficial owners maintained by a depository under section 11 of the Depositories Act, 1996 shall be deemed to be the corresponding register and index for the purposes of this Act.

(4)

No notice of any trust, whether express or implied or constructive, shall be entered on the register of members or be receivable by the Corporation:

Provided that nothing in this section shall apply to a depository in respect of shares held by it as a registered owner on behalf of the beneficial owners.

Explanation.-For the purposes of this section and section 5C, the -expressions "beneficial owner", "depository" and "registered owner" shall have the meanings respectively assigned to them in clauses (a), (e) and (i) of sub-section (1) of section 2 of the Depositories Act, 1996.

5C.

Declaration in respect of beneficial interest in shares.

(1)

Where the name of a person is entered on the register of members of the Corporation as the holder of shares in the Corporation but he does not hold beneficial interest in such shares, such person shall make, within such time and in such form as may be prescribed for a company under section 89 of the Companies Act, a declaration to the Corporation specifying the name and other particulars of the person who holds beneficial interest in such shares.

(2)

Every person who holds or acquires a beneficial interest in shares of the Corporation shall make, within such time and in such form as may be prescribed for a company under section 89 of the Companies Act, a declaration to the Corporation specifying the nature of his interest, particulars of the person in whose name the share stands registered in the books of the Corporation and such other particulars as may be prescribed under the said section.

(3)

Where any change occurs in the beneficial interest in shares of the Corporation, the person referred to in sub-section (1) and the beneficial owner specified in sub-section (2) shall, within a period of thirty days from the date of such change, make a declaration to the Corporation in such form and containing such particulars as may be prescribed for a company under section 89 of the Companies Act.

(4)

No right in relation to any share in respect of which a declaration is required to be made under this section but has not been made by the beneficial owner, shall be enforceable by him or by any person claiming through him.

(5)

For the purposes of this section, beneficial interest in a share includes, directly or indirectly, through any contract, arrangement or otherwise, the right or entitlement of a person alone or together with any other person to--

(a)

exercise or cause to be exercised any or all of the rights attached to such share; or

(b)

receive or participate in any dividend or other distribution in respect of such share.

(6)

Every individual who, acting alone or together or through one or more persons, holds beneficial interests, of not less than twenty-five per cent. or such other percentage as may be prescribed for a company under section 90 of the Companies Act, in the shares of the Corporation or the right to exercise, or the actual exercising of significant influence or control as defined in clause (27) of section 2 of the Companies Act, over the Corporation (herein referred to as "significant beneficial owner"), shall make a declaration to the Corporation, specifying the nature of his interest and other particulars, in such manner and within such period of acquisition of the beneficial interest or rights and any change thereof, as may be prescribed for a company under section 90 of the Companies Act.

(7)

The Corporation shall maintain a register of the interest declared by individuals under sub-section (6) and changes therein, which shall include the name of individual, his date of birth, address, details of ownership in the Corporation and such other details as may be prescribed for a company under section 90 of the Companies Act.

5D.

Shares to be securities.

Notwithstanding anything contained in the Securities Contracts (Regulation) Act, 1956 or any other law for the time being in force, the 42of1956. shares of the Corporation shall be deemed to be securities as defined under the said Act.

5E.

Right of registered members to nominate.

(1)

Every individual registered member may, at any time, nominate, in such manner as may be specified by regulations, an individual to whom all his rights in the shares shall vest in the event of death of such member.

(2)

Where the shares are registered in the name of more than one individual jointly, the joint holders may together nominate, in such manner as may be specified by regulations, an individual to whom all their rights in the shares shall vest in the event of the death of all such joint holders.

(3)

Notwithstanding anything contained in any other law for time being in force or in any disposition, whether testamentary or otherwise, where a nomination in respect of shares is made and which purports to confer on the nominee the right to vest the shares, the nominee shall, on the death of the member or, as the case may be, on the death of all the joint holders, become entitled to all the rights of the member or, as the case may be, of all the joint holders, in relation to such shares, and all other persons shall be excluded unless the nomination has been varied or cancelled before death in such manner as may be specified by regulations.

(4)

Where the nominee is a minor, it shall be lawful for the individual registered holder of the shares to make nomination to appoint, in such manner as may be specified by regulations, any person to become entitled to the shares in the event of his death during the minority of the nominee.?

132.

Substitution of section 19.

For section 19 of the principal Act, the following sections shall be substituted, namely:?

?19. Executive Committee.

(1)

The Board may constitute an Executive Committee of the Board, consisting of?

(i)

the Chairperson;

(ii)

Managing Directors;

(iii)

the directors referred to in clause (c) of sub-section (2) of section 4; and

(iv)

four directors nominated by the Board from amongst the directors referred to in clauses (d), (e), (f) and (g) of subsection (2) of section 4.

(2)

The Executive Committee of the Board shall exercise such powers as the Board may entrust to it.?

19A.

Investment Committee.

The Board may, for such functions relating to investment of the funds of the Corporation as the Board may entrust, constitute an Investment Committee of the Board, consisting of the Chairperson and not more than seven other directors, of which a minimum two shall be directors other than directors appointed under clause (a) or clause (b) of sub-section (2) of section 4:

Provided that the officers of the Corporation heading the functions dealing with finance, risk, investment and law as well as its Appointed Actuary shall be invited to every meeting of the Committee and shall have a right to be heard at the meeting.

Explanation.—For the purposes of this section and section 24B, “Appointed Actuary” means the actuary appointed as such by the Corporation under the regulations made by the Authority under the Insurance Act regarding appointed actuaries.

19B.

Nomination and Remuneration Committee.

(1)

The Board shall constitute a Nomination and Remuneration Committee of the Board, consisting of three or more directors from amongst directors other than those appointed under clauses (a) or (b) of sub-section (2) of section 4, out of whom not less than one-half shall be independent directors at any time when the number of independent directors in office is sufficient to constitute such proportion of the membership of the Committee:

Provided that the Chairperson may be appointed as a member of the Nomination and Remuneration Committee but shall not chair the Committee.

(2)

The Nomination and Remuneration Committee shall?

(i)

formulate the criteria for determining qualifications, positive attributes and independence of a director to be appointed under clause (e) or clause (f) or clause (g) of subsection (2) of section 4 and recommend the same to the Board;

(ii)

in accordance with the criteria referred to in clause (i), identify individuals who are qualified to be appointed as such a director:

Provided that while identifying individuals, the Committee shall have due regard to the requirements under the proviso to sub-section (1) of section 19C;

(iii)

give its recommendations to the Board regarding appointment and removal of such an individual, and carry out evaluation of his performance; and

(iv)

recommend to the Board a policy relating to the sum payable as sitting fees to a director nominated or appointed under clauses (d) or (e) or (f) or (g) of sub-section (2) of section 4, subject to such fees not exceeding such limit as may apply in respect of sitting fees payable to a director of a company under the Companies Act.

19C.

Audit Committee.

(1)

The Board shall constitute an Audit Committee of the Board, consisting of a minimum of three directors with independent directors forming a majority when the number of independent directors in office is sufficient to constitute such proportion of the membership of the Audit Committee:

Provided that a majority of directors on the Audit Committee, including its chairperson, shall be individuals with ability to read and understand financial statements and at least one individual shall have accounting or related financial management expertise.

(2)

The Audit Committee shall act in accordance with the terms of reference specified by the Board, which shall include, inter alia,?

(a)

recommendations for appointment, remuneration and terms of appointment of the auditors of the Corporation;

(b)

review and monitoring of the independence and performance of the auditors, and the effectiveness of the audit process;

(c)

examination of financial statements and auditor's report thereon;

(d)

approval of transactions of the Corporation with related parties:

Provided that the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the Corporation subject to such conditions as may be prescribed:

Provided further that in case of transaction other than transactions referred to in section 4C, and where the Audit Committee does not approve a transaction, it shall make its recommendations to the Board:

Provided also that in case any transaction involving any amount not exceeding one crore rupees is entered into by a director or an officer of the Corporation without obtaining the approval of the Audit Committee and it is not ratified by the Audit Committee within three months from the date of the transaction, such transaction shall be voidable at the option of the Corporation with the approval of the Audit Committee and if the transaction is with the related party to any director or is authorised by any other director, the director concerned shall indemnify the Corporation against any loss incurred by it:

Provided also that the provisions of this clause shall not apply to a transaction, other than a transaction referred to in section 4C, between the Corporation and its wholly owned subsidiary;

- (e) scrutiny of inter-corporate loans and investments;
- (f) valuation of undertakings or assets of the Corporation, wherever it is necessary;
- (g) evaluation of internal financial controls and risk management systems;
- (h) monitoring the end use of funds raised through public offers, and related matters.

(3)

The Audit Committee may grant omnibus approval for related party transactions proposed to be entered into by the Corporation subject to the following conditions, namely:-

- (a) the Audit Committees shall lay down the criteria for granting omnibus approval in line with the policy referred to in sub section (2) of section 4C including in respect of transactions which are repetitive in nature;
- (b) the Audit Committee shall satisfy itself that omnibus approval is needed and that such approval is in the interest of the Corporation;
- (c) the omnibus approval shall specify the following, namely:
 - (i) the details regarding the name of the related party and the nature, period and the maximum amount of the transactions that shall be entered into;
 - (ii) the details regarding indicative base price or current contracted price, along with the formula, if any, for variation in the price; and
 - (iii) such other conditions as the Audit Committee may deem fit:

Provided that where the need for related party transaction cannot be foreseen and the said details are not available, the Audit Committee may grant omnibus approval for such transactions subject to their value not exceeding one crore rupees per transaction;

- (d) the Audit Committee shall review on a quarterly basis, the details of related party transactions entered into by the Corporation pursuant to every omnibus approval given; and
- (e) omnibus approval shall be valid for a period not exceeding one year and shall require fresh approval after expiry of one year.

(4)

The Audit Committee may call for the comments of the auditors about internal control systems, the scope of audit

including the observations of the auditors, and review of financial statements before their submission to the Board, and may also discuss any related issues with the auditors and the management of the Corporation.

(5)

The Audit Committee shall have authority to investigate any matter in relation to the items specified in sub-section (2) or referred to it by the Board and, for this purpose, shall have the power to obtain professional advice from external sources and have full access to information contained in the records of the Corporation.

(6)

The auditors of the Corporation and such key managerial personnel as the Board may specify shall have a right to be heard in the meetings of the Audit Committee when it considers the auditor's report.

19D.

Other Committees.

The Board may constitute such other Committees of the Board g_o as it may deem fit, to render advice to the Board on such matters as may be generally or specially referred to them, and to perform such duties as the Board may entrust to them.'.

133.

Substitution of section

For section 20 of the principal Act, the following section shall be substituted, namely:-

Chief Executive Managing Directors.

"20.(1) The Chief Executive shall, subject to the superintendence, control and direction of the Board, be entrusted with substantial powers of management in respect of the whole of the affairs of the Corporation.

(2)

The Chief Executive shall also perform such other duties in relation to the affairs of the Corporation as the Board may entrust to him 30 from time to time and shall, for this purpose, exercise such powers as may be conferred upon him by the Board:

Provided that the Board may also empower the Chief Executive to entrust or delegate such of his duties and powers, as it may deem fit.

(3)

Every Managing Director, subject to the general control of the Chief Executive, shall perform such duties and exercise such powers as may be entrusted or delegated to him by the Board or, under sub-section (2), by the Chief Executive."

134.

Amendment of section 22.

In section 22 of the principal Act,?

(i)

in sub-section (1), for the words ?a person whether a member or not?, the words ?an employee of the Corporation other than a whole-time director? shall be substituted;

(ii)

sub-section (2) shall be omitted.

nsertion of new section 23A.

After section 23 of the principal Act, the following section shall be inserted, namely:?

23A.

Annual general meeting and other general meetings.

(1)

An annual general meeting or other general meeting of members shall be held in each financial year at such time as the Board may specify, at the central office of the Corporation or at such other place in India as the Central Government may permit on the recommendations of the Board:

Provided that not more than fifteen months shall elapse between the date of one annual general meeting of the Corporation and that of the next:

Provided further that notwithstanding anything contained in this section, general meeting shall be held only when the Corporation has members other than the Central Government who are entitled to vote:

Provided also that until the first annual general meeting or other general meeting is held, the Board shall perform all the functions required to be performed in such meeting.

(2)

The members present at an annual general meeting shall be entitled to?

(a)

discuss the financial statements of the Corporation as referred to in section 24B and the auditor's report as referred to in section 25B, which shall be accompanied by the report of the Board as referred to in section 24C, and to adopt the financial statements, along with all the documents which are required to be attached to such financial statements under this Act;

(b)

discuss and adopt the Annual Report prepared under section 27;

(c)

approve a declaration of dividend under subsection (1) of section 28B;

(d)

approve the appointment of directors under subsection (4) of section 4;

(e)

approve the appointment of auditors under subsections (1) and (4) of section 25 and fix their remuneration under sub-section (7) of section 25.

(3)

Every member shall be entitled to attend a general meeting, whether in person or by proxy or by duly authorised representative:

Provided that every director shall also be entitled to attend a general meeting, whether in person or through electronic means:

Provided further that all notices of, and other communications relating to, any general meeting shall be forwarded to the auditor appointed for the Corporation, and such auditor shall, unless exempted by the Corporation, attend any general meeting either in person or through authorised representative who is qualified to be an auditor, and shall have the right to be heard at such meeting on any part of the business which concerns him as the auditor.

(4)

A member who is entitled to vote may exercise his vote at a general meeting in person or by proxy or by duly authorised representative.

(5)

Persons entitled to attend and to exercise vote at a general meeting may also do so through electronic means, and the manner of attendance and exercise of vote shall be such as may be prescribed.

(6)

No business other than that specified in sub-section (2) shall be transacted or discussed at the annual general meeting, except with the consent of the Chairperson, unless not less than six weeks' notice of the same has been given to the Chairperson either by the Central Government or by at least hundred members who have the right to vote at the meeting:

Provided that such a notice shall be in the form of a definite resolution to be put to the meeting, and that such resolution shall be included in the notice of the meeting.

(7)

Save and except with the consent of the Chairperson, no business other than that for which a general meeting has been convened shall be transacted or discussed at the meeting.

(8)

No general meeting shall be proceeded with and no business shall be transacted at any general meeting unless members constitute such quorum as may be prescribed: Provided that where a meeting could not be held for want of quorum, it may be adjourned and held in such manner as may be prescribed.

(9)

The Corporation shall cause the minutes of all proceedings of general meetings to be entered in books kept for that purpose.?

135.

Substitution of section 24.

For section 24 of the principal Act, the following sections shall be substituted, namely:?

24. Funds of the Corporation.

(1)

The Corporation shall have its own fund or funds, and all receipts of the Corporation shall be credited thereto and all payments of the Corporation shall be made therefrom: Provided that the Board may, in relation to any of the funds of the Corporation or otherwise, establish reserves which may or may not be allocated for a specific purpose, and such sums as the Board may determine, may be transferred to or from such reserves.

(2)

The Board shall, for every financial year after the financial year in which the provisions of section 127 of the Finance Act, 2021 come into force, cause to be maintained?

(a)

a participating policyholders fund, to which all receipts from participating policyholders shall be credited and from which all payments to such policyholders shall be made; and

(b)

a non-participating policyholders fund, to which all receipts from non-participating policyholders shall be credited and from which all payments to such policyholders shall be made:

Provided that the members, by resolution in a general meeting, may exempt maintenance of such funds for one financial year at a time up to two financial years.

24A.

Books of account, etc.

(1)

The Corporation shall prepare and keep at its central office books of account and other relevant books and records and financial statement for every financial year which give a true and fair view of the state of its affairs, including that of its zonal offices, and which explain the transactions effected both at the central office and at its zonal offices.

(2)

The Corporation shall prepare and keep at each zonal office of the Corporation, books of account and other relevant books and records and financial statement for every financial year which give a true and fair view of the state of affairs of every divisional office established in the zone corresponding to such zonal office and which explain the transactions effected thereat.

(3)

The Corporation shall prepare and keep at each divisional office of the Corporation, books of account and other relevant books and records and financial statement for every financial year which give a true and fair view of the state of affairs of every branch established under such divisional office and which explain the transactions effected thereat.

(4)

All or any of the books of account and other relevant books and records referred to in sub-section (1) or sub-section (2) or sub-section (3) may be kept at such other place or places in India as the Board may decide.

(5)

The Corporation shall be deemed to have complied with the provisions of sub-section (1) or sub-section (2) or sub-section (3), in respect of a zonal office or a divisional office, other than the central office, or a branch of the Corporation, whether within or outside India, if proper books of account relating to the transactions effected at such office or branch, are kept thereat and proper summarised returns are sent periodically to the central office or the corresponding zonal office or the corresponding divisional office, or to the other place referred to in sub-section (4).

(6)

The books of account and other relevant books and records referred to in sub-section (1) or sub-section (2) or sub-section (3) may be kept in electronic form, in such manner as the Board may determine.

(7)

The books of account of the Corporation relating to a period of not less than ten financial years immediately preceding a financial year, together with the vouchers relevant to any entry in such books of account, shall be kept in good order:

Provided that where the Central Government has appointed a special auditor under section 25D or is of the opinion that circumstances exist which render it necessary so to do, it may direct the Corporation that the books of account be kept for such longer period as the Central Government may specify.

24B.

Financial statements.

(1)

The financial statements of the Corporation shall give a true and fair view of the state of affairs of the Corporation and shall be in conformity with the standards on auditing issued by the Institute of Chartered Accountants of India, constituted under section 3 of the Chartered Accountants Act, 1949, and with the accounting standards issued by the said Institute to the extent such accounting standards are applicable to insurers carrying on life insurance business and subject to any regulations made by the Authority under the Insurance Act relating to preparation of financial statements and auditor's report:

Provided that the financial statements shall not be treated as not disclosing a true and fair view of the state of affairs of the Corporation, merely by reason of the fact that they do not disclose any matters which are not required to be disclosed by this Act or by the Insurance Act or by the Insurance Regulatory and Development Authority Act, 1999 or by any other law for the time being in force.

(2)

At every annual general meeting, the Board shall place before such meeting financial statements for the preceding financial year.

(3)

The Corporation shall, in addition to financial statements provided under sub-section (2), prepare a consolidated financial statement of the Corporation and of all its subsidiaries and associate companies in conformity with the auditing standards referred to in sub-section (1) and the accounting standards applicable by law, and shall place the same before the annual general meeting, along with the placing of its financial statements under sub-section (2): Provided that the Corporation shall also attach along with its financial statements, a separate statement containing the salient features of the consolidated financial statement in respect of its subsidiaries and associate companies.

(4)

The provisions of this Act applicable to financial statements under sub-section (1) and under section 24C, the inquiry by the auditor into matters referred to in and making of the auditor's report on accounts under section 25B, and adoption of financial statements under section 23A at the annual general meeting, shall, mutatis mutandis, apply to the consolidated financial statement referred to in sub-section (3).

(5)

Without prejudice to anything contained in subsection (1) or sub-section (3), where the financial statements are not in conformity with the standards referred to therein, the Corporation shall disclose in the financial statements the deviation from such standards, the reasons therefor and the financial effects, if any, arising out of such deviation.

(6)

Financial statements including consolidated financial statement, if any, shall be approved by the Board before they are signed on behalf of the Board by the Chairperson, a Managing Director, one director other than a whole-time director, the heads of the finance and secretarial functions of the Corporation and its Appointed Actuary, for submission to the auditor for his report thereon.

(7)

The auditor's report shall be attached to every financial statement.

(8)

A signed copy of every financial statement, including consolidated financial statement, if any, shall be issued, circulated or published, along with a copy each of?

(a)

any notes annexed to or forming part of such financial statement;

(b)

the auditor's report; and

(c)

the Board's report referred to in sub-section (1) of section 24C.

24C.

Board's report.

(1)

There shall be attached to financial statements placed before general meeting, a report by the Board, which shall

include?

- (a) number of meetings of the Board;
 - (b) a Directors' Responsibility Statement;
 - (c) details in respect of frauds reported by auditors;
 - (d) a statement on declarations given by independent directors under the second proviso to sub-section (3) of section 4;
 - (e) the Corporation's policy on directors' appointment, including the criteria for determining qualifications, positive attributes and independence of a director, which are referred to in section 19B;
 - (f) explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made in the auditor's report;
 - (g) particulars in respect of investments in terms of the provisions of section 27A of the Insurance Act as made applicable to the Corporation by notification issued under sub-section (2) of section 43;
 - (h) particulars of contracts or arrangements with related parties, referred to in sub-section (1) of section 4C;
 - (i) the state of the Corporation's affairs;
 - (j) the amounts, if any, which are carried to any reserves;
 - (k) the amount, if any, which it recommends should be paid by way of dividend;
 - (l) material changes and commitments, if any, affecting the financial position of the Corporation, which have occurred between the end of the financial year to which the financial statements relate and the date of the report;
 - (m) a statement indicating the manner in which annual evaluation of the performance of individual directors has been made under section 19B;
 - (n) such other matters as may be prescribed:
- Provided that where disclosures referred to in this sub-section have been included in the financial statements, such disclosures may be referred to instead of being repeated in the Board's report:
- Provided further that where the policy referred to in clause (e) is made available on the Corporation's website, it shall be sufficient compliance of the requirement under the said clause if the salient features of the policy and any changes therein are specified in brief in the Board's report and the web-address at which the policy is available is indicated therein.

(2) The Directors' Responsibility Statement referred to in clause (b) of sub-section (1) shall state that?

- (a) in the preparation of the annual accounts, the standards referred to in section 24B were followed, along with proper explanation relating to material departures;
- (b) accounting policies were selected and applied consistently and the judgements made and estimates were reasonable and prudent, so as to give a true and fair view of the state of affairs of the Corporation at the end of the financial year and of the profit and loss of the Corporation for that period;
- (c) proper and sufficient care for the maintenance of adequate accounting records was taken in accordance with the

provisions of this Act for safeguarding the assets of the Corporation and for preventing and detecting fraud and other irregularities;

(d)

the annual accounts were prepared on a going concern basis;

(e)

the vigilance administration referred to in clause (h) of sub-section (1) of section 8 of the Central Vigilance Commission Act, 2003 was in operation in the Corporation under the superintendence of the Central Vigilance Commission, and in addition, internal financial controls to be followed by the Corporation had been laid down and were operating effectively; and

(f)

proper systems were devised to ensure compliance with the provisions of applicable laws and were operating effectively.

Explanation.—For the purposes of this sub-section, the expression “internal financial controls” means the policies and procedures adopted for ensuring the orderly and efficient conduct of the Corporation’s business, including adherence to its policies, safeguarding of its assets, prevention and detection of errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information.

(3)

The Board’s report and any annexures thereto under sub-section (1) shall be signed on behalf of the Board by the Chairperson, a Managing Director and one director other than a whole-time director.

24D.

Penalties.

If the Chairperson or the Managing Director in charge of finance or the head of the finance function of the Corporation or any other person of the Corporation charged by the Board with the duty of complying with the provisions of section 24A or section 24B or section 24C contravenes any of the said provisions, such Chairperson or Managing Director or head of finance function or other person shall, for each section whose provisions have been contravened, be liable to pay penalty of a sum which shall not be less than fifty thousand rupees but which may extend to five lakh rupees.?

137.

Substitution of section 25.

For section 25 of the principal Act, the following sections shall be substituted, namely:?

25. Appointment of auditors.

(1)

The Corporation shall, at its first annual general meeting, appoint as many auditors (which may be individual or firm) as it deems fit, and such auditor shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting thereafter, and shall similarly appoint auditor for subsequent periods of five years at a time, and the manner and procedure of selection of auditors by the members at such a meeting shall be such as may be prescribed:

Provided that before such appointment is made, the written consent of the auditor to such appointment, and a certificate from the auditor that the appointment, if made, shall be in accordance with such conditions as may be prescribed, shall be obtained from the auditor:

Provided further that such certificate shall also declare that the auditor satisfies the criteria provided for eligibility for appointment as an auditor of a company under section 141 of the Companies Act.

(2)

The Corporation shall not appoint an auditor for more than one term of five consecutive years:

Provided that an auditor who has completed the term of appointment shall not be eligible for re-appointment or for fresh appointment as auditor for a period of five years from such completion:

Provided further that no audit firm shall be appointed as auditor for a period of five years which, if appointed, as on the date of its appointment, would have a common partner or partners with the audit firm whose term as auditor in the Corporation had expired in the financial year immediately preceding the financial year in which fresh appointment is to be made, or which is associated with the same network of audit firms as the audit firm whose term had expired as aforesaid:

Provided also that nothing contained in this sub-section shall prejudice the right of the Corporation to remove an auditor or the right of the auditor to resign from such office of the Corporation.

Explanation.—For the purposes of this sub-section, the expression “same network” includes firms operating or functioning under a common brand name or trade name, or under common control, or which are network firms as defined under any guidelines for networking issued by the Institute of Chartered Accountants of India, constituted under section 3 of the Chartered Accountants Act, 1949.

(3)

Subject to the provisions of this Act, the Corporation may resolve in a general meeting to provide that?

(a)

in the audit firm appointed by it, the auditing partner and his team shall be rotated at such intervals as may be resolved by members;

(b)

the audit shall be conducted by more than one auditor.

(4)

Any casual vacancy in the office of an auditor shall be filled by the Board within thirty days, but if such casual vacancy is as a result of the resignation of an auditor, such appointment shall also be approved by the Corporation in a general meeting convened within three months of the Board making recommendations in this behalf, and the auditor so appointed shall hold office till the conclusion of the next annual general meeting.

(5)

Where at any annual general meeting, no auditor is appointed, the existing auditor shall continue to be the auditor of the Corporation.

(6)

All appointments, including the filling of a casual vacancy of an auditor under this section, shall be made after taking into account the recommendations of the Audit Committee.

(7)

The remuneration of the auditor shall be fixed in the general meeting or in such manner as may be determined therein.

(8)

Until the first annual general meeting is held, auditors duly qualified to act as auditors of companies under the law for the time being in force relating to companies shall be appointed by the Board with the previous approval of the Central Government, and shall receive such remuneration from the Corporation as the Central Government may fix.

(9)

Notwithstanding anything contained in sub-section (1), where an auditor has been appointed previous to the first annual general meeting, either under section 25 [as it stood before the coming into force of section 128 of the Finance Act, 2021] or thereafter under sub-section (8), and the term specified for such auditor's appointment has not expired, and the auditor meets the criteria referred to in sub-section (1), such auditor shall continue till the expiry of the term so specified:

Provided that nothing contained in this sub-section or in section 25A shall prejudice the right of the Corporation to remove such auditor or the right of the auditor to resign from such office of the Corporation.

(10)

An auditor appointed under sub-section (1) or subsection (8) or sub-section (9) shall provide to the Corporation or its subsidiaries such other services as are approved by the Board, but shall not include any of the services, whether rendered directly or indirectly, that are enumerated in section 144 of the Companies Act:

Provided that an auditor who has been performing any non-audit services on or before the coming into force of section 128 of the Finance Act, 2021 shall comply with the provisions of this sub-section before the close of the first financial year in which the said section comes into force. Explanation.—For the purposes of this section, the word “firm” shall include a limited liability partnership incorporated under the Limited Liability Partnership Act, 2008.

25A.

Removal and resignation of auditor.

(1)

The auditor appointed under section 25 may be removed from office before expiry of the term of appointment only by a special resolution:

Provided that before taking any action under this subsection, an auditor proposed to be removed shall be given a reasonable opportunity of being heard, which shall include the right to represent in writing to the Corporation and, where

the auditor requests that such representation be notified to members, to have a copy thereof sent to every member and in case a copy is not sent as aforesaid because it was received too late, to have the representation read out at the meeting, without prejudice to the right to be heard orally.

(2)

The auditor who has resigned from the Corporation shall file within a period of thirty days from the date of resignation, a statement in the prescribed form with the Corporation, indicating the reasons and other facts as may be relevant with regard to the resignation.

(3)

Without prejudice to any action under this Act or any other law, if the Central Government is satisfied, in consultation with the Comptroller and Auditor General of India, that any change of auditor is required, it may make an order that the auditor shall not function as such and may appoint another auditor in place of such auditor.

25B.

Powers and duties of auditors and auditor's report.

(1)

Every auditor of the Corporation shall have a right of access at all times to the books of account and vouchers of the Corporation, and shall be entitled to require from the officers of the Corporation such information and explanation as the auditor may consider necessary for the performance of his duties as auditor, and shall, amongst other matters, inquire into the following matters, namely:—

(a)

whether loans and advances made by the Corporation on the basis of security have been properly secured;

(b)

whether the terms on which loans and advances have been made are prejudicial to the interests of the Corporation or its members;

(c)

whether transactions of the Corporation which are represented merely by book entries are prejudicial to its interests;

(d)

whether so much of the assets of the Corporation as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased;

(e)

whether loans and advances made by the Corporation have been shown as deposits;

(f)

whether personal expenses have been charged to revenue account;

(g)

where it is stated in the books and documents of the Corporation that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance-sheet is correct, regular and not misleading:

Provided that the auditor shall also have the right of access to the records of all the subsidiaries and associate companies of the Corporation, in so far as they relate to consolidation of the Corporation's financial statements with those of such subsidiaries and associate companies.

(2)

The auditor shall make a report to the members on the accounts examined by the auditor and on every financial statement which is required by or under law to be placed in general meeting, and such report shall, after taking into account applicable provisions of this Act and any other law for the time being in force, the standards referred to in section 24B, and matters that are required to be included in the audit report under the provisions of this Act or any other law for the time being in force, and to the best of the information and knowledge of the auditor, state that the said accounts and financial statements give a true and fair view of the state of the Corporation's affairs as at the end of its financial year and profit or loss and cash flow for the year.

(3)

The auditor's report shall also state?

(a)

whether the auditor has sought and obtained all the information and explanations which to the best of the auditor's

knowledge and belief were necessary for the purpose of audit and if not, the details thereof and the effect of such information on the financial statements;

(b)

whether, in the auditor's opinion, proper books of account as required by law have been kept by the Corporation so far as appears from the auditor's examination of those books and proper returns adequate for the purposes of audit have been received from branches not visited by the auditor;

(c)

whether any report referred to in the proviso to sub-section (6) has been sent to the Corporation's auditor, and the manner in which the Corporation's auditor has dealt with it in preparing the auditor's report;

(d)

whether the Corporation's balance-sheet and profit and loss account dealt within the report are in agreement with the books of account and returns;

(e)

whether, in the auditor's opinion, the financial statements comply with applicable standards;

(f)

the observations or comments of the auditor on financial transactions and matters which have any adverse effect on the functioning of the Corporation;

(g)

whether any director is disqualified to be or remain a director under clause (i) of section 4A;

(h)

any qualification, reservation or adverse remark relating to the maintenance of accounts and matters connected therewith;

(i)

whether the Corporation has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;

(j)

such other matters as may be prescribed.

(4)

Where any of the matters required to be included in the audit report under this section is answered in the negative or with a qualification, the report shall state the reasons therefor.

(5)

All qualifications, observations or comments mentioned in the report of the auditor appointed for the Corporation, in respect of financial transactions or matters that have any adverse effect on the functioning of the Corporation, shall be read out in general meeting and shall be open to inspection by any member.

(6)

In respect of a branch or an office of the Corporation, the accounts shall be audited either by the auditor appointed for the Corporation (herein referred to as Corporation's auditor) in this section or by any other person qualified for appointment as an auditor of the Corporation and appointed as such under section 25, or where the branch or office is situated in a country outside India, the accounts of the branch or office shall be audited either by the Corporation's auditor or by an accountant or by any other person duly qualified to act as an auditor of the accounts of the branch or office in accordance with the laws of that country, and the duties and powers of the Corporation's auditor with reference to the audit of the branch or office and the auditor thereof, if any, shall be such as may be prescribed:

Provided that the auditor for a branch or office shall prepare a report on the accounts of the branch or office, examined by such auditor and shall send it to the Corporation's auditor, who shall deal with it in the Corporation's auditor's report in such manner as the Corporation's auditor may consider necessary.

25C.

Internal auditor.

(1)

The Board shall, on the recommendation of the Audit Committee, appoint an internal auditor, who shall either be a chartered accountant or a cost accountant, or such other professional as may be determined by the Board to conduct the internal audit of the functions and activities of the Corporation.

(2)

The Audit Committee shall?

(a)

recommend to the Board for the appointment, remuneration and terms of appointment of the internal auditor;

(b)

in consultation with the internal auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit;

(c)

review and monitor the internal auditor's performance and effectiveness of audit process.

25D.

Special auditor.

Notwithstanding anything contained in sections 19C, 23A, 25, 25A and 25B, the Central Government may, at any time, appoint such auditor as it deems fit as a special auditor to examine and report on the accounts of the Corporation, and such auditor shall have the same rights of access to the books of account and vouchers of the Corporation and entitlement to require information and explanation from the officers of the Corporation as an auditor of the Corporation has under section 25B.?

138.

Amendment of section 26.

In section 26 of the principal Act,?

(i)

for the words 'The Corporation?', the words 'The Board?' shall be substituted;

(ii)

for the words 'Central Government?', the word 'Board?' shall be substituted.

139.

Amendment of section 27.

In section 27 the principal Act, the words 'and the report shall also give an account of the activities, if any, which are likely to be undertaken by the Corporation in the next financial year?' shall be omitted.

140.

Amendment of section 28.

For section 28 of the principal Act, the following section shall be substituted, namely:?

'28. Surplus from life insurance business, how to be utilised.

(1)

If as a result of any investigation undertaken by the Board under section 26, any surplus emerges,?

(a)

for every financial year previous to the financial year for which the funds referred to in sub-section (2) of section 24 are to be maintained, and for any subsequent financial year for which members may exempt the maintenance of such funds,?

(i)

ninety per cent., or such higher percentage as the Board may approve, of such surplus shall be allocated to or reserved for the life insurance policyholders of the Corporation; and

(ii)

such percentage of the remaining surplus as the Board may approve, shall be allocated to or reserved for members and may either be credited to a separate account maintained by the Corporation or be transferred to such reserve or reserves as the Board may specify;

(b)

for every financial year other than that referred to in clause (a),?

(i)

in respect of participating policyholders,?

(i)

ninety per cent., or such higher percentage as the Board may approve, of surplus relating to such policyholders, shall be transferred to the participating policyholders fund, and shall be allocated to or reserved for the life insurance participating

policyholders of the Corporation; and

(II)

such percentage of the remaining surplus as the Board may approve, shall be allocated to or reserved for members and may either be credited to a separate account maintained by the Corporation or be transferred to such reserve or reserves as the Board may specify;

(ii)

in respect of non-participating policyholders, one hundred per cent. of surplus relating to such policyholders shall be allocated to or reserved for members and may either be credited to a separate account maintained by the Corporation or be transferred to such reserve or reserves as the Board may specify.

(2)

The remaining surplus referred to in sub-clause (ii) of clause (a) of sub-section (1) or in item (II) of sub-clause (i) of clause (b) of sub-section (1), as the case may be, and the surplus referred to in sub-clause (ii) of clause (b) of subsection (1), and the profits allocated to or reserved for the members under section 28A, shall be utilised for such purposes as the Board may approve, including for the purpose of declaration or payment of dividend, the issue of fully paidup bonus shares to members and crediting any of the reserves that the Board may create for any purpose.

(3)

The Corporation shall, with the approval of the Board, publish on its website its surplus distribution policy at least once in five years, or such shorter period not less than three years as the Board may deem fit, and such policy shall specify, among other things, the percentages referred to in sub-section (1).?

141.

Amendment of section 28A.

In section 28A of the principal Act, for the words ?paid to the Central Government?, the words ?allocated to or reserved for the members? shall be substituted.

142.

Insertion of new sections 28B and 28C.

In the principal Act, after section 28A, the following sections shall be inserted, namely:?

?28B. Declaration of dividend.

(1)

No dividend shall be declared or paid by the Corporation for any financial year except out of the surpluses and profits referred to in sub-section (2) of section 28 (after excluding any amount representing unrealised gains, notional gains or revaluation of assets and any change in carrying amount of an asset or of a liability on measurement of the asset or the liability at fair value) for such year arrived at after providing for depreciation, or for any previous financial year or years arrived at after providing for depreciation and remaining undistributed, or out of both the aforesaid surpluses and profits:

Provided that no dividend shall be declared or paid by the Corporation from its reserves other than free reserves:

Provided further that no dividend shall be declared or paid by the Corporation unless any losses carried over from previous years and any depreciation not provided for in previous years are set off against the surpluses and profits referred to in sub-section (2) of section 28 for the financial year for which the dividend is proposed to be declared or paid.

(2)

The Board may, during any financial year or at any time during the period from the close of a financial year till the holding of the annual general meeting for that financial year, declare interim dividend out of the surpluses and profits referred to in sub-section (2) of section 28 of the financial year for which such interim dividend is sought to be declared, or out of the surpluses and profits referred to in sub-section (2) generated in the current financial year till the close of the quarter preceding the date of declaration of such interim dividend:

Provided that in case the Corporation has incurred loss during the current financial year up to the close of the quarter immediately preceding the date of declaration of interim dividend, such interim dividend shall not be declared at a rate higher than the average of the dividends declared by the Corporation during the immediately preceding three financial years.

(3)

The amount of the dividend, including interim dividend, shall be deposited in a scheduled bank in a separate account within five days from the date of declaration of such dividend.

(4)

No dividend shall be paid by the Corporation in respect of any share of the Corporation except to the member in whose name such share is entered on the register of members referred to in section 5C, or to his order, or to his banker, and shall be payable in cash and not in stock or other form of value:

Provided that nothing in this sub-section shall be deemed to prohibit the capitalisation of the surpluses and profits referred to in sub-section (2) of section 28 for the purpose of issuing fully paid-up bonus shares or paying up any amount for the time being unpaid on any share held by members: Provided further that any dividend payable in cash may be paid by cheque or warrant or in any electronic mode to the member entitled to such payment.

28C.

Unpaid Dividend Account.

(1)

Where a dividend has been declared by the Corporation but has not been paid or claimed within thirty days from the date of declaration to any member entitled to payment thereof, the Corporation shall, within seven days from the expiry of the said period of thirty days, transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened by the Corporation in that behalf in any scheduled bank, to be called the Unpaid Dividend Account.

(2)

The Corporation shall, within a period of ninety days of making any transfer of an amount under sub-section (1) to the Unpaid Dividend Account, prepare a statement containing the name and last known address of, and the amount of the unpaid dividend payable to, each member entitled to such unpaid dividend, and shall place such statement on its website and on any other website as the Central Government may specify.

(3)

If any default is made in transferring the total amount referred to in sub-section (1) or any part thereof to the Unpaid Dividend Account, the Corporation shall pay, from the date of such default, interest on so much of the amount as has not been transferred to the said account, at such rate as is specified in section 123 of the Companies Act, and the interest accruing on such amount shall ensure to the benefit of the members in proportion to the amount remaining unpaid to them.

(4)

Any person claiming to be entitled to any money transferred under sub-section (1) to the Unpaid Dividend Account may apply to the Corporation for payment of the money claimed.

(5)

The amount remaining unclaimed and unpaid for a period of seven year from the date it became due for payment in the Unpaid Dividend Account shall be transferred to the Investor Education and Protection Fund established under sub-section (1) of section 125 of the Companies Act and shall be deemed to be an amount credited to the said Fund under sub-section (2) of the said section.?

(6)

All shares in respect of which dividend has not been paid or claimed for seven consecutive years or more shall be transferred by the Corporation in the name of the Investor Education and Protection Fund along with a statement containing such details as may be prescribed:

Provided that every claimant of such shares shall be entitled to claim the transfer thereof from the said Fund in accordance with such procedure and on submission of such documents as may be prescribed.

Explanation.--For the removal of doubts, it is hereby clarified that in case any dividend is paid or claimed for any year during the said ~ 7 period of seven consecutive years, the share shall not be transferred to the Investor Education and Protection Fund.

143.

Substitution of sections 46 and 47.

For sections 46 and 47 of the principal Act, the following sections shall be substituted, namely:?

Defects in constitution of Corporation or Committees or in appointment or nomination of directors not to invalidate acts or proceedings.

?46.(1) No act or proceeding of the Corporation or of its Board or any Committee thereof shall be called in question on the ground merely of the existence of any vacancy or defect in the constitution of the Corporation or the Board or such

Committee, as the case may be.

(2)

No act done by an individual as a director shall be deemed to be invalid, notwithstanding that it was subsequently noticed that his appointment or nomination, as the case may be, was invalid by reason of any defect or disqualification or had terminated by virtue of any provision contained in this Act:

Provided that nothing in this sub-section shall be deemed to give validity to any act done by such individual as director after his appointment or nomination, as the case may be, has been noticed by the Corporation to be invalid or to have terminated.

47. Protection of action taken under this Act.

(1)

No suit, prosecution or other legal proceeding shall lie against any director or employee of the Corporation for anything which is in good faith done or intended to be done in pursuance of this Act or of any rules or regulations made thereunder.

(2)

A director who is not a whole-time director shall be held liable only in respect of such acts of omission or commission of the Corporation which had occurred with his knowledge, attributable through Board processes, and with his consent or connivance or where he had not acted diligently.

Explanation.—For the purposes of this sub-section, the reference to ‘Board’ shall include Committees of the Board.

144.

Amendment of section 48.

In section 48 of the principal Act, in sub-section (2),—

(i)

in clause (a), for the word ‘members’, the word ‘directors’ shall be substituted;

(ii)

for clause (aa), the following clauses shall be substituted, namely:—

‘(aa) the manner of disclosure of interest by a director under section 4B;

(ab)

the conditions subject to which the Board may consent to related party transactions under section 4C;

(ac)

the securities and instruments which may be issued under section 5;

(ad)

the manner of reservation in favour of life insurance policyholders and allotment against such reservation, in relation to a public issue, under clause

(a)

of sub-section (9) of section 5;—

(iii)

for clause (g), the following clause shall be substituted, namely:—

‘(g) the conditions under the first proviso to clause (d) of sub-section (2) of section 19C;—

(iv)

after clause (h), the following clauses shall be inserted, namely:—

‘(ha) the manner in which general meetings shall be held, and the business to be transacted and procedure to be followed thereat;

(hb)

the quorum for a general meeting, and the manner of holding the meeting if it could not be held for want of quorum and was adjourned under section 23A;

(hc)

the manner in which persons may attend a general meeting and exercise their vote;

(hd)

the manner in which notices may be served on behalf of the Corporation upon members or other persons;

(he)

the form and manner in which the financial statements referred to in sub-section (8) of section 24B may be issued,

circulated or published;

(hf)

matters that may be prescribed under clause (n) of sub-section (1) of section 24C;

(hg)

the manner and procedure of selection and conditions of appointment of auditors under sub-section (1) of section 25;

(hh)

the form in which an auditor who has resigned shall indicate the reasons and other facts relevant to the resignation under sub-section (2) of section 25A;

(hi)

the matters to be prescribed under clause (j) of sub-section (3) of section 25B;

(hj)

the duties and powers of the Corporation's auditor with reference to the audit of a branch or office of the Corporation and the auditor thereof, under

sub-section (6) of section 25B;?

(hk)

the details, procedure and documents under sub-section (6) of section 28C.

145.

, Amendment of section 49.

In the principal Act, in section 49,?

(i)

in sub-section (1), for the word 'Corporation', the word 'Board' shall be substituted;

(ii)

in sub-section (2),?

(a)

in clause (a), for the word 'Corporation', the word 'Board' shall be substituted;

(b)

clause (c) shall be omitted;

(c)

in clause (e), for the word 'Fund', the words 'fund or funds' shall be substituted;

(d)

for clause (h), the following clause shall be substituted, namely:?

'(h) the manner in which meetings of the Board and its Committees shall be held, the business to be transacted and procedure to be followed thereat, and the quorum therefor;?;

(e)

clause (i) shall be omitted;

(f)

after clause (m), the following clauses shall be inserted, namely:?

'(n) the manner of election of directors under clause (e) of sub-section (2) of section 4;

(o)

the form and manner of registers to be kept and maintained under sub-section (1) of section 5C;

(p)

the manner of nomination by an individual registered member or joint holder of shares, the manner of variation or cancellation of such nomination, and the

manner of nomination in favour of a minor, under section 5F;

(q)

the manner in which and the conditions subject to which shares, including partly paid-up shares, may be issued, held, transferred and registered;

(r)

the maintenance and operation of the funds and reserves under section 24;

(s)

the form and manner in which the books and records referred to in section 24A may be kept;?

(iii)

after sub-section (2), the following sub-section shall be inserted, namely:?

?(2A) Any reference in the regulations as in force immediately before the coming into force of section 123 of the Finance Act, 2021 to ?Investment Committee? shall be construed as a reference to the Investment Committee of the Board referred to in section 19A.?

146.

Insertion of sections 50 and 51.

After section 49 of the principal Act, the following sections shall be inserted, namely:?

?50. Form, manner etc. for companies to apply with modifications.

Where this Act provides that the form or manner or period or details in respect of any declaration to be made or the particulars to be included in any

register to be maintained shall be such as may be prescribed for a company under the Companies Act, such prescribed form or manner or period or details or

particulars, as the case may be, shall apply subject to such modifications, exceptions and conditions that the Central Government may by notification specify.

51. Power to remove difficulties.

(1)

If any difficulty arises in giving effect to the provisions of this Act as amended by Part III of Chapter VI of the Finance Act, 2021, the Central Government may, by order published in the Official Gazette, make such provisions, not inconsistent with the provisions of this Act, as appear to it to be necessary or expedient for removing the difficulty: Provided that no such order shall be made after the expiry of a period of three years from the date of commencement of Part III of Chapter VI of the Finance Act, 2021.

(2)

Every order made under this section shall, as soon as may be after it is made, be laid on the table of each House of Parliament.?

PART IV-AMENDMENTS TO THE SECURITIES CONTRACTS (REGULATION) ACT, 1956

147.

Commencement of this Part.

The provisions of this Part shall come into force on the 1st day of April, 2021.

148.

Amendment of section 2.

In the Securities Contracts (Regulation) Act, 1956 (hereafter in this Part referred to as the principal Act), in section 2,??

(i)

after clause (d), the following clause shall be inserted, namely:??

?(da) ?pooled investment vehicle? means a fund established in India in the form of a trust or otherwise, such as mutual fund, alternative investment fund, collective investment scheme or a business trust as defined in sub-section (13A) of section 2 of the Incometax Act, 1961 and registered with the Securities and Exchange Board of India, or such other fund, which raises or collects monies from investors and invests such funds in accordance with such regulations as may be made by the Securities and Exchange Board of India in this behalf;?;

(ii)

in clause (h),??

(a)

in sub-clause (i), for the words ?other body corporate?, the words ?or a pooled investment vehicle or other body corporate? shall be substituted;

(b)

after sub-clause (id), the following sub-clause shall be inserted, namely:??

?(ida) units or any other instrument issued by any pooled investment vehicle;?.

149.

Insertion of new section 30B.

After section 30A of the principal Act, the following section shall be inserted, namely:??

Special provisions related to pooled investment vehicle.

30B.(1) Notwithstanding anything contained in the Indian Trust Act, 1882 or in any other law for the time being in force or in any judgment, decree or order of any Court, Tribunal or any other authority, a pooled investment vehicle, whether constituted as a trust or otherwise, and registered with the Securities and Exchange Board of India shall be eligible to borrow and issue debt securities in such manner and to such extent as may be specified under the regulations made by Securities and Exchange Board of India in this behalf.

(2)

Every pooled investment vehicle referred to in subsection (1) shall, subject to the provisions of the trust deed, be permitted to provide security interest to lenders in terms of the facility documents entered into by such pooled investment vehicle.

(3)

Where any pooled investment vehicle referred to in sub-section (1) defaults in repayment of principal amount or payment of interest or any such amount due to the lender, the lender shall recover the defaulted amount and enforce security interest, if any, against the trust assets, by initiating proceedings against the trustee acting on behalf of such pooled investment vehicle in accordance with the terms and conditions specified in the facility documents:

Provided that on initiation of the proceedings against the trust assets, the trustee shall not be personally liable and his assets shall not be utilised towards recovery of such debt.

(4)

The trust assets, which remain after recovery of defaulted amount, shall be remitted to the unit holders on proportionate basis.?

PART V-AMENDMENT TO THE CENTRAL SALES TAX ACT, 1956

150.

Amendment of Act 74 of 1956.

In the Central Sales Tax Act, 1956, in section 8, in subsection (3), for clause (b), the following clause shall be substituted, namely:??

?(b) are goods of the class or classes specified in the certificate of registration of the registered dealer purchasing the goods as being intended for re-sale by him or subject to any rules made by the Central Government in this behalf, for use by him in the manufacture or processing for sale of goods specified under clause (d) of section 2;?.

PART VI-AMENDMENTS TO THE PROHIBITION OF BENAMI PROPERTY TRANSACTION ACT, 1988

151.

Commencement of this Part.

The provisions of this Part shall come into force on such date as the Central Government may, be notification in the official Gazette, appoint.

152.

Amendment of Act 12 of 1974.

In the Economic Offences (inapplicability of Limitation)Act, 1974, in the Schedule, after serial number 21 and the entries relating thereto, the following serial numbers and entries shall be inserted, namely:-

"22. The Prohibition of Benami Property Transactions Act, 1988;

23. The Central Goods and Services Tax Act, 2017;

24. The Integrated Goods and Services Tax Act, 2017;

25. The Union Territory Goods and Services Tax Act, 2017; and

26. The Goods and Services (Compensation to States) Act, 2017."

PART VII-AMENDMENTS TO THE PROHIBITION OF BENAMI PROPERTY TRANSACTION ACT, 1988

153.

Commencement of this Part.

The provisions of this Part shall come into force on the 1st day of July, 2021.

154.

Amendment of section 2.

In the Prohibition of Benami Property Transactions Act, 1988 (hereinafter in this Part referred to as the principal Act), in section 2, in clause (J), for the words "appointed under", the words "referred to in" shall

155.

Substitution of section 7.

For section 7 of the principal Act, the following section shall be substituted, namely:-

156.

Commission of sections 8 to 17.

Sections 8 to 17 of the principal Act, shall be omitted.

157.

Amendment of section 26.

In section 26 of the principal Act, in sub-section (7), after the proviso to the Explanation, the following proviso shall be inserted, as namely:-

"Provided that where the time limit for passing order under this sub-section expires during the period beginning from the 1st day of July, 2021 and ending on the 29th day of September, 2021, the time limit for passing such order shall be extended to the 30th day of September, 2021."

158.

Amendment of section 68.

In section 68 of the principal Act, in sub-section (2), clauses (b) and (c) shall be omitted.

PART VIII-AMENDMENT TO THE SECURITIES AND EXCHANGE BOARD OF INDIA ACT, 1992

159.

Amendment of Act 15 of 1992.

In the Securities and Exchange Board of India Act, 1992, in section 12, after sub-section (JB), the following sub-section shall be inserted with effect from the 1st day of April, 2021, namely:-

"(IC) No person shall sponsor or cause to be sponsored or carry on or cause to be carried on the activity of an alternative investment fund or a business trust as defined in clause (J3A) of section 2 of the Income-tax Act, 1961, unless a certificate of registration is granted by the Board in accordance with the regulations made under this Act."

PART IX-AMENDMENT TO THE RECOVERY OF DEBTS DUE TO BANKS AND FINANCIAL INSTITUTIONS ACT, 1993

160.

Amendment of Act 51 of 1993.

In the Recovery of Debts Due to Banks and Financial Institutions Act, 1993, in section 2, in clause (g), after the words "from any person", the words, brackets, letters and figures "or a pooled . investment vehicle as It defined in clause (da) of section 2 of the Securities Contracts (Regulation) Act, 1956," shall be inserted with effect from the 1st day of April, 2021.

PART X-AMENDMENT TO THE FINANCE ACT, 2001

161.

Amendment of Seventh Schedule.

In the Seventh Schedule to the Finance Act, 2001,- 14 of 2001.

(a)

for the brackets, words and figures "(See section 138)", the brackets, words and figures "(See section 136)" shall be substituted;

(b)

after tariff item 2403 99 90 and the entries relating thereto, the following tariff items and entries shall be inserted with effect from the 1st day of January, 2022, namely:-

" 240411 00

Containing tobacco or

Kg

25%

2404 19 00

-- Other

Kg

25%

PART XI-AMENDMENT TO THE SECURITISATION AND RECONSTRUCTION OF FINANCIAL ASSETS AND ENFORCEMENT OF SECURITY INTEREST ACT, 2002

162.

Amendment of Act 54 of 2002,

In the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002, in section 2, in sub-section (i) with effect from the 1st day of April, 2021-

(i)

in clause (j),-

(a)

for the words "any person who", the words "any person who, or a pooled investment vehicle as defined in clause (d.a) of section 2 of the Securities Contracts (Regulation) Act, 1956 which," shall be substituted;

(b)

for the words "and includes a person who", the words "and includes a person who, or a pooled investment vehicle which," shall be substituted; as

(ii)

in clause (zd), in sub-clause (iv), for the words "the Board appointed by any company", the words "the Board and appointed" shall be substituted.

PART XII-AMENDMENT TO THE UNIT TRUST OF INDIA (TRANSFER OF UNDERTAKING AND REPEAL) ACT, 2002

163.

Amendment of Act 54 of 2002,

In the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002, in section 13, in sub-section (1), for the words, figures and letters "the 31st day of March, 2021", the words, figures and letters "the 30th day of March, 2023" shall be substituted with effect from the 1st day of April, 2021.

PART XIII-AMENDMENTS TO THE INDUSTRIAL DEVELOPMENT BANK (TRANSFER OF UNDERTAKING AND REPEAL) ACT, 2003

164.

Commencement of this Part.

The provisions of this Part shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

165.

Amendment of section 3.

In the Industrial Development Bank (Transfer of Undertaking and Repeal) Act, 2003, in section 3, in sub-section (2),- 53 of 2003.

(i)

in the opening paragraph, the words "in addition to the business which may be carried on and transacted by the Development Bank" shall be omitted;

(ii)

after the proviso, the following proviso shall be inserted, namely:-

"Provided further that the provisions of clause (a) to the proviso, shall cease to be applicable immediately after the commencement of Part XIII of the Finance Act, 2021, and from such commencement, the Company shall be deemed to have obtained licence under section 22 of the Banking Regulation Act, 1949."

PART XIV-AMENDMENTS TO THE FINANCE (NO. 2) ACT, 2004

166.

Commencement of this Part.

The provisions of this Part shall come into force and shall be deemed to have come into force on the 1st day of February, 2021.

167.

Amendment of section 97.

In section 97 of the Finance Act (No.2) Act, 2004, (hereafter in this Part referred to as the Principal Act),-

15.

' (i) in clause (13), in sub-clause (b), for the words "Mutual Fund;" the following shall be substituted, namely:-

"Mutual Fund; or

(ba)

sale or surrender or redemption of a unit of an equity oriented fund to an insurance company, on maturity or partial withdrawal, with respect to unit linked insurance policy issued by such insurance company on or after the 1st day of February, 2021;";

(ii)

after clause (13), the following clause. shall be inserted, namely:-

'(13A) "unit linked insurance policy" shall have the meaning assigned to it in Explanation 3 of clause (JOD) of section 10 of the Income-tax Act, 1961;'.
168.

Amendment of section 98.

In section 98 of the Principal Act, in the Table, after serial number 5 and the entries relating thereto, the following shall be inserted, namely:-

"5A. Sale or surrender or redemption of a unit of {0.001} Seller" an equity oriented fund to an insurance company, per cent. on maturity or partial withdrawal, with respect to unit linked insurance policy issued by such insurance company on or after the first day of "31st February, 2021.".

169.

Amendment of section 100.

In section 100 of the Principal Act, after the words "Mutual Fund" wherever they occur, the words "or insurance company" shall be inserted.

170.

Amendment of section 101.

In section 101 of the Principal Act, after the words "Mutual Fund" at both places where they occur, the words "or insurance company" shall be inserted.

PART XV-AMENDMENT TO THE FINANCE ACT, 2016

171.

Amendment of Act 28 of 2016.

In the Finance Act, 2016,-

(a)

the following amendments shall be made and shall be deemed to have been made with effect from the 1st day of April, 2020, namely:- 5'

(i)

in section 163, in sub-section (3), the following proviso shall be inserted, namely:-

"Provided that the consideration received or receivable for specified services and fore-commerce supply or services shall not include the consideration, which are taxable as royalty or fees for 10 technical services in India under the Income-tax Act, read with the agreement notified by the Central Government under section 90 or section 90A of the said Act.";

(ii)

in section 164, in clause (ch), the following Explanation shall be inserted, namely:-

'Explanation.-For the purposes of this clause, "online sale of goods" and "online provision of services" shall include one or more of the following online activities, namely:-

(a)

acceptance of offer for sale; or

(b)

placing of purchase order; or

(c)

acceptance of the purchase order; or

(d)

payment of consideration; or

(e)

supply of goods or provision of services, partly or wholly;";

(iii)

in section 165A, in sub-section (3),-

(a)

in the opening portion, for the words 'section, "specified circumstances" mean-', the following shall be substituted, namely:-

'section,-

(a)

"specified circumstances" mean-';

(B)

after clause (a) as so amended, the following clause shall be inserted, namely:-

"(b) consideration received or receivable from e-commerce supply or services shall include- .;

(i)

consideration for sale of goods irrespective of whether the e-commerce operator goods, so however that it shall not include consideration for sale of such goods which are owned by a person resident in India 40 or by a permanent, establishment in India of a person non-resident in India, if sale of such goods is effectively connected with such permanent establishment.

(ii)

consideration for provision of services irrespective of whether service is provided or facilitated by the commerce operator, so however that it shall not include consideration for provision of services which are provided by a person resident in India or by permanent establishment in India of a person non-resident in India, if provision of such services is effectively connected with such permanent establishment.

(b)

in section 191, in the proviso, after the word "refundable", the words "without any interest" shall be inserted and shall be deemed to have been inserted with effect from the 1st day of June, 2016.

PART XVI-AMENDMENT TO THE DIRECT TAX VIVAD SE VISHWAS ACT, 2020

172.

Amendment of Act 3 of 2020

In the Direct Tax Vivad se Vishwas Act, 2020, the following amendments shall be made and shall be deemed to have been made with effect from the 17th day of March, 2020, namely:-

(a)

in section 2, in sub-section(/),-

(i)

in clause (a), the following Explanation shall be inserted, namely:-

'Explanation.-For the removal of doubts, it is hereby clarified that the expression "appellant" shall not include and shall be deemed never to have been included a person in whose case a writ petition or special leave petition or any other proceeding has been filed either by him or by the income-tax authority or by both before an appellate forum, arising out of an order of the Settlement Commission under Chapter XIX-A of the Income-tax Act, and such petition or appeal is either pending or is disposed of.';

(ii)

in clause (i), after the second proviso, the following Explanation shall be inserted, namely:-

'Explanation.-For the removal of doubts, it is hereby clarified that the expression "disputed tax", in relation to an assessment year or financial year, as the case may be, shall not include and shall be deemed never to have been included any sum payable either by way of tax, penalty or interest pursuant to an order passed by the Settlement Commission under Chapter XIX-A of the Income-tax Act.';

(iii)

in clause (o), the following Explanation shall be inserted, namely:-

'Explanation.-For the removal of doubts, it is hereby clarified that the expression "tax arrear" shall not include and shall be deemed never to have been included any sum payable either by way of tax, penalty or interest pursuant to an order passed by the Settlement Commission 5 under Chapter XIX-A of the Income-tax Act.

PART XVII-AMENDMENT TO THE TAXATION AND OTHER LAWS (RELAXATION AND AMENDMENT OF CERTAIN PROVISIONS ACT, 2020.

173.

Amendment of Act 38 of 2020.

In the Taxation and Other Laws (Relaxation and Amendment of Certain Provisions) Act, 2020, in section 4, with effect from the 1st day of the April, 2021,-

(i)

In clause (XIV), in sub-section (a), for item (ii), the following shall be substituted, namely:-

'(ii) for clause (i), after the Jong line, the following clause shall be substituted, namely:-

"(i) the amount of income-tax calculated on the income in respect of securities referred to in clause (a), if any, included in the total income,-

(A)

at the rate of twenty per cent. in case of Foreign Institutional Investor;

(B)

at the rate of ten per cent. in case of specified fund:

Provided that the amount of income-tax calculated on ~7 the income by way of interest referred to in section 194LD shall be at the rate of five per cent.;"

(ii)

in clause (XXIV), after the portion beginning with "(9) Notwithstanding anything contained in any other provision of this Act, assessment made" and ending with "the procedure laid !JO down under this section", the following shall be inserted, namely:-

"(10) Notwithstanding anything contained in this section the function of verification .unit under this section may also be performed by a verification unit located in any other faceless centre set up under .the provisions of this 3So Act or under any scheme notified under the provisions of this Act; and the request for verification may also be assigned by the National Faceless Assessment Centre to such verification unit."

THE FIRST SCHEDULE

(See section 2)

Part I ? INCOME-TAX

Paragraph A

(I)

In the case of every individual other than the individual referred to in items (II) and (III) of this Paragraph or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not being a case to which any other Paragraph of this Part applies,-

Rates of income-tax

(1)

where the total income does not exceed Rs. 2,50,000

Nil;

(2)

where the total income exceeds Rs. 2,50,000 but does not exceed Rs. 5,00,000

5 per cent. of the amount by which the total income exceeds Rs. 2,50,000;

(3)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

Rs.12,500 plus 20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(4)

where the total income exceeds Rs. 10,00,000

Rs. 1,12,500 plus 30 per cent. of the amount by which the total income exceeds Rs.10,00,000.

(II)

In the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year,?

Rates of income-tax

(1)

(1) where the total income does not exceed Rs. 3,00,000

Nil;

(2)

where the total income exceeds Rs. 3,00,000 but does not exceed Rs. 5,00,000

5 per cent. of the amount by which the total income exceeds Rs. 3,00,000;

(3)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

Rs.10,000 plus 20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(4)

where the total income exceeds Rs. 10,00,000

Rs. 1,10,000 plus 30 per cent. of the amount by which the total income exceeds Rs.10,00,000.

(III)

In the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year,?

Rates of income-tax

(1)

where the total income does not exceed Rs. 5,00,000

Nil;

(2)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(3)

where the total income exceeds Rs. 10,00,000

Rs. 1,00,000 plus 30 per cent. of the amount by which the total income exceeds Rs. 10,00,000.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A or the provision of section 115BAC of the Income-tax Act, shall be increased by a surcharge for the purposes of the Union, calculated, in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act,-

(a)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(b)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(c)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(d)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding five crore rupees at the rate of thirty-seven per cent. of such income-tax; and

(e)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding two crore rupees, but is not covered under clauses (c) and (d), shall be applicable at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income chargeable under section 111A and section 112A of the Income-tax Act, the rate of surcharge on the amount of income-tax computed in respect of that part of income shall not exceed fifteen per cent.:

Provided further that in the case of persons mentioned above having total income exceeding,-

- (a)
fifty lakh rupees but not exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;
- (b)
one crore rupees but does not exceed two crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;
- (c)
two crore rupees but does not exceed five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;
- (d)
five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees.

Paragraph B

In the case of every co-operative society,-

- (1)
where the total income does not exceed Rs.10,000
10 per cent. of the total income;
- (2)
where the total income exceeds Rs.10,000 but does not exceed Rs. 20,000
Rs.1,000 plus 20 per cent. of the amount by which the total income exceeds Rs. 10,000;
- (3)
where the total income exceeds Rs. 20,000
Rs. 3,000 plus 30 per cent. of the amount by which the total income exceeds Rs. 20,000

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every co-operative society, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every co-operative society mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph C

In the case of every firm,?

Rate of income-tax

On the whole of the total income
30 per cent.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every firm, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every firm mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph D

In the case of every local authority,?

Rate of income-tax

On the whole of the total income

30 per cent.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every local authority, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every local authority mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph E

In the case of a company,?

Rates of income-tax

(i)

where its total turnover or the gross receipt in the previous year 2018-19 does not exceed four hundred crore rupees;

25 per cent. of the total income;

(ii)

other than that referred to in item (i)

30 per cent. of the total income.

II. In the case of a company other than a domestic company,-

(i)

on so much of the total income as consists of,?

50 per cent.;

(a) royalties received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 31st day of March, 1961 but before the 1st day of April, 1976; or

30 per cent. of the total income.

(b) fees for rendering technical services received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 29th day of February, 1964 but before the 1st day of April, 1976, and where such agreement has, in either case, been approved by the Central Government .

(ii)

on the balance, if any, of the total income

40 per cent..

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union, calculated,??

(i)

in the case of every domestic company,??

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent. of such income-tax;

(ii)

in the case of every company other than a domestic company,??

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of two per cent. of such income-tax; and (b) having a total income exceeding ten crore rupees, at the rate of five per cent. of such income-tax:

Provided that in the case of every company having a total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every company having a total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

PART II-RATES FOR DEDUCTION OF TAX AT SOURCE IN CERTAIN CASES

In every case in which under the provisions of sections 193, 194A, 194B, 194BB, 194D, 194LBA, 194LBB, 194LBC and 195 of the Income-tax Act, tax is to be deducted at the rates in force, deduction shall be made from the income subject to the deduction at the following rates:?

Rate of income-tax

(i) on income by way of interest other than ?Interest on securities?

(ii) on income by way of winnings from lotteries, puzzles, card games and other games of any sort

30 per cent.;

(iii) on income by way of winnings from horse races

30 per cent.;

(iv) on income by way of insurance commission

5 per cent.;

(v) on income by way of interest payable on?

10 per cent.;

(A) any debentures or securities for money issued by or on behalf of any local authority or a corporation established by a Central, State or Provincial Act; (B) any debentures issued by a company where such debentures are listed on a recognised stock exchange in India in accordance with the Securities Contracts (Regulation) Act, 1956 (42 of 1956) and any rules made thereunder; (C) any security of the Central or State Government;

on any other income

10 per cent.;

(b) where the person is not resident in India?

(i) in the case of a non-resident Indian?

(A) on any investment income

20 per cent.;

(B) on income by way of long-term capital gains referred to in section 115E or sub-clause (iii) of clause (c) of sub-section (1) of section 112

10 per cent.;

(C) on income by way of long-term capital gains referred to in section 112A

10 per cent.;

(D) on other income by way of long-term capital gains [not being long-term capital gains referred to in clauses (33) and (36) of section 10] referred to in section 112A exceeding one lakh rupees

20 per cent.;

(E) on income by way of short-term capital gains referred to in section 111A

15 per cent.;

(F) on income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income byway of interest referred to in section 194LB or section 194LC) 2

20 per cent.;

(G) on income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

10 per cent.;

(H) on income by way of royalty [not being royalty of the nature referred to in sub-item (b)(i)(g)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(I) on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(J) on income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort

30 per cent.;

(K) on income by way of winnings from horse races

30 per cent.;

(L) on the income by way of dividend

20 per cent.;

(M) on the whole of the other income

30 per cent.;

in the case of any other person?

(A) on income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

20 per cent.;

(B) on income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copy right in any book on a subject referred to in the first proviso to subsection (1A) of section 115A of the Income-tax Act, to the Indian concern, in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

10 per cent.;

(C) on income by way of royalty [not being royalty of the nature referred to in sub-item (b)(ii)(b)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(D) on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(E) on income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort

30 per cent.;

(F) on income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

30 per cent.;

(G) on income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software

referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India
10 per cent.;

(H) on income by way of royalty [not being royalty of the nature referred to in sub-item (b)(i)(g)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(I) on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

10 per cent.;

(J) on income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort

30 per cent.;

(K) on income by way of winnings from horse races

30 per cent.

(L) on the income by way of dividend

20 per cent.;

(M) on the whole of the other income

30 per cent.;

in the case of any other person?

(A) on income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

(B) on income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copy right in any book on a subject referred to in the first proviso to subsection (1A) of section 115A of the Income-tax Act, to the Indian concern, in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

(C) on income by way of royalty [not being royalty of the nature referred to in sub-item (b)(ii)(b)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(D) on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(E) on income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort

(F) on income by way of winnings from horse races

(G) on income by way of short-term capital gains referred to in section 111A

(H) on income by way of long-term capital gains referred to in sub-clause (iii) of clause (c) of sub-section (1) of section 112

(I) on income by way of long-term capital gains referred to in section 112A exceeding one lakh rupees

(J) on income by way of other long-term capital gains [not being long-term capital gains referred to in clauses (33) and (36) of section 10]

20 per cent.;

(L) on the whole of the other income

30 per cent.;

2. In the case of a company?

(a) where the company is a domestic company?

(i) on income by way of interest other than ?Interest on securities?

10 per cent.;

(ii) on income by way of winnings from lotteries, puzzles card games and other games of any sort

30 per cent.;

(iii) on income by way of winnings from horse races

30 per cent.;

(iv) on any other income

10 per cent.;

(b) where the company is not a domestic company?

(i) on income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort 30

30 per cent.;

(ii) on income by way of winnings from horse races

30 per cent.;

(iii) on income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

20 per cent.;

(iv) on income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 31st day of March, 1976 where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India 1

10 per cent.;

(v) on income by way of royalty [not being royalty of the nature referred to in sub-item (b)(iv)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in with that policy?

10 per cent.;

(A) where the agreement is made after the 31st day of March, 1961 but before the 1st day of April, 1976

(B) where the agreement is made after the 31st day of March, 1976

50 per cent.;

(vi) on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy?

10 per cent.;

(A) where the agreement is made after the 29th day of February, 1964 but before the 1st day of April, 1976

50 per cent.;

(B) where the agreement is made after the 31st day of March, 1976

10 per cent.;

(vii) on income by way of short-term capital gains referred to in section 111A

15 per cent.;

(viii) on income by way of long-term capital gains referred to in sub-clause (iii) of clause (c) of sub-section (1) of section 112

10 per cent.;

(ix) on income by way of long-term capital gains referred to in section 112A exceeding one lakh rupees

10 per cent.;

(x) on income by way of other long-term capital gains [not being long-term capital gains referred to in clauses (33) and

(36) of section 10]

20 per cent.;

(xi) on income by way of dividend

20 per cent

(xii) on any other income

40 per cent.

Explanation.- For the purposes of item 1(b)(i) of this Part, "investment income" and "non-resident Indian" shall have the meanings assigned to them in Chapter XII-A of the Income-tax Act.

Surcharge on income-tax

The amount of income-tax deducted in accordance with the provisions of--

(i)

item 1 of this Part, shall be increased by a surcharge, for the purposes of the Union,--

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, calculated,--

I. at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

II. at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed two crore rupees;

III. at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such incomes (excluding the income by way of dividend or income under the provisions of sections 111A and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds two crore rupees but does not exceed five crore rupees;

IV. at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such incomes (excluding the income by way of dividend or income under the provisions of sections 111A and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds five crore rupees; and

V. at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds two crore rupees, but is not covered under sub-clauses (III) and (IV):

Provided that in case where the total income includes any income by way of dividend or income chargeable under sections 111A and 112A of the Income-tax Act, the rate of surcharge on the amount of Income-tax deducted in respect of that part of income shall not exceed fifteen per cent.;

(b)

in the case of every co-operative society or firm, being a non-resident, calculated at the rate of twelve per cent., where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(ii)

Item 2 of this Part shall be increased by a surcharge, for the purposes of the Union, in the case of every company other than a domestic company, calculated,--

(a)

at the rate of two per cent. of such income-tax where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees; and

(b)

at the rate of five per cent. of such income-tax where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds ten crore rupees.

PART III-RATES FOR CHARGING INCOME-TAX IN CERTAIN CASES, DEDUCTING INCOME-TAX FROM INCOME CHARGEABLE UNDER THE HEAD "SALARIES" AND COMPUTING "ADVANCE TAX"

In cases in which income-tax has to be charged under sub-section (4) of section 172 of the Income-tax Act or sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the said Act or

deducted from, or paid on, from income chargeable under the head "Salaries" under section 192 of the said Act or deducted under section 194P of the said Act or in which the "advance tax" payable under Chapter XVII-C of the said Act has to be computed at the rate or rates in force, such income-tax or, as the case may be, "advance tax" [not being "advance tax" in respect of any income chargeable to tax under Chapter XII or Chapter XII-A or income chargeable to tax under section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the Income-tax Act at the rates as specified in that Chapter or section or surcharge, wherever applicable, on such "advance tax" in respect of any income chargeable to tax under section 115A or section 115AB or section 115AC or section 115ACA or section 115AD or section 115B or section 115BA or section 115BAA or section 115BAB or section 115BAD or section 115BB or section 115BBA or section 115BBC or section 115BBD or section 115BBE or section 115BBF or section 115BBG or section 115E or section 115JB or section 115JC] shall be charged, deducted or computed at the following rate or rates:-

Paragraph A

(i)

In the case of every individual other than the individual referred to in items (ii) and (iii) of this Paragraph or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not being a case to which any other Paragraph of this Part applies,-

Rates of income-tax

(1)

where the total income does not exceed Rs. 2,50,000

Nil;

(2)

where the total income exceeds Rs. 2,50,000 but does not exceed Rs. 5,00,000

5 per cent. of the amount by which the total income exceeds Rs. 2,50,000;

(3)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

Rs.12,500 plus 20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(4)

where the total income exceeds Rs. 10,00,000

Rs. 1,12,500 plus 30 per cent. of the amount by which the total income exceeds Rs.10,00,000.

(II)

In the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year,-

Rates of income-tax

(1)

(1) where the total income does not exceed Rs. 3,00,000

Nil;

(2)

where the total income exceeds Rs. 3,00,000 but does not exceed Rs. 5,00,000

5 per cent. of the amount by which the total income exceeds Rs. 3,00,000;

(3)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

Rs.10,000 plus 20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(4)

where the total income exceeds Rs. 10,00,000

Rs. 1,10,000 plus 30 per cent. of the amount by which the total income exceeds Rs.10,00,000.

(III)

In the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year,-

Rates of income-tax

(1)

where the total income does not exceed Rs. 5,00,000

Nil;

(2)

where the total income exceeds Rs. 5,00,000 but does not exceed Rs. 10,00,000

20 per cent. of the amount by which the total income exceeds Rs. 5,00,000;

(3)

where the total income exceeds Rs. 10,00,000

Rs. 1,00,000 plus 30 per cent. of the amount by which the total income exceeds Rs. 10,00,000.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A or the provision of section 115BAC of the Income-tax Act, shall be increased by a surcharge for the purposes of the Union, calculated, in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act,?

(a)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(b)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(c)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(d)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding five crore rupees at the rate of thirty-seven per cent. of such income-tax; and

(e)

having a total income (including the income by way of dividend or income under the provisions of section 111A and section 112A of the Income-tax Act) exceeding two crore rupees, but is not covered under clauses (c) and (d), shall be applicable at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income chargeable under section 111A and section 112A of the Income-tax Act, the rate of surcharge on the amount of income-tax computed in respect of that part of income shall not exceed fifteen per cent.:

Provided further that in the case of persons mentioned above having total income exceeding,?

(a)

fifty lakh rupees but not exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees but does not exceed five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(d)

five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees.

Paragraph B

In the case of every co-operative society,?

Rates of income-tax

(1)

where the total income does not exceed Rs.10,000

10 per cent. of the total income;

(2)

where the total income exceeds Rs.10,000 but does not exceed Rs. 20,000

Rs.1,000 plus 20 per cent. of the amount by which the total income exceeds Rs. 10,000;

(3)

where the total income exceeds Rs. 20,000

Rs. 3,000 plus 30 per cent. of the amount by which the total income exceeds Rs. 20,000

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every co-operative society, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every co-operative society mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph C

In the case of every firm,?

Rate of income-tax

On the whole of the total income

30 per cent.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every firm, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every firm mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph D

In the case of every local authority,?

Rate of income-tax

On the whole of the total income

30 per cent.

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every local authority, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every local authority mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph E

In the case of a company,-

Rates of income-tax

I. In the case of a domestic company,-

(i)

where its total turnover or the gross receipt in the previous year 2018-19 does not exceed four hundred crore rupees; 25 per cent. of the total income;

(ii)

other than that referred to in item (i)

30 per cent. of the total income.

II. In the case of a company other than a domestic company,-

(i)

on so much of the total income as consists of,?

50 per cent.;

(a) royalties received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 31st day of March, 1961 but before the 1st day of April, 1976; or

30 per cent. of the total income.

(b) fees for rendering technical services received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 29th day of February, 1964 but before the 1st day of April, 1976, and where such agreement has, in either case, been approved by the Central Government .

(ii)

on the balance, if any, of the total income

40 per cent..

Surcharge on income-tax

The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union, calculated,??

(i)

in the case of every domestic company,??

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent. of such income-tax;

(ii)

in the case of every company other than a domestic company,??

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of two per cent. of such income-tax; and (b) having a total income exceeding ten crore rupees, at the rate of five per cent. of such income-tax:

Provided that in the case of every company having a total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every company having a total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

Part IV

[See section 2(13)(c)]

RULES FOR COMPUTATION OF NET AGRICULTURAL INCOME

Rule 1. Agricultural income of the nature referred to in subclause (a) of clause (1A) of section 2 of the Income-tax Act shall be computed as if it were income chargeable to income-tax under that Act under the head ?Income from other

sources? and the provisions of sections 57 to 59 of that Act shall, so far as may be, apply accordingly:

Provided that sub-section (2) of section 58 shall apply subject to the modification that the reference to section 40A therein shall be construed as not including a reference to sub-sections (3), (3A) and (4) of section 40A.

Rule 2.?Agricultural income of the nature referred to in subclause (b) or sub-clause (c) of clause (1A) of section 2 of the Income-tax Act [other than income derived from any building required as a dwelling-house by the receiver of the rent or revenue of the cultivator or the receiver of rent-in-kind referred to in the said sub-clause (c)] shall be computed as if it were income chargeable to income-tax under that Act under the head ?Profits and gains of business or profession? and the provisions of sections 30, 31, 32, 36, 37, 38, 40, 40A [other than sub-sections (3), (3A) and (4) thereof], 41, 43, 43A, 43B and 43C of the Income-tax Act shall, so far as may be, apply accordingly.

Rule 3.?Agricultural income of the nature referred to in subclause (c) of clause (1A) of section 2 of the Income-tax Act, being income derived from any building required as a dwelling-house by the receiver of the rent or revenue or the cultivator or the receiver of rent-in-kind referred to in the said sub-clause (c) shall be computed as if it were income chargeable to income-tax under that Act under the head ?Income from house property? and the provisions of sections 23 to 27 of that Act shall, so far as may be, apply accordingly.

Rule 4.?Notwithstanding anything contained in any other provisions of these rules, in a case?

(a)

where the assessee derives income from sale of tea grown and manufactured by him in India, such income shall be computed in accordance with rule 8 of the Income-tax Rules, 1962, and sixty per cent. of such income shall be regarded as the agricultural income of the assessee;

(b)

where the assessee derives income from sale of centrifuged latex or cenex or latex based crepes (such as pale latex crepe) or brown crepes (such as estate brown crepe, re-milled crepe, smoked blanket crepe or flat bark crepe) or technically specified block rubbers manufactured or processed by him from rubber plants grown by him in India, such income shall be computed in accordance with rule 7A of the Income-tax Rules, 1962, and sixtyfive per cent. of such income shall be regarded as the agricultural income of the assessee;

(c)

where the assessee derives income from sale of coffee grown and manufactured by him in India, such income shall be computed in accordance with rule 7B of the Income-tax Rules, 1962, and sixty per cent. or seventy-five per cent., as the case may be, of such income shall be regarded as the agricultural income of the assessee.

Rule 5.?Where the assessee is a member of an association of persons or a body of individuals (other than a Hindu undivided family, a company or a firm) which in the previous year has either no income chargeable to tax under the Income-tax Act or has total income not exceeding the maximum amount not chargeable to tax in the case of an association of persons or a body of individuals (other than a Hindu undivided family, a company or a firm) but has any agricultural income then, the agricultural income or loss of the association or body shall be computed in accordance with these rules and the share of the assessee in the agricultural income or loss so computed shall be regarded as the agricultural income or loss of the assessee.

Rule 6.?Where the result of the computation for the previous year in respect of any source of agricultural income is a loss, such loss shall be set off against the income of the assessee, if any, for that previous year from any other source of agricultural income:

Provided that where the assessee is a member of an association of persons or a body of individuals and the share of the assessee in the agricultural income of the association or body, as the case may be, is a loss, such loss shall not be set off against any income of the assessee from any other source of agricultural income.

Rule 7.?Any sum payable by the assessee on account of any tax levied by the State Government on the agricultural income shall be deducted in computing the agricultural income.

Rule 8.?(1) Where the assessee has, in the previous year relevant to the assessment year commencing on the 1st day of April, 2021, any agricultural income and

the net result of the computation of the agricultural income of the assessee for any one or more of the previous years relevant to the assessment years commencing on the 1st day of April, 2013 or the 1st day of April, 2014 or the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019, or the 1st day of April, 2020, is a loss, then, for the purposes of sub-section (2) of section 2 of this Act,??

(i)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2013, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2014 or the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020,

(ii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2014, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020,

(iii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2015, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020,

(iv)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2016, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020,

(v)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2017, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020,

(vi)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2018, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2019 or the 1st day of April, 2020,

(vii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2019, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2020,

(viii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2020, shall be set off against the agricultural income of the assessee for the previous year relevant to the assessment year commencing on the 1st day of April, 2021.

(2)

Where the assessee has, in the previous year relevant to the assessment year commencing on the 1st day of April, 2022, or, if by virtue of any provision of the Income-tax Act, income-tax is to be charged in respect of the income of a period other than the previous year, in such other period, any agricultural income and the net result of the computation of the agricultural income of the assessee for any one or more of the previous years relevant to the assessment years commencing on the 1st day of April, 2014 or the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021, is a loss, then, for the purposes of sub-section (10) of section 2 of this Act,??

(i)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2014, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021,

(ii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2015, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the

assessment year commencing on the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021,

(iii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2016, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021,

(iv)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2017, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021,

(v)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2018, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021,

(vi)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2019, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the or the 1st day of April, 2020 or the 1st day of April, 2021,

(vii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2020, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2021,

(viii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2021, shall be set off against the agricultural income of the assessee for the previous year relevant to the assessment year commencing on the 1st day of April, 2022.

(3)

Where any person deriving any agricultural income from any source has been succeeded in such capacity by another person, otherwise than by inheritance, nothing in sub-rule (1) or sub-rule (2) shall entitle any person, other than the person incurring the loss, to have it set off under sub-rule (1) or, as the case may be, sub-rule (2).

(4)

Notwithstanding anything contained in this rule, no loss which has not been determined by the Assessing Officer under the provisions of these rules or the rules contained in the First Schedule to the Finance Act, 2013 (17 of 2013) or the First Schedule to the Finance (No. 2) Act, 2014 (25 of 2014) or the First Schedule to the Finance Act, 2015 (20 of 2015) or the First Schedule to the Finance Act, 2016 (28 of 2016) or the First Schedule to the Finance Act, 2017 (7 of 2017) or the First Schedule to the Finance act, 2018 (13 of 2018) or the First Schedule of the Finance (No. 2) Act, 2019 (23 of 2019) or the First Schedule of the Finance Act, 2020 (12 of 2020) shall be set off under sub-rule (1) or, as the case may be, sub-rule (2).

Rule 9.?Where the net result of the computation made in accordance with these rules is a loss, the loss so computed shall be ignored and the net agricultural income shall be deemed to be nil.

Rule 10.?The provisions of the Income-tax Act relating to procedure for assessment (including the provisions of section 288A relating to rounding off of income) shall, with the necessary modifications, apply in relation to the computation of the net agricultural income of the assessee as they apply in relation to the assessment of the total income.

Rule 11.?For the purposes of computing the net agricultural income of the assessee, the Assessing Officer shall have the same powers as he has under the Income-tax Act for the purposes of assessment of the total income.

THE SECOND SCHEDULE

[See section 95 (i)]

In the First Schedule to the Customs Tariff Act, -

(1)

- in Chapter 28, for the entry in column (4) occurring against tariff item 2803 00 10, the entry "7.5%" shall be substituted;
- (2)
- in Chapter 39, for the entry in column (4) occurring against all tariff items of heading 3925, the entry "15%" shall be substituted;
- (3)
- in Chapter 70, for the entry in column (4) occurring against all the tariff items of heading 7007, the entry "15%" shall be substituted;
- (4)
- in Chapter 71, for the entry in column (4) occurring against tariff item 7104 90 90, the entry "15%" shall be substituted;
- (5)
- in Chapter 84,--
- (i)
- for the entry in column (4) occurring against tariff item 8414 30 00, the entry "15%" shall be substituted;
- (ii)
- for the entry in column (4) occurring against all the tariff items of sub-heading 8414 40, the entry "15%" shall be substituted;
- (iii)
- for the entry in column (4) occurring against all the tariff items of sub-heading 8414 80, the entry "15%" shall be substituted;
- (6)
- in Chapter 85,--
- (i)
- for the entry in column (4) occurring against all the tariff items of sub-heading 8501 10, the entry "15%" shall be substituted;
- (ii)
- for the entry in column (4) occurring against tariff item 8501 20 00, the entry "15%" shall be substituted;
- (iii)
- for the entry in column (4) occurring against all the tariff items of sub-headings 8501 31, 8501 32, 8501 33, 8501 34, 8501 40, 8501 51, 8501 52 and 8501 53, the entry "15%" shall be substituted;
- (iv)
- for the entry in column (4) occurring against tariff item 8504 90 90, the entry "15%" shall be substituted;
- (v)
- for the entry in column (4) occurring against tariff items 8512 90 00, 8536 41 00 and 8536 49 00, the entry "15%" shall be substituted;
- (vi)
- for the entry in column (4) occurring against all the tariff items of heading 8537, the entry "15%" shall be substituted;
- (vii)
- for the entry in column (4) occurring against tariff item 8544 30 00, the entry "15%" shall be substituted;
- (7)
- in Chapter 90,--
- (i)
- for the entry in column (4) occurring against tariff item 9031 80 00, the entry "15%" shall be substituted;
- (ii)
- for the entry in column (4) occurring against all the tariff items of sub heading 9032 89, the entry "15%" shall be substituted;
- (8)
- in Chapter 91, for the entry in column (4) occurring against tariff item 91040000, the entry "15%" shall be substituted.

THE THIRD SCHEDULE

[See section 95 (ii)]

In the First Schedule to the Customs Tariff Act, in Chapter 27, for heading 2709, tariff items 2709 10 00 and 2709 20 00 and the entries relating thereto, the following shall be substituted with effect from the 1st day of April, 2021, namely:-

Tariff Item

Description of goods

Unit

Rate of duty

Standard

Preferential

(1)

(2)

(3)

(4)

(5)

"2709 PETROLEUM OILS AND OILS OBTAINED FROM BITUMINOUS MINERALS, CRUDE

270900 -- Petroleum oils and oils obtained from bituminous minerals, crude

27090010 --- Petroleum crude kg. 5%

27090090 --- Otherkg. kg. 5%

THE FOURTH SCHEDULE

[See section 95 (iii)]

Tariff Item

Description of goods

Unit

Rate of duty

Standard

Preferential

(1)

(2)

(3)

(4)

(5)

(1) in Chapter 2, in the Note-

(i) after clause (a), the following clause shall be inserted, namely :-

"(b) edible, non-living insects (heading 0410);";

(ii) the existing clauses (b) and (c) shall respectively be re-lettered as clauses (c) and (d);

(2) in Chapter 3, -

(i) after Note 2, the following Note shall be inserted, namely :-

"3. Headings 0305 to 0308 do not cover flours, meals and pellets, fit for human consumption (heading 0309).";

(ii) in heading 0302, for the entry in column (2), -

(a) occurring after tariff item 0302 29 00 and the entries relating thereto, the following entry shall be substituted, namely :-

- Tunas (of the genus Thunnus), skipjack tuna (stripe-bellied bonito) (Katsuwonus pelamis), excluding edible fish offal of sub-headings 030291 to 030299 .";

(b) occurring against tariff item 0302 33 00, the following entry shall be substituted, namely :-

Skipjack tuna (stripe-bellied bonito) (Katsuwonus pelamis)";

(c) occurring against tariff item 0302 55 00, the following entry shall be substituted, namely :-

"- - Alaska Pollock (Theragra chalcogramma)";

(iii) in heading 0303, for the entry in column (2), -

(a) occurring after tariff item 0303 39 00 and the entries relating thereto, the following entry shall be substituted, namely :-

"- - Tunas (of the genus Thunnus), skipjack tuna (stripe-bellied bonito) (Katsuwonus pelamis), excluding edible fish offal of sub-headings 0303 91 to 0303 99 .";

(b) occurring against tariff item 0303 43 00, the following entry shall be substituted, namely :-

"- - Skipjack tuna (stripe-bellied bonito) (Katsuwonus pelamis)";

(c) occurring against tariff item 0303 67 00, the following entry shall be substituted, namely :-

"- - Alaska Pollock (Theragra chalcogramma)";

(iv) in heading 0304, for the entry in column (2),-

(a) occurring against tariff item 0304 75 00, the following entry shall be substituted, namely :-

"- - Alaska Pollock (Theragra chalcogramma)";

(b) occurring against tariff item 0304 87 00, the following entry shall be substituted, namely :-

"- - Tunas (of the genus Thunnus), skipjack tuna (stripe-bellied bonito) (Katsuwonus pelamis)";

(c) occurring against tariff item 0304 94 00, the following entry shall be substituted, namely :-

"- - Alaska Pollock (Theragra chalcogramma)";

(d) occurring against tariff item 0304 95 00, the following entry shall be substituted, namely :-

"- - Fish of the families (Bregmacerotidae, Euclichthyidae, Gadidae, Macrouridae, Melanonidae, Merlucciidae, Moridae and Muraenolepididae,) other than Alaska Pollock (Theragra chalcogramma)";

(v) in heading 0305, -

(a) for the entry in column (2) occurring against the heading 0305, the following entry shall be substituted, namely :-

"FISH, DRIED, SALTED OR IN BRINE; SMOKED FISH, WHETHER OR NOT COOKED BEFORE OR DURING THE SMOKING PROCESS";

(b) tariff item 0305 10 00 and the entries relating thereto shall be omitted; (vi) in heading 0306, for the entry in column (2),-

(a) occurring against the heading 0306, the following entry shall be substituted, namely :-

"CRUSTACEANS, WHETHER IN SHELL OR NOT, LIVE, FRESH, CHILLED, FROZEN, DRIED, SALTED OR IN BRINE; SMOKED CRUSTACEANS, WHETHER IN SHELL OR NOT, WHETHER OR NOT COOKED BEFORE OR DURING THE SMOKING PROCESS; CRUSTACEANS, IN SHELL, COOKED BY STEAMING OR BY BOILING IN WATER, WHETHER OR NOT CHILLED, FROZEN, DRIED, SALTED OR IN BRINE";

(b) occurring against tariff item 0306 19 00, the following entry shall be substituted, namely :- " - Other"; (c) occurring against tariff item 0306 39 00, the following entry shall be substituted, namely :-

"- - Other";

(d) occurring against tariff item 0306 99 00, the following entry shall be substituted, namely :-

"- - Other"; (vii) in heading 0307, for the entry in column (2), -

(a) occurring against the heading 0307, the following entry shall be substituted, namely :-

"MOLLUSCS, WHETHER IN SHELL OR NOT, LIVE, FRESH, CHILLED, FROZEN, DRIED, SALTED OR IN BRINE; SMOKED MOLLUSCS, WHETHER IN SHELL OR NOT, WHETHER OR NOT COOKED BEFORE OR DURING THE SMOKING PROCESS";

(b) occurring after tariff item 0307 19 00 and the entries relating thereto, the following entry shall be substituted, namely :-

"- -

Scallops and other molluscs of the family Pectinidae :"; (c) occurring after tariff item 0307 88 00 and the entries relating thereto, the following entry shall be substituted, namely :-

"- - Other";

(viii) in the heading 0308, for the entry in column (2) occurring against the heading 0308, the following entry shall be substituted, namely :-

"AQUATIC INVERTEBRATES OTHER THAN CRUSTACEANS AND MOLLUSCS, LIVE, FRESH, CHILLED, FROZEN, DRIED, SALTED OR IN BRINE; SMOKED AQUATIC INVERTEBRATES OTHER THAN CRUSTACEANS AND MOLLUSCS, WHETHER OR NOT COOKED BEFORE OR DURING THE SMOKING PROCESS";

(ix) after tariff item 0308 90 00 and the entries relating thereto, the following shall be inserted, namely :-

?0309

FLOURS, MEALS AND PELLETS OF FISH, CRUSTACEANS, MOLLUSCS AND OTHER AQUATIC INVERTEBRATES, FIT FOR HUMAN CONSUMPTION

0309 10

- Of fish:

0309 10 10

- - - Fresh or chilled

kg.

30%

0309 10 20

- - - Frozen

kg.

30%

0309 10 30

- - - Salted, in brine, dried or smoked

kg.

30%

0309 10 90

- - - Other

kg.

30%

0309 90

- Other:- - - Of crustaceans, fresh or chilled:

0309 90 11

- - - - Vannamei shrimp (*Litopenaeus vannamei*)

kg.

30%

0309 90 12

- - - - Indian white shrimp (*Fenneropenaeus indicus*)

kg.

30%

0309 90 13

- - - - Black tiger shrimp (*Penaeus monodon*)

kg.

30%

0309 90 14

- - - - Flower shrimp (*Penaeus semisulcatus*)

kg.

30%

0309 90 19

- - - - Other:- - - Of crustaceans, frozen:

kg.

30%

0309 90 21

- - - - Vannamei shrimp (*Litopenaeus vannamei*)

kg.

30%

0309 90 22

- - - - Indian white shrimp (*Fenneropenaeus indicus*)

kg.

30%

0309 90 23

- - - - Black tiger shrimp (*Penaeus monodon*)

kg.

30%

0309 90 24

- - - - Flower shrimp (*Penaeus semisulcatus*)

kg.

30%

0309 90 29

- - - - Other- - - Of crustaceans, salted, in brine, dried or smoked:

kg.

30%

0309 90 31

- - - - Vannamei shrimp (*Litopenaeus vannamei*)

kg.

30%

0309 90 32

- - - - Indian white shrimp (*Fenneropenaeus indicus*)

kg.

30%

0309 90 33

- - - - Black tiger shrimp (*Penaeus monodon*)

kg.

30%

0309 90 34

- - - - Flower shrimp (*Penaeus semisulcatus*)

kg.

30%

0309 90 39

- - - - Other

kg.

30%

0309 90 40

- - - Of crustaceans, other

kg.

30%

0309 90 50

- - - Of molluscs, fresh or chilled

kg.

30%

0309 90 60

- - - Of molluscs, frozen

kg.

30%

0309 90 70

- - - Of molluscs, salted, in brine, dried or smoked

kg

30%

0309 90 80

- - - Of molluscs, other

kg

30%

0309 90 90

- - - Other

kg

30%

(3)

in Chapter 4, -

(i)

after Note 1, the following Note shall be inserted, namely :-

"2. For the purposes of heading 0403, yogurt may be concentrated or flavoured and may contain added sugar or other sweetening matter, fruit, nuts, cocoa, chocolate, spices, coffee or coffee extracts, plants, parts of plants, cereals or bakers' wares, provided that any added substance is not used for the purpose of replacing, in whole or in part, any milk constituent, and the product retains the essential character of yogurt.";

(ii)

the existing Notes 2 and 3 shall respectively be re-numbered as Notes 3 and 4;

(iii)

for existing Note 4, the following Notes shall be substituted, namely:--

"5. This Chapter does not cover:

(a)

non-living insects, unfit for human consumption (heading 0511);

(b)

products obtained from whey, containing by weight more than 95 % lactose, expressed as anhydrous lactose, calculated on the dry matter (heading 1702);

(c)

products obtained from milk by replacing one or more of its natural constituents (for example, butyric fats) by another substance (for example, oleic fats) (heading 1901 or 2106); or

(d)

Albumins (including concentrates of two or more whey proteins, containing by weight more than 80 % whey proteins, calculated on the dry matter) (heading 3502) or globulins (heading 3504).

6. For the purposes of heading 0410, the term "insects" means edible non-living insects, whole or in parts, fresh, chilled, frozen, dried, smoked, salted or in brine, as well as flours and meals of insects, fit for human consumption. However, it does not cover edible non-living insects otherwise prepared or preserved (generally Section IV).";

(iv)

in heading 0403, -

(v)

for heading 0410, sub-heading 0410 00, tariff items 0410 00 10 to 0410 00 90 and the entries relating thereto, the following shall be substituted, namely:--

heading 1

heading 2

cell 1

cell 2

cell 3

cell 4

(4)

in Chapter 7, -

(i)

after Note 4, the following Note shall be inserted, namely :-

"5. Heading 0711 applies to vegetables which have been treated solely to ensure their provisional preservation during transport or storage prior to use (for example, by sulphur dioxide gas, in brine, in sulphur water or in other preservative solutions), provided they remain unsuitable for immediate consumption in that state.";

(ii)

in heading 0704, for the entry in column (2) occurring against tariff item 0704 10 00, the following entry shall be substituted, namely :-

"- Cauliflowers and broccoli";

(iii)

in heading 0709, after tariff item 0709 51 00 and the entries relating thereto, the following shall be inserted, namely:--

"- Cauliflowers and broccoli";

(iii)

in heading 0709, after tariff item 0709 51 00 and the entries relating thereto, the following shall be inserted, namely:-

?0709 52 00

Mushrooms of the genus Boletus

kg.

30%

20%

0709 53 00

- - Mushrooms of the genus Cantharellus

kg.

30%

20%

0709 54 0

- - Shiitake (Lentinus edodes)

kg.

30%

20%

0709 55 00

- - Matsutake (Tricholoma matsutake, Tricholoma magnivelare, Tricholoma anatolicum, Tricholoma dulciolens, Tricholoma caligatum)

kg.

30%

20%

0709 56 00

- - Matsutake (Tricholoma matsutake, Tricholoma magnivelare, Tricholoma anatolicum, Tricholoma dulciolens, Tricholoma caligatum)

kg.

30%

20%

(iv)

in heading 0711, for the entry in column (2) occurring against the heading 0711, the following entry shall be substituted, namely:-

"VEGETABLES PROVISIONALLY PRESERVED, BUT UNSUITABLE IN THAT STATE FOR IMMEDIATE CONSUMPTION";

(v)

in heading 0712, after tariff item 0712 33 00 and the entries relating thereto, the following shall be inserted, namely:--

?0712 34 00

- - Shiitake (Lentinus edodes)

kg.

30%

(5)

in Chapter 8, -

(i)

after Note 3, the following Note shall be inserted, namely :-

"4. Heading 0812 applies to fruit and nuts which have been treated solely to ensure their provisional preservation during transport or storage prior to use (for example, by sulphur dioxide gas, in brine, in sulphur water or in other preservative solutions), provided they remain unsuitable for immediate consumption in that state.";

(ii)

in heading 0802, for tariff item 0802 90 00 and the entries relating thereto, the following shall be substituted, namely:-

0802 91 00

- - Pine nuts, in shell

kg.

100%

90%

0802 92 00

Pine nuts, shelled

kg.

100%

90%

0802 99 00

- - Other

kg.

100%

90%

(iii)

in heading 0805, for the entry in column (2) occurring against tariff item 0805 40 00, the following entry shall be substituted, namely:-

"- Grapefruit and pomelos";

(iv)

in heading 0812, for the entry in column (2) occurring against the heading 0812, the following entry shall be substituted, namely:-

"FRUIT AND NUTS PROVISIONALLY PRESERVED, BUT UNSUITABLE IN THAT STATE FOR IMMEDIATE CONSUMPTION";

(6)

in Chapter 10, in Note 1, for clause (B), the following clause shall be substituted, namely :-

"(B) This Chapter does not cover grains which have been hulled or otherwise worked. However, rice, husked, milled, polished, glazed, parboiled or broken remains classified in heading 1006. Similarly, quinoa from which the pericarp has been wholly or partly removed in order to separate the saponin, but which has not undergone any other processes, remains classified in heading 1008.";

(7)

in Chapter 12, in heading 1211, after tariff item 1211 50 00 and the entries relating thereto, the following shall be inserted, namely :-

?1211 60 00

Bark of African cherry (*Prunus africana*)

kg.

30%

(8)

in Section III, for the Section heading, the following Section heading shall be substituted, namely:-

"ANIMAL, VEGETABLE OR MICROBIAL FATS AND OILS AND THEIR CLEAVAGE PRODUCTS; PREPARED EDIBLE FATS; ANIMAL OR VEGETABLE WAXES";

(9)

in Chapter 15, -

(i)

for the Chapter heading, the following Chapter heading shall be substituted, namely:-

"Animal, vegetable or microbial fats and oils and their cleavage products; prepared edible fats; animal or vegetable waxes";

(ii)

for Sub-heading Note, the following Sub-heading Notes shall be substituted, namely:-

"Sub-heading Notes:

1. For the purposes of sub-heading 1509 30, virgin olive oil has a free acidity expressed as oleic acid not exceeding 2.0 g/ 100 g and can be distinguished from the other virgin olive oil categories according to the characteristics indicated in the Codex Alimentarius Standard 33-1981.

2. For the purposes of sub-headings 1514 11 and 1514 19, the expression "low erucic acid rape or colza oil" means the fixed oil which has an erucic acid content of less than 2% by weight.";

(iii)

in heading 1509, for the tariff item 1509 10 00 and the entries relating thereto, the following shall be substituted, namely:--

heading 1

heading 2

cell 1

cell 2

cell 3

cell 4

(iv)

for heading 1510, sub-heading 1510 00, tariff items 1510 00 10 to 1510 00 99 and the entries relating thereto, the following shall be substituted, namely:--

"1510 OTHER OILS AND THEIR FRACTIONS, OBTAINED SOLELY FROM OLIVES, WHETHER OR NOT REFINED, BUT NOT CHEMICALLY MODIFIED, INCLUDING BLENDS OF THESE OILS OR FRACTIONS WITH OILS OR FRACTIONS OF HEADING 1509

1510 10 00

- Crude olive pomace oil

kg

45%

1510 90

- Other:

kg

45%

1510 90 10

- - - Refined olive pomace oil

kg

45%

1510 90 90

- - - Other

kg

45%

(v)

in heading 1515,

(a)

in the entry in column (2) occurring against the heading 1515, for the words "VEGETABLE FATS" the words "VEGETABLE OR MICROBIAL FATS" shall be substituted;

(b)

after tariff item 1515 50 99 and the entries relating thereto, the following shall be inserted, namely:--

?1515 60 00

- Microbial fats and oils and their fractions

kg.

100%

90%

(vi)

in heading 1516,

(a)

in the entry in column (2) occurring against the heading 1516, for the words " OR VEGETABLE FATS" the words " , VEGETABLE OR MICROBIAL FATS" shall be substituted;

(b)

after tariff item 1516 20 99 and the entries relating thereto, the following shall be inserted, namely:--

?1516 30 00

- Microbial fats and oils and their fractions

kg.

30%

(vii)

in heading 1517, for the entry in column (2) occurring against the heading 1517, the following entry shall be substituted, namely:-

"MARGARINE; EDIBLE MIXTURES OR PREPARATIONS OF ANIMAL, VEGETABLE OR MICROBIAL FATS OR OILS OR OF FRACTIONS OF DIFFERENT FATS OR OILS OF THIS CHAPTER, OTHER THAN EDIBLE FATS AND OILS OR THEIR FRACTIONS OF HEADING 1516";

(viii)

in heading 1518, -

(a)

for the entry in column (2) occurring against the heading 1518, the following entry shall be substituted, namely:-

"ANIMAL, VEGETABLE OR MICROBIAL FATS AND OILS AND THEIR FRACTIONS, BOILED, OXIDISED, DEHYDRATED, SULPHURISED, BLOWN, POLYMERISED BY HEAT IN VACUUM OR IN INERT GAS OR OTHERWISE CHEMICALLY MODIFIED, EXCLUDING THOSE OF HEADING 1516; INEDIBLE MIXTURES OR PREPARATIONS OF ANIMAL, VEGETABLE OR MICROBIAL FATS OR OILS OR OF FRACTIONS OF DIFFERENT FATS OR OILS OF THIS CHAPTER, NOT ELSEWHERE SPECIFIED OR INCLUDED";

(b)

sub-heading 1518 00 and the entries relating thereto shall be omitted;

(10)

in Section IV, for the Section heading, the following Section heading shall be substituted, namely:-

"PREPARED FOODSTUFFS; BEVERAGES, SPIRITS AND VINEGAR; TOBACCO AND MANUFACTURED TOBACCO SUBSTITUTES; PRODUCTS, WHETHER OR NOT CONTAINING NICOTINE, INTENDED FOR INHALATION WITHOUT COMBUSTION; OTHER NICOTINE CONTAINING PRODUCTS INTENDED FOR THE INTAKE OF NICOTINE INTO THE HUMAN BODY";

(11)

in Chapter 16, -

(i)

for the Chapter heading, the following Chapter heading shall be substituted, namely:- "Preparations of meat, of fish, crustaceans, molluscs or other aquatic invertebrates, or of insects";

(ii)

for Note 1, the following Note shall be substituted, namely:-

"1. This Chapter does not cover meat, meat offal, fish, crustaceans, molluscs or other aquatic invertebrates, as well as insects, prepared or preserved by the processes specified in Chapter 2 or 3, Note 6 to Chapter 4 or in heading 0504.";

(iii)

in Note 2, for the words "blood, fish", the words "blood, insects, fish" shall be substituted;

(iv)

in Sub-heading Note 1, -

(a)

for the words "preparations of meat, meat offal or blood", the words "preparations of meat, meat offal, blood or insects" shall be substituted;

(b)

for the words "visible pieces of meat or meat offal", the words "visible pieces of meat or meat offal or insects" shall be substituted;

(v)

for the entry in column (2) occurring against tariff item 1601 00 00, the following entry shall be substituted, namely:-

"sausages and similar products, of meat, meat offal, blood or insects; food preparations based on these products";

(vi)

in heading 1602, for the entry in column (2) occurring against the heading 1602, the following entry shall be substituted, namely:-

"OTHER PREPARED OR PRESERVED MEAT, MEAT OFFAL, BLOOD OR INSECTS";

- (vii)
in heading 1604, for the entry in column (2) occurring against sub-heading 1604 14, the following entry shall be substituted, namely:-
"- - Tunas, skipjack tuna and bonito (Sarda spp.):";
- (12)
in Chapter 18, for Note 1, the following Note shall be substituted, namely:-
"1. This Chapter does not cover:
(a)
food preparations containing more than 20 % by weight of sausage, meat, meat offal, blood, insects, fish or crustaceans, molluscs or other aquatic invertebrates, or any combination thereof (Chapter 16);
(b)
preparations of headings 0403, 1901, 1902, 1904, 1905, 2105, 2202, 2208, 3003 or 3004.";
- (13)
in Chapter 19, in Note 1, in clause (a), for the words "blood, fish", the words "blood, insects, fish" shall be substituted;
- (14)
in Chapter 20, -
(i)
in Note 1, -
(A)
for clause (b), the following clauses shall be substituted, namely:-
"(b) vegetable fats and oils (Chapter 15);
(c)
food preparations containing more than 20 % by weight of sausage, meat, meat offal, blood, insects, fish or crustaceans, molluscs or other aquatic invertebrates, or any combination thereof (Chapter 16);";
(B)
the existing clauses (c) and (d) shall respectively be re-lettered as clauses (d) and (e);
(ii)
in heading 2008, for the entry in column (2) occurring against tariff item 2008 93 00, the following entry shall be substituted, namely:-
"- - Cranberries (Vaccinium macrocarpon, Vaccinium oxycoccos); lingonberries (Vaccinium vitis-idaea)";
- (iii)
in heading 2009, for the entry in column (2), -
(a)
occurring against the heading 2009, the following entry shall be substituted, namely:-
"FRUIT OR NUT JUICES (INCLUDING GRAPE MUST AND COCONUT WATER) AND VEGETABLE JUICES, UNFERMENTED AND NOT CONTAINING ADDED SPIRIT, WHETHER OR NOT CONTAINING ADDED SUGAR OR OTHER SWEETENING MATTER";
(b)
occurring after tariff item 2009 19 00 and the entries relating thereto, the following entry shall be substituted, namely:-
"- Grapefruit juice; pomelo juice :";
(c)
occurring after tariff item 2009 79 00 and the entries relating thereto, the following entry shall be substituted, namely:-
"- Juice of any other single fruit, nut or vegetable :";
(d)
occurring against tariff item 2009 81 00, the following entry shall be substituted, namely:-
"- - Cranberry (Vaccinium macrocarpon, Vaccinium oxycoccos) juice; lingonberry (Vaccinium vitis-idaea) juice";
- (15)
in Chapter 21, in Note 1, -
(A)
after clause (e), the following clause shall be inserted, namely:-
"(f) products of heading 2404;";

(B)

the existing clauses (f) and (g) shall respectively be re-lettered as clauses (g) and (h);

(16)

in Chapter 22, in heading 2202, in the entry in column (2) occurring against the heading 2202, for the words "INCLUDING FRUIT OR", the words "INCLUDING FRUIT, NUT OR" shall be substituted;

(17)

in Chapter 23, in heading 2306, in the entry in column (2) occurring against the heading 2306, for the words "VEGETABLE FATS", the words "VEGETABLE OR MICROBIAL FATS" shall be substituted;

(18)

in Chapter 24, -

(i)

for the Chapter heading, the following Chapter heading shall be substituted, namely:-

"Tobacco and manufactured tobacco substitutes; products, whether or not containing nicotine, intended for inhalation without combustion; other nicotine containing products intended for the intake of nicotine into the human body";

(ii)

for the Note, the following Notes shall be substituted, namely:-

"Notes:

1. This Chapter does not cover medicinal cigarettes (Chapter 30);

2. Any products classifiable in heading 2404 and any other heading of the Chapter are to be classified in heading 2404.

3. For the purposes of heading 2404, the expression "inhalation without combustion" means inhalation through heated delivery or other means, without combustion.";

(iii)

after tariff item 2403 99 90 and the entries relating thereto, the following shall be inserted, namely :-

"2404 PRODUCTS CONTAINING TOBACCO, RECONSTITUTED TOBACCO, NICOTINE, OR TOBACCO OR NICOTINE SUBSTITUTES, INTENDED FOR INHALATION WITHOUT COMBUSTION; OTHER NICOTINE CONTAINING PRODUCTS INTENDED FOR THE INTAKE OF NICOTINE INTO THE HUMAN BODY

- Products intended for inhalation without combustion:

2404 11 00

- - Containing tobacco or reconstituted tobacco

kg.

30%

2404 12 00

- Other:

kg.

30%

2404 19 00

- Other:

kg.

30%

2404 91 00

- - For oral application

2404 92 00

- - For transdermal application

kg.

30%

2404 99 00

- - Other

kg.

30%

(19)

in Chapter 25, -

(i)
in Note 2, after clause (d), the following clause shall be inserted, namely :-
"(e) dolomite ramming mix (heading 3816);";

(ii)
the existing clauses (e), (f), (g), (h) and (ij) shall respectively be re-lettered as clauses (f), (g), (h), (ij) and (k);

(iii)
in heading 2518, -

(a)
in the entry in column (2) occurring against the heading 2518, the words "DOLOMITE RAMMING MIX" shall be omitted;
(b)
tariff item 2518 30 00 and the entries relating thereto shall be omitted;

(20)
in Chapter 27, in Sub-heading Note 5, for the words "animal or vegetable fats", the words "animal, vegetable or microbial fats" shall be substituted;

(21)
in Section VI, after Note 3, the following Note shall be inserted, namely:-

"4. Where a product answers to a description in one or more of the headings in Section VI by virtue of being described by name or function and also to heading 3827, then it is classifiable in a heading that references the product by name or function and not under heading 3827.";

(22)
in Chapter 28, -

(i)
in heading 2844, for the tariff item 2844 40 00 and the entries relating thereto, the following shall be substituted, namely:--

"- Radioactive elements and isotopes and compounds other than those of subheading 2844 10, 2844 20 or 2844 30; alloys, dispersions (including cermets), ceramic products and mixtures containing these elements, isotopes or compounds; radioactive residues:

2844 41 00

- Tritium and its compounds; alloys, dispersions (including cermets), ceramic products and mixtures containing tritium or its compounds

kg.

10%

2844 42 00

Actinium-225, actinium-227, kg. 10% californium-253, curium-240, curium-241, curium-242, curium-243, curium-244, einsteinium-253, einsteinium-254, gadolinium-148, polonium-208, polonium-209, polonium-210, radium-223, uranium-230 or uranium-232, and their compounds; alloys, dispersions (including cermets), ceramic products and mixtures containing these elements or compounds

kg.

10%

2844 43 00

- Other radioactive elements and isotopes and compounds; other alloys, dispersions (including cermets), ceramic products and mixtures containing these elements, isotopes or compounds

kg.

10%

2844 44 00

- Radioactive residues

kg.

10%

(ii)

in heading 2845, after tariff item 2845 10 00 and the entries relating thereto, the following shall be inserted, namely:--

?2845 20 00

- Boron enriched in boron-10 and its compounds

kg.

10%

2845 30 00

- Lithium enriched in lithium-6 and its compounds

kg.

10%

2845 40 00

Helium-3

kg.

10%

(23)

in Chapter 29, -

(i)

in Note 1, in clause (g), after the words "odoriferous substance", the words "or an emetic" shall be inserted;

(ii)

in Note 4, for the portion beginning with the words "For the purposes" and ending with the words and figures "heading 2905 to 2920", the following shall be substituted, namely :-

'For the purposes of headings 2911, 2912, 2914, 2918 and 2922, "oxygen function", the characteristic organic oxygen-containing group of those respective headings, is restricted to the oxygen-functions referred to in headings 2905 to 2920.';

(iii)

in heading 2903, for tariff items 2903 29 00 to 2903 31 00, sub-heading 2903 39, tariff items 29033911 to 29037630, the following shall be substituted, namely :-

?2903 29 00

- - Other

kg.

10%

- Saturated fluorinated derivatives of acyclic hydrocarbons :

2903 41 00

- - Trifluoromethane (HFC-23)

kg.

10%

2903 42 00

- - Difluoromethane (HFC-32)

kg.

10%

2903 43 00

Fluoromethane (HFC-41), 1,2-difluoroethane (HFC-152) and 1,1-difluoroethane (HFC-152a)

kg.

10%

2903 44 00

- - Pentafluoroethane (HFC-125), 1,1,1-trifluoroethane (HFC-143a) and 1,1,2-trifluoroethane (HFC-143)

kg.

10%

2903 45 00

1,1,1,2-Tetrafluoroethane (HFC134a) and 1,1,2,2-tetrafluoroethane (HFC-134)

kg.

10%

2903 46 00

- - 1,1,1,2,3,3,3-Heptafluoropropane (HFC-227ea), 1,1,1,2,2,3hexafluoropropane (HFC-236cb), 1,1,1,2,3,3-hexafluoropropane (HFC236ea) and 1,1,1,3,3,3hexafluoropropane (HFC-236fa)
kg.
10%
2903 47 00
- - 1,1,1,3,3-Pentafluoropropane (HFC245fa) and 1,1,2,2,3pentafluoropropane (HFC-245ca)
kg.
10%
2903 48 00
- - 1,1,1,3,3-Pentafluorobutane (HFC-365mfc) and 1,1,1,2,2,3,4,5,5,5decafluoropentane (HFC-43-10mee)
kg.
10%
2903 49 00
- - Other - Unsaturated fluorinated derivatives of acyclic hydrocarbons :
kg.
10%
2903 51
- - 2,3,3,3-Tetrafluoropropene (HFO-1234yf), 1,3,3,3-tetrafluoropropene (HFO-1234ze) and (Z)-1,1,1,4,4,4hexafluoro-2-butene (HFO-1336mzz)
kg.
10%
2903 59
- - Other :
kg.
10%
2903 59 10
- - - 1,1,3,3,3-pentafluoro-2(trifluoromethyl)prop-1-ene [Perfluoroisobutene (PFIB)]
kg.
10%
2903 59 90
- - - Other - Brominated or iodinated derivatives of acyclic hydrocarbons:
kg.
10%
2903 61 00
- - Methyl bromide (bromomethane)
kg.
10%
2903 61 00
- - Ethylene dibromide (ISO) (1,2dibromoethane)
kg.
10%
2903 69 00
- - Other Halogenated derivatives of acyclic hydrocarbons containing two or more different halogen:
kg.
10%
2903 71 00
- - Chlorodifluoromethane (HCFC-22)
kg.
10%
2903 72 00
- - Dichlorotrifluoroethanes (HCFC-123)

kg.
10%
2903 73 00
- - Dichlorofluoroethanes (HCFC-141,141b)
kg.
10%
2903 75 00
Dichloropentafluoropropanes (HCFC225, 225ca,225cb)
kg.
10%
2903 76
- - Bromochlorodifluoromethane (Halon-1211), bromotrifluoromethane (Halon-1301) and dibromotetrafluoroethanes (Halon2402):
kg.
10%
2903 76 10
- - - Bromochlorodifluoromethane (Halon-1211)
kg.
10%
2903 76 20
- - - Bromotrifluoromethane (Halon1301)
kg.
10%
2903 76 30
- - - Dibromotetrafluoroethanes (Halon2402)
kg.
10%
(iv)
in heading 2909, in the entry in column (2) occurring against the heading 2909, for the words "ETHER PEROXIDES", the words "ETHER PEROXIDES, ACETAL AND HEMIACETAL PEROXIDES" shall be substituted;
(v)
in heading 2930, -
(a)
after the entry in column (2) occurring against the heading 2930, the following shall be inserted, namely :-
?2930 10 00
,N-Dimethylamino) ethanethiol
kg.
10%
(b)
tariff item 2930 90 92 and the entries relating thereto shall be omitted;
(c)
tariff item 2930 90 94 and the entries relating thereto shall be omitted;
(vi)
for heading 2931, sub-heading 2931 10, tariff items 2931 10 10 to 2931 39 00, sub-heading 2931 90, tariff items 2931 90 10 and 2931 90 90 and the entries relating thereto, the following shall be substituted, namely:--
2931 10
- Tetramethyl lead and tetraethyl lead:
2931 10 10
- Tributyltin compounds- Non-halogenated organo-phosphorous derivatives:
kg
10%

2931 10 90

Dimethyl methylphosphonate

kg

10%

2931 20 00

Dimethyl propylphosphonate

kg

10%

2931 43 00

- Diethyl ethylphosphonate

kg

10%

2931 44 00

- - Methylphosphonic acid

kg

10%

2931 45 00

- - Salt of methylphosphonic acid and(aminoiminomethyl)urea (1 : 1)

kg

10%

2931 46 00

- - 2,4,6-Tripropyl-1,3,5,2,4,6-trioxatriphosphinane 2,4,6-trioxide

kg

10%

2931 47 00

- - (5-Ethyl-2-methyl-2-oxido-1,3,2-dioxaphosphinan-5-yl) methyl methylmethylphosphonate

kg

10%

2931 48 00

3,9-Dimethyl-2,4,8,10-tetraoxa-3,9diphosphaspiro[5.5] undecane 3,9dioxide

kg

10%

2931 49

Other:

kg

10%

2931 49 10

- - - Sodium 3-(trihydroxysilyl)propyl methylphosphonate

kg

10%

2931 49 20

Bis[(5-ethyl-2-methyl-2-oxido-1,3,2-dioxaphosphinan-5-yl)methyl] methylphosphonate

kg

10%

2931 49 20

- - - Other - Halogenated organo-phosphorous derivatives:

kg

10%

2931 51 00

Methylphosphonic dichloride

kg

2931 52 00

- - Propylphosphonic dichloride

kg.

10%

2931 53 00

- - O-(3-chloropropyl) O-[4-nitro-3-(trifluoromethyl)phenyl] methylphosphonothionate

kg.

10%

2931 54 00

- - Trichlorfon (ISO)

kg.

10%

2931 59 00

- - Other

kg.

10%

2931 90

- Other:- - - Organo-arsenic compounds:

2931 90 11

- - - - Methylarsonic acid and its salt

kg.

10%

2931 90 12

- - - - Cacodylic acid and its salt

kg.

10%

2931 90 13

- - - - p-Aminophenylarsonic acid and its salt

kg.

10%

2931 90 14

- - - - Amino-hydroxyphenylarsonic acids, their formyl and acetyl derivatives and their salts

kg.

10%

2931 90 15

- - - - Arsenobenzene and its derivatives

kg.

10%

2931 90 19

- - - - Other

kg.

10%

2931 90 20

- - - Organo-silicon compounds

kg.

10%

2931 90 30

- - - o-Iodosobenzoic acid

kg.

10%

2931 90 90

- - - Other

kg.

10%

(vii)

in heading 2932, after tariff item 2932 95 00 and the entries relating thereto, the following shall be inserted, namely :-

- - Carbofuran (ISO)

- - Carbofuran (ISO)

kg.

10%

(viii)

in heading 2933, -

(a)

for tariff item 2933 33 00 and the entries relating thereto, the following shall be inserted, namely :-

?2933 33

- - Alfentanil (INN), anileridine (INN), bezitramide (INN), bromazepam (INN), carfentanil (INN), difenoxin (INN), diphenoxylate (INN), dipipanone (INN), fentanyl (INN), ketobemidone (INN), methylphenidate (INN), pentazocine (INN), pethidine (INN), pethidine (INN) intermediate A, phencyclidine (INN) (PCP), phenoperidine (INN), pipradrol (INN), piritramide (INN), propiram (INN), remifentanil (INN) and trimeperidine (INN); salts thereof: - - Alfentanil (INN), anileridine (INN), bezitramide (INN), bromazepam (INN), carfentanil (INN), difenoxin (INN), diphenoxylate (INN), dipipanone (INN); salts thereof: - - Alfentanil (INN) and its salt kg.

kg.

10%

2933 33 11

- - - - Alfentanil (INN) and its salt

kg.

10%

2933 33 12

- - - - Anileridine (INN) and its salt

kg.

10%

2933 33 13

- - - - Bezitramide (INN) and its salt

kg.

10%

2933 33 14

- - - - Bromazepam (INN) and its salt

kg.

10%

2933 33 15 -

- - - - Carfentanil (INN) and its salt

kg.

10%

2933 33 16

- - - - Difenoxin (INN) and its salt

kg.

10%

2933 33 17

- - - - Diphenoxylate (INN) and its salt

kg.

10%

2933 33 18

- - - - Dipipanone (INN) and its salt

kg.

10%

- - - Fentanyl (INN), ketobemidone (INN), methylphenidate (INN), pentazocine (INN), pethidine (INN), pethidine (INN) intermediate A, phencyclidine (INN) (PCP), phenoperidine (INN); salts thereof

kg.

10%

2933 33 11

- - - - Alfentanil (INN) and its salt

kg.

10%

2933 33 12

- - - - Anileridine (INN) and its salt

kg.

10%

2933 33 13

- - - - Bezitramide (INN) and its salt

kg.

10%

2933 33 14

- - - - Bromazepam (INN) and its salt

kg.

10%

2933 33 15

- - - - Carfentanil (INN) and its salt

kg.

10%

2933 33 16

- - - - Difenoxin (INN) and its salt

kg.

10%

2933 33 17

- - - - Diphenoxylate (INN) and its salt

kg.

10%

2933 33 18

- - - - Dipipanone (INN) and its salt

kg.

10%

- - - Fentanyl (INN), ketobemidone (INN), methylphenidate (INN), pentazocine (INN), pethidine (INN), pethidine (INN) intermediate A, phencyclidine (INN) (PCP), phenoperidine (INN); salts thereof

kg.

10%

2933 33 21

- - - - Fentanyl (INN) and its salt

kg.

10%

2933 33 22

- - - - Ketobemidone (INN) and its salt

kg.

10%

2933 33 23

- - - - Methylphenidate (INN) and its salt

kg.

10%

2933 33 24

- - - - Pentazocine (INN) and its salt

kg.

10%

2933 33 25

- - - - Pethidine (INN) and its salt

kg.

10%

2933 33 26

- - - - Pethidine (INN) intermediate A and its salt

kg.

10%

2933 33 27

Phencyclidine (INN) (PCP) and its salt

kg.

10%

2933 33 28

- - - - Phenoperidine (INN) and its salt

kg.

10%

kg.

10%

2933 33 31

- - - Pipradrol (INN), piritramide (INN), propiram (INN), remifentanil (INN) and trimeperidine (INN); salts thereof:

kg.

10%

2933 33 32

- - - - Pipradrol (INN) and its salt

kg.

10%

2933 33 33

- - - - Piritramide (INN) and its salt

kg.

10%

2933 33 34

- - - - Remifentanil (INN) and its salt

kg.

10%

2933 33 35

- - - - Trimeperidine (INN) and its salt

kg.

10%

2933 34 00

- - Other fentanyl and their derivatives

kg.

10%

2933 35 00

- - 3-Quinuclidinol

kg.

10%

2933 36 00

- - 4-Anilino-N-phenethylpiperidine (ANPP)

kg.

10%

2933 37 00

- - N-Phenethyl-4-piperidone (NPP)

kg.

10%

(b)

tariff items 2933 39 20 and 2933 39 30 and the entries relating thereto shall be omitted;

(ix)

in heading 2934, after tariff item 2934 91 00 and the entries relating thereto, the following shall be inserted, namely :-

?2934 92 00

- - Other fentanyl and their derivatives

kg.

10%

(x)

in heading 2936, for the entry in column (2) occurring against tariff item 2936 24 00, the following entry shall be substituted, namely :-

"- - D- or DL-Pantothenic acid (Vitamin B5) and its derivatives";

(xi)

in heading 2939, -

(a)

for sub-headings and tariff items from 2939 30 00 to 2939 49 00 and the entries relating thereto, the following shall be substituted, namely :-

2939 41 00

- - Ephedrine and its salts

kg.

10%

10%

2939 42 00

- - Pseudoephedrine (INN) and its salts

kg.

10%

10%

2939 43 00

- - Cathine (INN) and its salts

kg.

10%

10%

2939 44 00

- - Norephedrine and its salts

kg.

10%

-

2939 45 00

- - Levometamfetamine, metamfetamine (INN), metamfetamine racemate and their salts

kg.

10%

10%

2939 49 00

Other

kg.

10%

10%

(b)

for tariff items 2939 69 00 and 2939 71 00, sub-heading 2939 79, tariff items 2939 79 10 and 2939 79 90 and the entries relating thereto, the following shall be substituted, namely :-

?2939 69 00 10%

- - Other - Other, of vegetal origin:

kg.

10%

2939 72 00

- - Cocaine, ecgonine; salts, esters and other derivatives thereof

kg.

10%

2939 79 00

- - Other

10%

(24)

in Chapter 30, ?

(i)

in Note 1, ?

(A)

for the clause (b), the following clause shall be substituted, namely :?

?(b) products, such as tablets, chewing gum or patches (transdermal systems), containing nicotine and intended to assist tobacco use cessation (heading 2404);?

(B)

in clause (g), the word ?or? shall be omitted;

(C)

in clause (h), for the brackets, word and figures ?(heading 3502).?, the brackets, words and figures?(heading 3502); or? shall be substituted;

?3002 13 00

- - Immunological products, unmixed, not put up in measured doses or in forms or packings for retail sale

kg.

10%

10%

3002 14 00

- - Immunological products, mixed, not put up in measured doses or in forms or packings for retail sale

kg.

10%

10%

3002 15 00

- - Immunological products, put up in measured doses or in forms or packings for retail sale

kg.

10%

10%

- Vaccines, toxins, cultures of microorganisms (excluding yeasts) and similar products:

3002 41

-- Vaccines for human medicine:-- -- Single vaccines for:

3002 41 11

---- Cholera and typhoid

kg.

10%

3002 41 12

---- Hepatitis

kg.

10%

10%

3002 41 13

---- Tetanus

kg.

10%

10%

3002 41 14

---- Polio

kg.

10%

10%

3002 41 15

---- Tuberculosis

kg.

10%

10%

3002 41 16

---- Rabies

kg.

10%

10%

3002 41 17

---- Japanese encephalitis

kg.

10%

10%

3002 41 18

---- Whooping cough (pertussis)

kg.

10%

10%

3002 41 19

- - - - Other- - - Mixed vaccines for:

kg.

10%

10%

3002 41 21

---- Diphtheria, pertussis and tetanus (DPT)

kg.

10%

10%

3002 41 22

- - - - Diphtheria and tetanus (DT)
 kg.
 10%
 10%
 3002 41 23
 - - - - Measles, mumps and rubella (MMR)
 kg.
 10%
 10%
 3002 41 24
 - - - - Typhoid-paratyphoid (TAB)
 kg.
 10%
 10%
 3002 41 25
 - - - - Typhoid- paratyphoid-cholera (TABC)
 kg.
 10%
 10%
 3002 41 29
 - - - - Other
 kg.
 10%
 10%
 3002 42 00
 - - Vaccines for veterinary medicine
 kg.
 10%
 10%
 3002 49
 - - Other
 3002 49 10
 - - - Cultures of micro-organisms (excluding yeast)
 kg.
 10%
 10%
 3002 49 20
 - - - Toxins
 kg.
 10%
 10%
 3002 49 90
 - - - Other- Cell cultures, whether or not modified :
 kg.
 10%
 10%
 3002 51 00
 - - Cell therapy products
 kg.
 10%
 10%

3002 59 00

- - Other

kg.

10%

10%

3002 90

- Other:

3002 90 10

- - - Human blood

kg.

10%

10%

3002 90 20

- - - Animal blood prepared for therapeutic, prophylactic or diagnostic uses

kg.

10%

10%

3002 90 90

- - - Other

kg.

10%

10%?

(iv)

in heading 3006, ?

(a)

tariff item 3006 20 00 and the entries relating thereto shall be omitted;

(b)

after tariff item 3006 92 00 and the entries relating thereto, the following shall be

"3006 93 00

- - Placebos and blinded (or double-blinded) clinical trial kits for a recognised clinical trial, put up in measured doses?

kg.

10%

(25)

in Chapter 32, in heading 3204, after tariff item 3204 17 90 and the entries relating thereto, the following shall be inserted, namely: ?

"3006 93 00

- - Placebos and blinded (or double-blinded) clinical trial kits for a recognised clinical trial, put up in measured doses?

kg.

10%

(26)

in Chapter 34,

(i)

in Note 1, for clause (a), the following clause shall be substituted, namely: -

"(a) edible mixtures or preparations of animal, vegetable or microbial fats or oils of a kind used as mould release preparations (heading 1517);";

(ii)

in heading 3402, for the entry in column (2) occurring after heading 3402 and the entry relating thereto, sub-heading 3402 11, tariff items 34021110 to 34021900, subheading 3402 20, tariff items 3402 20 10 to 3402 20 90 and the entries relating thereto, the following shall be substituted, namely :-

"- Anionic organic surface active agents, whether or not put up for retail sale :

3402 31 00

- - Linear alkylbenzene sulphonic acids and their salts

kg.

10%

10%

3402 39 00

- - Other

kg.

10%

10%

- Other organic surface active agents, whether or not put up for retail sale:

3402 41 00

- - Cationic

kg.

10%

3402 42 00

- - Non-ionic

kg.

10%

10%

3402 49 00

- - Other

kg.

10%

10%

3402 50 00

- Preparations put up for retail sale

kg.

10%

-?;

(27)

in Chapter 36, for heading 3603, sub-heading 3603 00, tariff items 3603 00 11 to 3603 00 59 and the entries relating thereto, the following shall be substituted, namely :-

"3603S AFETY FUSES; DETONATING CORDS; PERCUSSION OR DETONATING CAPS; IGNITERS; ELECTRIC DETONATORS

3603 10 00

- Safety fuses

kg.

10%

3603 20 00

- Detonating cords

kg.

10%

3603 30 00

- Percussion caps

kg.

10%

3603 40 00

- Detonating caps

kg.

10%

3603 50 00

- Igniters

kg.

10%

3603 60 00

- Electric detonators

kg.

10%

(28)

in Chapter 37, in Note 2, for the words "photosensitive surfaces", the words "photosensitive, including thermosensitive, surfaces" shall be substituted;

(29)

in Chapter 38, -

(i)

in Note 1, -

(A)

after clause (b), the following clause shall be inserted, namely :-

"(c) products of heading 2404;"

(B)

the existing clauses (c), (d) and (e) shall respectively be re-lettered as clauses (d), (e), and (f);

(ii)

in Note 4, for clause (a), the following clause shall be substituted, namely :-

"(a) individual materials or articles segregated from the waste, for example wastes of plastics, rubber, wood, paper, textiles, glass or metals, electrical and electronic waste and scrap (including spent batteries) which fall in their appropriate headings of the Nomenclature;"

(iii)

in Note 7, for the words "vegetable fats", the words "vegetable or microbial fats" shall be substituted;

(iv)

for Sub-heading Note 1, the following Sub-heading Note shall be substituted, namely:-

"1. Sub-headings 3808 52 and 3808 59 cover only goods of heading 3808, containing one or more of the following substances : alachlor (ISO); aldicarb (ISO); aldrin (ISO); azinphos-methyl (ISO); binapacryl (ISO); camphechlor (ISO) (toxaphene); captafol (ISO); carbofuran (ISO); chlordane (ISO); chlordimeform (ISO); chlorobenzilate (ISO); DDT (ISO) (clofenotane (INN), 1,1,1-trichloro-2,2-bis(p-chlorophenyl)ethane); dieldrin (ISO, INN); 4,6-dinitro-o-cresol (DNOC (ISO)) or its salts; dinoseb (ISO), its salts or its esters; endosulfan (ISO); ethylene dibromide (ISO) (1,2-dibromoethane); ethylene dichloride (ISO) (1,2-dichloroethane); fluoroacetamide (ISO); heptachlor (ISO); hexachlorobenzene (ISO); 1,2,3,4,5,6-hexachlorocyclohexane (HCH (ISO)), including lindane (ISO, INN); mercury compounds; methamidophos (ISO); monocrotophos (ISO); oxirane (ethylene oxide); parathion (ISO); parathion-methyl (ISO) (methyl-parathion); pentachlorophenol (ISO), its salts or its esters; perfluorooctane sulphonic acid and its salts; perfluorooctane sulphonamides; perfluorooctane sulphonyl fluoride; phosphamidon (ISO); 2,4,5-T (ISO) (2,4,5-trichlorophenoxyacetic acid), its salts or its esters; tributyltin compounds; trichlorfon (ISO).";

(v)

for Sub-heading Note 3, the following Sub-heading Note shall be substituted, namely:-

"3. Sub-headings 3824 81 to 3824 89 cover only mixtures and preparations containing one or more of the following substances : oxirane (ethylene oxide); polybrominated biphenyls (PBBs); polychlorinated biphenyls (PCBs); polychlorinated terphenyls (PCTs); tris(2,3-dibromopropyl) phosphate; aldrin (ISO); camphechlor (ISO) (toxaphene); chlordane (ISO); chlordecone (ISO); DDT (ISO) (clofenotane (INN); 1,1,1-trichloro-2,2-bis(p-chlorophenyl)ethane); dieldrin (ISO, INN); endosulfan (ISO); endrin (ISO); heptachlor (ISO); mirex (ISO); 1,2,3,4,5,6-hexachlorocyclohexane (HCH (ISO)), including lindane (ISO, INN); pentachlorobenzene (ISO); hexachlorobenzene (ISO); perfluorooctane sulphonic acid, its salts; perfluorooctane sulphonamides; perfluorooctane sulphonyl fluoride; tetra-, penta-, hexa-, hepta- or octabromodiphenyl ethers; short-chain chlorinated paraffins.

Short-chain chlorinated paraffins are mixtures of compounds, with a chlorination degree of more than 48 % by weight, with the following molecular formula : $C_xH_{(2x-y+2)}Cl_y$, where $x=10-13$ and $y=1-13$."

(vi)

for the entry in column (2) occurring against tariff item 3816 00 00, the following entry shall be substituted, namely :-
"refractory cements, mortars, concretes and similar compositions, including dolomite ramming mix, other than products of heading 3801";

(vii)

for heading 3822, sub-heading 3822 00, tariff items 3822 00 11 to 3822 00 90 and the entries relating thereto, the following shall be substituted,

namely :-

"3822 DIAGNOSTIC OR LABORATORY REAGENTS ON A BACKING, PREPARED DIAGNOSTIC OR LABORATORY REAGENTS WHETHER OR NOT ON A BACKING, WHETHER OR NOT PUT UP IN THE FORM OF KITS, OTHER THAN THOSE OF HEADING 3006; CERTIFIED REFERENCE MATERIALS - Diagnostic or laboratory reagents on a backing, prepared diagnostic or 195 laboratory reagents whether or not on a backing, whether or not put up in the form of kits:

3822 11 00

- - For malaria

kg.

10%

3822 12 00

- - For Zika and other diseases transmitted by mosquitoes of the genus Aedes

kg.

10%

3822 13 00

- - For blood-grouping

kg.

10%

3822 19

- - Other:

3822 19 10

- - - Pregnancy test kit

kg.

10%

3822 19 90

- - - Other

kg.

10%

3822 90

- Other:

3822 90 10

- - - Certified reference materials

kg.

30%

3822 90 90

- - - Other

kg.

30%

(viii)

in heading 3824, -

(a)

for tariff items 3824 60 90 to 3824 79 00 and the entries relating thereto, the following shall be substituted, namely :-

3824 60 90

- - - Other

kg.
30%

(b)
in the entry in column (2) occurring against tariff item 3824 88 00, for the words "hexa, hepta -", the words "hexa-, hepta-" shall be substituted;

(c)
after tariff item 3824 88 00 and the entries relating thereto, the following shall be inserted, namely :-
3824 60 90
- - - Other

kg.
30%

(d)
after tariff item 3824 91 00 and the entries relating thereto, the following shall be inserted, namely :-
?3824 89 00
- Containing short-chain chlorinated paraffins

kg
10%

(ix)
after tariff item 3826 00 00 and the entries relating thereto, the following shall be inserted, namely :-
?3827 MIXTURES CONTAINING HALOGENATED DERIVATIVES OF METHANE, ETHANE OR PROPANE, NOT ELSEWHERE SPECIFIED OR INCLUDED - Containing chlorofluorocarbons (CFCs), whether or not containing hydrochlorofluorocarbons (HCFCs), perfluorocarbons (PFCs) or hydrofluorocarbons (HFCs); containing hydrobromofluorocarbons (HBFCs); containing carbon tetrachloride; containing 1,1,1trichloroethane (methyl chloroform):
3827 11 00
- - Containing chlorofluorocarbons (CFCs), whether or not containing hydrochlorofluorocarbons (HCFCs), perfluorocarbons (PFCs) or hydrofluorocarbons (HFCs)

kg.
10%

3827 12 00
- - Containing hydrobromofluorocarbons (HBFCs)

kg.
10%

3827 13 00
- - Containing carbon tetrachloride

kg.
10%

3827 14 00
- - Containing 1,1,1-trichloroethane (methyl chloroform)

kg.
10%

3827 20 00
- Containing bromochlorodifluoromethane (Halon1211), bromotrifluoromethane (Halon1301) or dibromotetrafluoroethanes (Halon-2402) - Containing hydrochlorofluorocarbons (HCFCs), whether or not containing perfluorocarbons (PFCs) or hydrofluorocarbons (HFCs), but not containing chlorofluorocarbons (CFCs):

kg.
10%

3827 31 00
- - Containing substances of subheadings

kg.
10%

3827 32 00

- - Other, containing substances of subheadings 2903.71 to 2903.75

kg.

10%

3827 39 00

- - Other

kg.

10%

3827 40 00

- Containing methyl bromide (bromomethane) or bromochloromethane - Containing trifluoromethane (HFC-23) or perfluorocarbons (PFCs) but not containing chlorofluorocarbons (CFCs) or hydrochlorofluorocarbons (HCFCs):

kg.

10%

3827 51 00

- - Containing trifluoromethane (HFC-23)

kg.

10%

3827 59 00

- - Other - Containing other hydrofluorocarbons (HFCs) but not containing chlorofluorocarbons (CFCs) or hydrochlorofluorocarbons (HCFCs) :

kg.

10%

3827 61 00

- - Containing 15 % or more by mass of 1,1,1-trifluoroethane (HFC-143a)

kg.

10%

3827 62 00

- - Other, not included in the subheading above, containing 55 % or more by mass of pentafluoroethane (HFC- 125) but not containing unsaturated fluorinated derivatives of acyclic hydrocarbons (HFOs)

kg.

10%

3827 63 00

- - Other, not included in the subheadings above, containing 40 % or more by mass of pentafluoroethane (HFC-125)

kg.

10%

3827 64 00

-- Other, not included in the subheadings above, containing 30 % or more by mass of 1,1,1,2-tetrafluoroethane (HFC-134a) but not containing unsaturated fluorinated derivatives of acyclic hydrocarbons (HFOs)

kg.

10%

3827 65 00

- Other, not included in the subheadings above, containing 20 % or more by mass of difluoromethane (HFC-32) and 20 % or more by mass of pentafluoroethane (HFC-125)

kg.

10%

3827 68 00

- - Other, not included in the subheadings above, containing substances of subheadings 2903 41 to 2903 48

kg.

10%

3827 69 00

- - Other

kg.

10%
3827 90 00
- - Other

kg.
10%
(30)

in Section VII, for Note 2, the following Note shall be substituted, namely :-

"2. Except for the goods of heading 3918 or 3919, plastics, rubber, and articles thereof, printed with motifs, characters or pictorial representations, which are not merely subsidiary to the primary use of the goods, fall in Chapter 49.";

(31)
in Chapter 39, -
(i)

in Note 2, in clause (x), for the words "lamps and lighting fittings", the words "luminaires and lighting fittings" shall be substituted;

(ii)
in heading 3907, for sub-heading 3907 20, tariff items 3907 20 10 and 3907 20 90 and the entries relating thereto, the following shall be substituted, namely: -

3907 21 00
- - Bis (polyoxyethylene) methylphosphonate
kg.

10%
3907 29
- - - Other

kg.
10%
3907 29 10

- - - Poly (ether alcohols)
kg.

10%
3907 29 90
- - - Other

kg.
10%
(iii)

in heading 3911, after tariff item 3911 10 90 and the entries relating thereto, the following shall be inserted, namely:-

?3911 20 00
- Poly (1,3-phenylene methylphosphonate)

Kg.
10% -?

(32)
in Chapter 40, in heading 4015, for tariff items 4015 11 00 and the entries relating thereto, the following shall be substituted, namely: -

?4015 12 00
- Of a kind used for medical, surgical, dental or veterinary purposes

kg.
10%
(33)

in Chapter 42, in Note 2, in clause (k), for the words "lamps and lighting fittings", the words "luminaires and lighting fittings" shall be substituted;

(34)
in Chapter 44, -

(i)

in Note 1, in clause (o), for the words "lamps and lighting fittings", the words "luminaires and lighting fittings" shall be substituted;

(ii)

after Sub-heading Note 1, the following Sub-heading Notes shall be inserted, namely:

'2. For the purposes of sub-heading 4401 32, the expression "wood briquettes" means by products such as cutter shavings, saw dust or chips, of the mechanical wood processing industry, furniture making or other wood transformation activities, which have been agglomerated either directly by compression or by addition of a binder in a proportion not exceeding 3% by weight. Such briquettes are in the form of cubiform, polyhedral or cylindrical units with the minimum cross-sectional dimension greater than 25 mm.";

3. For the purposes of sub-heading 4407 13, "S-P-F" refers to wood sourced from mixed stands of spruce, pine and fir where the proportion of each species varies and is unknown.

5. For the purposes of sub-heading 4407 14, "Hem-fir" refers to wood sourced from mixed stands of Western hemlock and fir where the proportion of each species varies and is unknown.';

(iii)

in heading 4401, ?

(a)

in the entry in column (2) occurring after the tariff item 4401 22 00, for the words ?agglomerated, in logs?, the words ?agglomerated in logs? shall be substituted;

(b)

after tariff item 4401 31 00 and the entries relating thereto, the following shall be inserted, namely: ?

?4401 32 00

- - Wood briquettes

mt

5%

(c)

for the tariff item 4401 40 00 and the entries relating thereto, the following shall be substituted, namely: ?

?- Sawdust and wood waste and scrap, not agglomerated:

4401 41 00

- - Sawdust

mt

5%

4401 49 00

- -Other

mt

5%

(iv)

in heading 4402, for sub-heading 4402 90, tariff items 4402 90 10 and 4402 90 90 and the entries relating thereto, the following shall be substituted, namely: -

?4402 20

Of shell or nut:

5%

4402 20 10

- - - Of coconut shell

mt

5%

4402 20 90

Other

mt

5%

4402 90 00 -

Other
mt
5%
(v)
in heading 4403, -
(a)
for the entry in column (2) occurring against sub-heading 4403 21, the following shall be substituted, namely: -
"- - Of pine (*Pinus* spp.), of which the smallest cross-sectional dimension is 15 cm or more:";
(b)
for the entry in column (2) occurring against sub-heading 4403 23, the following shall be substituted, namely: -
"- - Of fir (*Abies* spp.) and spruce (*Picea* spp.), of which the smallest cross-sectional dimension is 15 cm or more:";
(c)
for the entry in column (2) occurring against sub-heading 4403 25, the following shall be substituted, namely: -
"- - Other, of which the smallest cross-sectional dimension is 15 cm or more:";
(d)
for sub-heading 4403 49, tariff items 4403 49 10 and 4403 49 90 and the entries relating thereto, the following shall be substituted, namely: -
?4403 42 00
- - Teak
m3
5%
4403 49 00
Other
m3
5%
(e)
for the entry in column (2) occurring against tariff item 4403 93 00, the following entry shall be substituted, namely: -
"- - Of beech (*Fagus* spp.), of which the smallest cross-sectional dimension is 15 cm or more";
(f)
for the entry in column (2) occurring against tariff item 4403 95 00, the following entry shall be substituted, namely: -
"- - Of birch (*Betula* spp.), of which the smallest cross-sectional dimension is 15 cm or more";
(vi)
in heading 4407, -
(a)
after the tariff item 4407 12 00 and the entries relating thereto, the following shall be inserted, namely: -
?4407 13 00
- - Of S-P-F (spruce (*Picea* spp.), pine (*Pinus* spp.) and fir (*Abies* spp.))
m3
10%
4407 14 00
Of Hem-fir (Western hemlock (*Tsuga heterophylla*) and fir (*Abies* spp.))
m3
10%
(b)
after the tariff item 4407 22 00 and the entries relating thereto, the following shall be inserted, namely: -
4407 23 00
Teak
m3
10%
(c)
for sub-heading 4407 29, tariff items 4407 29 10 and 4407 29 90 and the entries relating thereto, the following shall be

substituted, namely: -

4407 29 00

Teak

m3

10%

(vii)

in heading 4412, for the tariff items 4412 39 90 and 4412 94 00, sub-headings 4412 99, tariff items 4412 99 10 to 4412 99 90 and the entries relating thereto, the following shall be substituted, namely: -

?4412 39 90

- - - Other - Laminated veneered lumber (LVL):

m3

10%

4412 41 00

- - With at least one outer ply of tropical wood

m3

10%

4412 42 00

- - Other, with at least one outer ply of non-coniferous wood

m3

10%

4412 91

- - With at least one outer ply of tropical wood:

4412 91 10

- - - Decorative plywood

m3

10%

4412 91 20

- - - Tea chest panel or shooks, packed in sets

m 3

10%

4412 91 30

- - - Marine and aircraft plywood

m3

10%

4412 91 40

- - - Cuttings and trimmings of plywood of which not exceeding 5cm

m3

10%

4412 91 90

- - - Other

m3

10%

4412 92

- - Other, with at least one outer ply of non-coniferous wood:

4412 92 10

- - - Decorative plywood

m3

10%

4412 92 20

- - - Tea chest panel or shooks, packed in sets

m 3

10%
 4412 92 30
 - - - Marine and aircraft plywood
 m3
 10%
 4412 92 40
 - - - Cuttings and trimmings of plywood of which not exceeding 5cm
 m3
 10%
 4412 92 90
 - - - Other
 m3
 10%
 4412 99
 - - Other, with both outer plies of coniferous wood:
 4412 99 10
 - - - Decorative plywood
 m3
 10%
 4412 99 20
 - - - Tea chest panel or shooks, packed in sets
 m 3
 10%
 4412 99 30
 - - - Marine and aircraft plywood
 m3
 10%
 4412 99 40
 - - - Cuttings and trimmings of plywood of which not exceeding 5cm
 m3
 10%
 4412 99 90
 - - - Other
 m3
 10%

(viii)

for tariff item 4414 00 00 and the entries relating thereto, the following shall be substituted, namely: -

?4414

WOODEN FRAMES FOR PAINTINGS, PHOTOGRAPHS, MIRRORS OR SIMILAR OBJECTS

4414 10 00

- Of tropical wood

kg.

10% -

4414 90 00

- Other

kg.

10% -?;

(ix)

in heading 4418, ?

(a)

for tariff item 4418 10 00, sub-heading 4418 20 and tariff items 4418 20 10 to 4418 20 90 and the entries relating

thereto, the following shall be substituted, namely: ?

?- Windows, French-windows and their frames:

4418 11 00

- - Of tropical wood

kg.

10% -

4418 19 00

Other Doors and their frames and thresholds:

kg.

10% -

4418 21

- - Of tropical wood:

kg.

10% -

4418 21 10

Flush doors

kg.

10% -

4418 21 20

Frames and thresholds of flush doors

kg.

10% -

4418 21 90

Other

kg.

10% -

4418 29

Other:

kg.

10% -?;

4418 29 10

Flush doors

kg.

10% -?;

4418 29 20

Frames and thresholds of flush doors

kg.

10% -?;

4418 29 90

Other

kg.

10% -?;

4418 29 90

- Posts and beams other than products of sub-headings 4418 81 to 4418 89

kg.

10% -?;

(b)

tariff item 4418 60 00 and the entries relating thereto shall be omitted?;

(c)

after tariff item 4418 79 00 and the entries relating thereto, the following shall be inserted, namely: ?

?- Engineered structural timber products :

4418 81 00

- - Glue-laminated timber (glulam)

kg.

10% -

4418 82 00

- - Cross-laminated timber (CLT or X-lam)

kg.

10% -

4418 83 00 -

- - I beams

kg.

10% -

4418 89 00

- - Other

kg.

10% -?;

(d)

after tariff item 4418 91 00 and the entries relating thereto, the following shall be inserted, namely: ?

?4418 92 00

- - Cellular wood panels

kg.

10% -?;

(x)

after tariff item 4419 19 00 and the entries relating thereto, the following shall be inserted, namely: ?

?4419 20 00

- of tropical wood

kg.

10% -?;

(xi)

for tariff item 4420 10 00 and the entries relating thereto, the following shall be substituted, namely: ?

?- Statuettes and other ornaments:

4420 11 00

- - Of tropical wood

kg.

10% -?;

4420 19 00

Other

kg.

10% -?;

(xii)

after tariff item 4421 10 00 and the entries relating thereto, the following shall be inserted, namely: ?

?4421 20 00

- Coffins

kg.

10% -?;

(35)

in Chapter 46, in Note 2, in clause (e), for the words ?lamps and lighting fittings? , the words ?luminaires and lighting fittings? shall be substituted;

(36)

in Chapter 48, ?

(i)

in Note 2, for clause (q), the following clause shall be substituted, namely: ?

?(q) articles of Chapter 96 (for example, buttons, sanitary towels (pads) and tampons, napkins (diapers) and napkin liners).?;

(ii)

in Note 4, for the word ?apply?, the word ?applies? shall be substituted;

(iii)

in Note 5,?

(a)

for the words, figures and letters ?For paper or paperboard weighing not more than 150 g/m² :?, the following shall be substituted, namely:?

?(A) For paper or paperboard weighing not more than 150 g/m² :?;

(b)

for the words, figures and letters ?For papers or paperboard weighing more than 150 g/m² :?, the following shall be substituted, namely:?

?(B) For paper or paperboard weighing more than 150 g/m² :?;

(c)

for the brackets and words ?(including tea-bag paper) or felt paper of paperboard, occurring at the end, the brackets and words ?(including teabag paper) or felt paper or paperboard? shall be substituted;

(iv)

in Note 12, for the word ? incidental?, the word ?subsidiary? shall be substituted;

(37)

in Chapter 49, in heading 4905, for tariff items 4905 10 00 and 4905 91 00, sub-heading 4905 99, tariff items 4905 99 10 and 4905 99 90 and the entries relating thereto, the following shall be substituted, namely: ?

?4905 20 00

- In book form

kg.

Free -

4905 90

- Other:

kg.

Free -

4905 90 10

- - - Geographical, hydrological, astronomical maps or charts

kg.

Free -

4905 90 20

- - - Globe

kg.

Free -

4905 90 90

- - - Other

kg.

Free -

(38)

in Section XI, ?

(i)

in Note 1, ?

(A)

in clause (s), for the words ?lamps and lighting fittings? , the words ?luminaires and lighting fittings? shall be substituted;

(B)

in clause (u), the words ?for babies? shall be omitted:

(ii)

after Note 14, the following Note shall be inserted, namely: ?

?15. Subject to Note 1 of Section XI, textiles, garments and other textile articles, incorporating chemical, mechanical or electronic components for additional functionality, whether incorporated as built-in components or within the fibre or fabric, are classified in their respective headings in Section XI provided that they retain the essential character of the goods of this Section.?

(39)

in Chapter 55, in heading 5501, for tariff item 5501 10 00 and the entries relating thereto, the following shall be substituted, namely: ?

? - Of nylon or other polyamides :

5501 11 00

- - Of aramids

kg.

20% -?;

5501 19 00

- Other:

kg.

20% -?;

(40)

in Chapter 56, in Note 1, in clause (f), the words ?for babies? shall be omitted;

(41)

in Chapter 57, for heading 5703, sub-heading 5703 10, tariff items 5703 10 10 to 5703 10 90, sub-heading 5703 20, tariff items 5703 20 10 to 5703 20 90, sub-heading 5703 30, tariff items 5703 30 10 to 5703 30 90, sub-heading 5703 90, tariff items 5703 90 10 to 5703 90 90 and the entries relating thereto, the following shall be substituted, namely: ?

?5703

CARPETS AND OTHER TEXTILE FLOOR COVERINGS (INCLUDING TURF), TUFTED, WHETHER OR NOT MADE UP

570310

- Of wool or fine animal hair:

5703 10 10

- - - Carpets

m²

25% -

5703 10 20

- - - Mats and matting

m²

25% -

5703 10 90

- - - Other Of nylon or other polyamides:

m²

25% -

5703 21 00

- - Turf

m²

25% or Rs. 70 per sq. metre, whichever is higher

5703 29

- - Other:

m²

5703 29 10

- - - Carpets, carpeting and rugs

m²

25% or Rs. 70 per sq. metre, whichever is higher

5703 29 20

- - - 100% polyamide tufted velour, cut pile or loop pile carpet mats with jute, rubber latex or PU foam backing

m2

25% or Rs. 70 per sq. metre, whichever is higher

5703 29 90

- - - Other - Of other man-made textile materials:

m2

25% or Rs. 70 per sq. metre, whichever is higher

5703 31 00

- - Turf

m2

25% or Rs. 55 per sq. metre, whichever is higher

5703 39

- - Other :

m2

25% or Rs. 55 per sq. metre, whichever is higher

5703 39 10

- - - Carpets, carpeting and rugs

m2

25% or Rs. 55 per sq. metre, whichever is higher

5703 39 20

100%polypropylene carpet mats with jute, rubber, latex or PU foam backing

m2

25% or Rs. 55 per sq. metre, whichever is higher

5703 39 90

- - - Other

m2

25% -

5703 90

- Of other textile materials :

m2

25% -

5703 90 10

- - - Carpets and other floor coverings, of cotton, other than durries

m2

25% -

5703 90 20

- - - Carpets and floor coverings of coir

m2

25% -

5703 90 90

- - - Other

m2

25% -?;

(42)

in Chapter 58, for heading 5802, tariff item 5802 11 00, sub-heading 5802 19, tariff items 5802 19 10 to 5802 19 90 and the entries relating thereto, the following shall be substituted, namely: ?

?5802 TERRY TOWELLING AND SIMILAR WOVEN TERRY FABRICS, OTHER THAN NARROW FABRICS OF HEADING 5806; TUFTED TEXTILE FABRICS, OTHER THAN PRODUCTS OF HEADING 5703

5802 10

- Terry towelling and similar woven terry fabrics, of cotton:

5802 10 10

- - - Unbleached

m²

25%

5802 10 20

- - - Bleached

m²

25% or Rs. 60 per sq. -meter, whichever is higher

5802 10 30

- - - Piece dyed

m²

25% or Rs. 60 per sq. -meter, whichever is higher

5802 10 40

- - - Yarn dyed

m²

25% or Rs. 60 per sq. -meter, whichever is higher

5802 10 50

- - - Printed

m²

25% or Rs. 60 per sq. -meter, whichever is higher

5802 10 60

- - - Of Handloom

m²

25% or Rs. 60 per sq. -meter, whichever is higher

5802 10 90

- - - Other

m²

25% or Rs. 60 per sq. -meter, whichever is ?; higher

(43)

in Chapter 59, ?

(i)

after Note 2, the following Note shall be inserted, namely: ?

?3. For the purposes of heading 5903, ?textile fabrics laminated with plastics? means products made by the assembly of one or more layers of fabrics with one or more sheets or film of plastics which are combined by any process that bonds the layers together, whether or not the sheets or film of plastics are visible to the naked eye in the crosssection.?

(ii)

the existing Notes 3, 4, 5, 6 and 7 shall respectively be re-numbered as Notes 4, 5, 6, 7 and 8 and in Note 8 as so re-numbered, in clause (a), for sub-clause (iii), the following sub-clause shall be substituted, namely: ?

?(iii) filtering or straining cloth of a kind used in oil presses or the like, of textile material or of human hair?;

(iii)

in heading 5911 ,?

(a)

in the entry in column (2) occurring against heading 5911, for the word and figure ?Note 7?, the word and figure ?Note 8? shall be substituted;

(b)

for the entry in column (2) occurring against tariff item 5911 40 00, the following shall be substituted, namely: ?

?- Filtering or straining cloth of a kind used in oil presses or the like, including that of human hair?;

(44)

in Chapter 61,?

(i)

for Note 4, the following Note shall be substituted, namely: ?

?4. Headings 6105 and 6106 do not cover garments with pockets below the waist, with a ribbed waistband or other means of tightening at the bottom of the garment, or garments having an average of less than 10 stitches per linear centimeter in each direction counted on an area measuring at least 10 cm x 10 cm. Heading 6105 does not cover sleeveless garments.

?Shirts? and ?shirt-blouses? are garments designed to cover the upper part of the body, having long or short sleeves and a full or partial opening starting at the neckline. ?Blouses? are loose-fitting garments also designed to cover the upper part of the body but may be sleeveless and with or without an opening at the neckline. ?Shirts?, ?shirtblouses? and ?blouses? may also have a collar.?

(ii)

in heading 6116, for the entry in column (2) occurring against tariff item 6116.

10 00, the following entry shall be substituted, namely: ?

?6116 10 00 - Impregnated, coated, covered or laminated with plastics or rubber?;

(45)

in Chapter 62,?

(i)

after Note 3, the following Note shall be inserted, namely: ?

4. Headings 6205 and 6206 do not cover garments with pockets below the waist, with a ribbed waistband or other means of tightening at the bottom of the garment. Heading 6205 does not cover sleeveless garments.

?Shirts? and ?shirt-blouses? are garments designed to cover the upper part of the body, having long or short sleeves and a full or partial ope

?Blouses? are loose-fitting garments also designed to cover the upper part of the body but may be sleeveless and with or without an opening at the neckline.

?Shirts?, ?shirtblouses? and ?blouses? may also have a collar.?

(ii)

the existing Notes 4, 5, 6, 7, 8 and 9 shall respectively be re-numbered as Notes 5, 6, 7, 8, 9 and 10;

(iii)

for heading 6201, tariff item 6201 11 00, sub-heading 6201 12, tariff items 6201 12 10 and 6201 12 90, sub-heading 6201 13, tariff items 6201 13 10 and 6201 13 90, sub-heading 6201 19, tariff item 6201 19 10 to 6201 93 00, sub-heading 6201 99, tariff 208 items 6201 99 10 and 6201 99 90 and the entries relating thereto, the following shall be substituted, namely: ?

?6201 MEN'S OR BOYS' OVERCOATS, CARCOATS, CAPES, CLOAKS, ANORAKS (INCLUDING SKI-JACKETS), WINDCHEATERS, WIND-JACKETS AND SIMILAR ARTICLES, OTHER THAN THOSE OF HEADING 6203

6201 20

Of wool or fine animal hair :

6201 20 10

- - Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25% or Rs. 385 per piece, whichever is higher -

6201 20 90

- - - Other

u

25% or Rs.220 per piece, whichever is higher

6201 30

- Of cotton :

6201 30 10

- - Overcoats, raincoats, car-coats, capescloaks and similar articles

u

25% or Rs. 385 per piece, whichever is higher -

6201 30 90

- - - Other

u

25% or Rs. 210 per piece, whichever is higher -

6201 40

Of man-made fibres :

6201 40 10

- - -Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25% or Rs. 320 per piece, whichever is higher -

6201 40 90

- - - Other

u

25% or Rs.180 per piece, whichever is higher

6201 90

- Of other textile materials :

u

6201 90 10

- - -Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25%

6201 90 90

- - - Other

u

25%

(iv)

for heading 6202, sub-heading 6202 11, tariff items 6202 11 10 to 6202 13 00, sub-heading 6202 19, tariff items 6202 19 10 to 6202 19 90, sub-heading 6202 91, tariff item 6202 91 10 and 6202 91 90, sub-heading 6202 92, tariff items 6202 92 10 and 6202 92 90, sub-heading 6202 93, tariff items 6202 93 10 and 6202 93 90, sub-heading 6202 99, tariff items 6202 99 11 to 6202 99 90 and the entries relating thereto, the following shall be substituted, namely: ?

?6202 WOMEN'S OR GIRLS' OVERCOATS, CAR-COATS, CAPES, CLOAKS, ANORAKS (INCLUDING SKIJACKETS), WIND-CHEATERS, WINDJACKETS AND SIMILAR ARTICLES, OTHER THAN THOSE OF HEADING 6202 20

- Of wool or fine animal hair :

6202 20 10

- - -Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25% or Rs. 385 per piece, whichever is higher -

6202 20 90

- - - Other

u

25% or Rs.220 per piece, whichever is higher

6202 30 10

- Of cotton :

6202 30 10

- - -Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25% or Rs. 210 per piece, whichever is higher

6202 30 90

- - - Other

u

25% or Rs. 160 per piece, whichever is higher

6202 40

- Of man-made fibres :

6202 40 10

- - - Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25% or Rs. 385 per piece, whichever is higher

6202 40 90

- - - Other

u

25% or Rs.220 per piece, whichever is higher

6202 90

- Of other textile materials :

6202 90 10

- - - Overcoats, raincoats, car-coats, capes, cloaks and similar articles

u

25%

6202 90 90

- - - Other

u

25%

(v)

in heading 6210, for the entry in column (2),?

(a)

occurring against sub-heading 6210 20, the following entry shall be substituted, namely :?

?- Other garments, of the type described in heading 6201?;

(b)

occurring against sub-heading 6210 30, the following entry shall be substituted, namely:?

?- Other garments, of the type described in heading 6202?;

(46)

in Chapter 63, in heading 6306, for the entry in column (2), ?

(a)

occurring against heading 6306, the following shall be substituted, namely: ?

?TARPAULINS, AWNINGS AND SUNBLINDS; TENTS (INCLUDING TEMPORARY CANOPIES AND SIMILAR ARTICLES); SAILS FOR BOATS, SAILBOARDS OR LANDCRAFT; CAMPING GOODS?;

(b)

occurring after tariff item 6306 19 90, the following entry shall be substituted, namely: ?

? - Tents (including temporary canopies and similar articles) :?;

(47)

in Chapter 68, ?

(i)

in Note 1, in clause (k), for the words ?lamps and lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;

(ii)

in heading 6802, for words ?largest surface area?, the words ?largest face? shall be substituted;

(iii)

in heading 6812, sub-heading 6812 92, tariff items 6812 92 11 to 6812 93 00 and the entries relating thereto shall be omitted;

(iv)

in heading 6815, ?

(a)

for sub-heading 6815 10, tariff items 6815 10 10 to 6815 10 90 and the entries relating thereto, the following shall be substituted, namely: ?

?- Carbon fibres; articles of carbon fibres for non- electrical uses; other articles of graphite or other carbon for non-electrical uses :

681511 00

- - Carbonfibres

kg.

10%

681512 00

- - Fabrics of carbonfibres

kg.

10%

681513 00

- - Other articles of carbonfibres

kg.

10%

681519 00

- -Other

kg.

10%

(b)

for the entry in column (2) occurring against tariff item 6815 91 00, the following entry shall be substituted, namely: ?

?- - Containing magnesite, magnesia in the form of periclase, dolomite including in the form of dolime, or chromite?;

(48)

in Chapter 69,?

(i)

for Note 1, the following Note shall be substituted, namely: ?

?1. This Chapter applies only to ceramic products which have been fired after shaping:

(a)

headings 6904 to 6914 apply only to such products other than those classifiable in headings 6901 to 6903;

(b)

articles heated to temperatures less than 800 °C for purposes such as curing of resins, accelerating hydration reactions, or for the removal of water or other volatile components, are not considered to be fired. Such articles are excluded from Chapter 69; and

(c)

Ceramic articles are obtained by firing inorganic, non-metallic materials which have been prepared and shaped previously at, in general, room temperature. Raw materials comprise, inter alia, clays, siliceous materials including fused silica, materials with a high melting point, such as oxides, carbides, nitrides, graphite or other carbon, and in some cases binders such as refractory clays or phosphates.?

(ii)

in Note 2, in clause (ij), for the words ?lamps and lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;

(iii)

in heading 6903, ?

(a)

in the entry in column (2) occurring against heading 6903, for the words ?SHEATHS AND RODS?, the words ?SHEATHS, RODS AND SLIDGE GATES? shall be substituted;

(b)

for sub-heading 6903 10, tariff items 6903 10 10 and 6903 10 90 and the entries relating thereto, the following shall be substituted, namely: ?

?6903 10 00 - Containing, by weight, more than 50 % of free carbon mt 10% -?;

(49)

in Chapter 70,?

(a)

in Note 1,?

(i)

after clause (c), the following clauses shall be inserted, namely: ?

?(d) front windscreens (windshields), rear windows and other windows, framed, for vehicles of Chapters 86 to 88;

(e)

front windscreens (windshields), rear windows and other windows, whether or not framed, incorporating heating devices or other electrical or electronic devices, for vehicles of Chapters 86 to 88;?;

(ii)

the existing clauses (d), (e), (f) and (g) shall respectively be re-lettered as (f), (g), (h) and (ij), and in clause (g) as so re-lettered, for the words, ?lamps or lighting fittings?, the words ?Luminaires and lighting fittings? shall be substituted;

(b)

in heading 7001, ?

(i)

for the entry in column (2) occurring against heading 7001, the following shall be substituted, namely: ?

?CULLET AND OTHER WASTE AND SCRAP OF GLASS, EXCLUDING GLASS FROM CATHODE RAY TUBES OR OTHER ACTIVATED GLASS OF HEADING 8549; GLASS IN THE MASS?;

(ii)

for the entry in column (2) occurring against sub-heading 7001 00, the following shall be substituted, namely: ?

?- Cullet and other waste and scrap of glass, excluding glass from cathode ray tubes or other activated glass of heading 8549; glass in the mass?;

(c)

in heading 7011, in the entries in column (2) occurring against the heading 7011, for the words ?ELECTRIC LAMPS?, the words ?ELECTRIC LAMPS AND LIGHT SOURCES? shall be substituted;

(d)

for heading 7019, tariff item 7019 11 00 to 7019 59 00, sub-heading 7019 90, tariff items 7019 90 10 and 7019 90 90 and the entries relating thereto, the following shall be substituted, namely: ?

?7019

GLASS FIBRES (INCLUDING GLASS WOOL) AND ARTICLES THEREOF (FOR EXAMPLE, YARN, ROVINGS, WOVEN FABRICS)

701911 00

- Slivers, rovings, yarn and chopped strands and matsthereof:

kg.

10%

- - Chopped strands, of a length of not more than 50 Mm

7019 12 00

- - Rovings

kg.

10%

7019 13 00

- - Other yarn, slivers

kg.

10%

7019 14 00

- - Mechanically bonded mats

kg.

10%

7019 15 00

- - Chemically bonded mats

kg.
 10%
 7019 19 00
 - - Other

kg.
 10%
 - Mechanically bonded fabrics:
 7019 61 00
 - - Closed woven fabrics of rovings

kg.
 10%
 7019 62 00
 - - Other closed fabrics of rovings

kg.
 10%
 7019 63 00
 - - Closed woven fabrics, plain weave, of yarns, not coated or laminated

kg.
 10%
 7019 64 00
 -Closed woven fabrics, plain weave, of yarns, coated or laminated

kg.
 10%
 7019 65 00
 - - Open woven fabrics of a width not exceeding 30cm

kg.
 10%
 7019 66 00
 - - Open woven fabrics of a width exceeding 30 cm

kg.
 10%
 7019 69 00
 - - Other

kg.
 10%
 - Chemically bonded fabrics:
 7019 71 00
 - - Veils (thin sheets)

kg.
 10%
 7019 72 00
 - - Other closed fabrics

kg.
 10%
 7019 73 00
 - - Other open fabrics

kg.
 10%
 7019 80 00
 - Glass wool and articles of glass wool

kg.

10%
 70199000
 Other
 kg
 10%
 (50)
 in Chapter 71, ?
 (i)
 in heading 7104, for sub-heading 7104 20, tariff items 7104 20 10 and 7104 20 90, sub- heading 7104 90, tariff items 7104 90 10 and 7104 90 90 and the entries relating thereto, the following shall be substituted, namely: ?
 ?- Other, unworked or simply sawn or roughly shaped:
 7104 21 00
 - - Diamonds
 c/k
 10%
 7104 29 00
 - - Other
 kg.
 10%
 - Other :
 7104 91 00
 - - Diamonds
 c/k
 10%
 7104 99 00
 - - Other
 kg.
 15%
 (ii)
 in heading 7112, in the entry in column (2) occurring against heading 7112, after the words ?RECOVERY OF PRECIOUS METAL?, the words ?RECOVERY OF PRECIOUS METAL OTHER THAN GOODS OF HEADING 8549? shall be substituted;
 (51)
 in Section XV, ?
 (i)
 in Note 1, in clause (k), for the words ?lamps and lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;
 (ii)
 in Note 2, for clause (a), the following clause shall be substituted, namely: ?
 ?(a) articles of heading 7307, 7312, 7315, 7317 or 7318 and similar articles of other base metal, other than articles specially designed for use exclusively in implants in medical, surgical, dental or veterinary sciences (heading 9021);?;
 (iii)
 in Note 7, for the words ?Interpretative Rules?, the words ?General Interpretative Rules? shall be substituted;
 (iv)
 in Note 8, for clause (a), the following clause shall be substituted, namely: ? ?(a) Waste and scrap:
 (i)
 all metal waste and scrap;
 (ii)
 metal goods definitely not usable as such because of breakage, cutting-up, wear or other reasons.?
 (v)
 after Note 8, the following Note shall be inserted, namely:

79. For the purposes of Chapters 74 to 76 and 78 to 81, the following expressions shall have the meanings hereby assigned to them :

(a)

Bars and rods

Rolled, extruded, drawn or forged products, not in coils, which have a uniform solid cross-section along their whole length in the shape of circles, ovals, rectangles (including squares), equilateral triangles or regular convex polygons (including 'flattened circles' and 'modified rectangles', of which two opposite sides are convex arcs, the other two sides being straight, of equal length and parallel). Products with a rectangular (including square), triangular or polygonal cross-section may have corners rounded along their whole length. The thickness of such products which have a rectangular (including 'modified rectangular') cross-section exceeds one-tenth of the width. The expression also covers cast or sintered products, of the same forms and dimensions, which have been subsequently worked after production (otherwise than by simple trimming or de-scaling), provided that they have not thereby assumed the character of articles or products of other headings.

Wire-bars and billets of Chapter 74 with their ends tapered or otherwise worked simply to facilitate their entry into machines for converting them into, for example, drawing stock (wire-rod) or tubes, are however to be taken to be unwrought copper of heading 7403. This provision applies mutatis mutandis to the products of Chapter 81.

(b)

Profiles

Rolled, extruded, drawn, forged or formed products, coiled or not, of a uniform cross-section along their whole length, which do not conform to any of the definitions of bars, rods, wire, plates, sheets, strip, foil, tubes or pipes. The expression also covers cast or sintered products, of the same forms, which have been subsequently worked after production (otherwise than by simple trimming or de-scaling), provided that they have not thereby assumed the character of articles or products of other headings.

(c)

Wire

Rolled, extruded or drawn products, in coils, which have a uniform solid cross-section along their whole length in the shape of circles, ovals, rectangles (including squares), equilateral triangles or regular convex polygons (including 'flattened circles' and 'modified rectangles', of which two opposite sides are convex arcs, the other two sides being straight, of equal length and parallel). Products with a rectangular (including square), triangular or polygonal cross-section may have corners rounded along their whole length. The thickness of such products which have a rectangular (including 'modified rectangular') cross-section exceeds one-tenth of the width.

(d)

Plates, sheets, strip and foil

Flat-surfaced products (other than the unwrought products of heading 8001), coiled or not, of solid rectangular (other than square) cross-section with or without rounded corners (including 'modified rectangles' of which two opposite sides are convex arcs, the other two sides being straight, of equal length and parallel) of a uniform thickness, which are :

-of rectangular (including square) shape with a thickness not exceeding one-tenth of the width;

-of a shape other than rectangular or square, of any size, provided that they do not assume the character of articles or products of other headings.

Headings for plates, sheets, strip, and foil apply, inter alia, to plates, sheets, strip, and foil with patterns (for example, grooves, ribs, chequers, tears, buttons, lozenges) and to such products which have been perforated, corrugated, polished or coated, provided that they do not thereby assume the character of articles or products of other headings.

(e)

Tubes and pipes

Hollow products, coiled or not, which have a uniform cross-section with only one enclosed void along their whole length in the shape of circles, ovals, rectangles (including squares), equilateral triangles or regular convex polygons, and which have a uniform wall thickness. Products with a rectangular (including square), equilateral triangular or regular convex polygonal cross-section, which may have corners rounded along their whole length, are also to be considered as tubes and pipes provided the inner and outer cross-sections are concentric and have the same form and orientation. Tubes and pipes of the foregoing cross-sections may be polished, coated, bent, threaded, drilled, waisted, expanded, cone-shaped or fitted with flanges, collars or rings.?

(52)

in Chapter 74, ?

(i)

in the Note, clauses (d), (e), (f), (g) and (h) shall be omitted;

(ii)

for heading 7419, sub-heading 7419 10, tariff items 7419 10 10 to 7419 91 00, sub- heading 7419 99, tariff items 7419 99 10 to 7419 99 90 and the entries relating thereto, the following shall be substituted, namely: ?

7419

OTHER ARTICLES OF COPPER

7419 20 00

- Cast, moulded, stamped or forged, but not further worked

kg.

10%

7419 80

- Other:

7419 80 10

- - - Reservoirs, tanks, vats and similar Containers

kg.

10%

7419 80 20

- - - Articles of copper alloy electro-plated with nickel-silver

kg.

10%

7419 80 30

- - - Articles of brass

kg.

10%

7419 80 40

- - - Copper worked articles

kg.

10%

7419 80 50

- - - Copper chain

kg.

10%

7419 80 90

- - - Other articles of copper

kg.

10%

(53)

in Chapter 75, ?

(i)

the Note shall be omitted;

(ii)

for the words, figure, brackets and letter ?Chapter Note 1 (c)?, the words, figures, brackets and letter ?Note 9 (c) to Section XV? shall be substituted;

(54)

in Chapter 76, ?

(i)

the Note shall be omitted;

(ii)

in Sub-heading Note 2, for the words, figure, brackets and letter ?Chapter Note 1 (c)?, the words, figures, brackets and letter ?Note 9 (c) to Section XV? shall be substituted;

(55)

in Chapter 78, the Note shall be omitted;

(56)

in Chapter 79, the Note shall be omitted;

(57)

in Chapter 80, the Note shall be omitted;

(58)

in Chapter 81, ?

(i)

Sub-heading Note shall be omitted;

(ii)

in heading 8103, for the tariff item 8103 90 00 and the entries relating thereto, the following shall be substituted, namely:

?

? - Other :

8103 91 00

- - Crucibles

kg.

10%

-

8103 99 00

- - Other

kg.

10%

-?;

(iii)

in heading 8106, for sub-heading 8106 00, tariff items 8106 00 10 to 8106 00 90 and the entries relating thereto, the following shall be substituted, namely: ?

?8106

BISMUTH AND ARTICLES THEREOF, INCLUDING WASTE AND SCRAP

8106 10

- Containing more than 99.99 % of bismuth, by weight

8106 10 10

- - - Bismuth, unwrought

kg.

5%

8106 10 20

- - - Article of bismuth

kg.

5%

8106 10 90

- - - Other

kg.

10%

8106 90

- Other:

8106 90 10

- - - Waste and scrap of bismuth and bismuth Alloys

kg.

5%

8106 90 90

Other

kg

10%

(iv)

heading 8107, tariff items 8107 20 00 and 8107 30 00, sub-heading 8107 90, tariff items 8107 90 10 and 8107 90 90 and the entries relating thereto shall be omitted;

(v)

for heading 8109, tariff items 8109 20 00 to 8109 90 00 and the entries relating thereto, the following shall be substituted, namely: -

?- Unwrought zirconium; powders :

8109 21 00

- - Containing less than 1 part hafnium to 500 parts zirconium by weight

kg

10%

8109 29 00

- - Other

kg.

10%

- Waste and scrap:

8109 31 00

- - Containing less than 1 part hafnium to 500

kg.

10%

parts zirconium by weight

8109 39 00

- - Other

kg.

10%

- Other:

8109 91 00

- - Containing less than 1 part hafnium to 500

kg.

10%

8109 99 00

Other

kg

10%

(vi)

in heading 8112, ?

(a)

for the entry in column (2) occurring against heading 8112, the following entry shall be substituted, namely: ?

?BERYLLIUM, CHROMIUM, HAFNIUM, RHENIUM, THALLIUM, CADMIUM, GERMANIUM, VANADIUM, GALLIUM, INDIUM AND NIOBIUM (COLUMBIUM), ARTICLES OF THESE METALS, INCLUDING WASTE AND SCRAP?;

(b)

after tariff item 8112 29 00 and the entries relating thereto, the following shall be inserted, namely: ?

-? Hafnium :

8112 31

- - Unwrought; waste and scrap; powders:

8112 31 10

- - - Unwrought

kg.
 10%
 8112 31 20
 - - - Waste and scrap
 kg.
 10%
 8112 31 30
 - - - Powders
 kg.
 10%
 8112 39 00
 - - Other
 kg.
 10%
 -Rhenium :
 8112 41
 - - Unwrought; waste and scrap; powders
 kg.
 10%
 8112 41 10
 - - - Unwrought
 kg.
 10%
 8112 41 20
 - - - Waste and scrap
 kg.
 10%
 8112 41 30
 - - - Powders
 kg.
 10%
 8112 49 00
 - - Other
 kg.
 10%

(c)
 after tariff item 8112 59 00 and the entries relating thereto, the following shall be inserted, namely: ?

?- Cadmium :
 8112 61 00
 - - Waste and scrap
 kg.
 10%
 8112 69 00
 - - Other

kg.
 10%
 (59)
 in Section XVI

(i)
 in Note 2, in clause (b), for the portion beginning with the word ?However? and ending with the words and figures ?in heading 8517?, the following shall be substituted, namely:?

?However, parts which are equally suitable for use principally with the goods of headings 8517 and 8525 to 8528 are to be classified in heading 8517, and parts which are suitable for use solely or principally with the goods of heading 8524 are to be classified in heading 8529?;

(ii)

after Note 5, the following Note shall be inserted, namely :?

?6.(A) Throughout the Nomenclature, the expression ?electrical and electronic waste and scrap? means electrical and electronic assemblies, printed circuit boards and electrical or electronic articles that-

(i)

have been rendered unusable for their original purposes by breakage, cutting up or other processes or are economically unsuitable for repair, refurbishment or renovation to render them fit for their original purposes; and

(ii)

are packaged or shipped in a manner not intended to protect individual articles from damage during transportation, loading and unloading operations;

(B)

mixed consignments of ?electrical and electronic waste and scrap? and other waste and scrap are to be classified in heading 8549;

(C)

this Section does not cover municipal waste as defined in Note 4 to Chapter 38.?

(60)

in Chapter 84, ?

(i)

for Note 2, the following Note shall be substituted, namely:?

?2. Subject to the operation of Note 3 to Section XVI and subject to Note 9 to this Chapter, a machine or appliance which answers to a description in one or more of the headings 8401 to 8424, or heading 8486 and at the same time to a description in one or more of the headings 8425 to 8480 is to be classified under the appropriate heading of the former group or under heading 8486, as the case may be, and not the latter group.

(A)

Heading 8419 does not, however, cover

(i)

germination plant, incubators or brooders (heading 8436);

(ii)

grain dampening machines (heading 8437);

(iii)

diffusing apparatus for sugar juice extraction (heading 8438);

(iv)

machinery for the heat-treatment of textile yarns, fabrics or made up textile articles (heading 8451); or

(v)

machinery or plant, designed for a mechanical operation, in which a change of temperature, even if necessary, is subsidiary.

(B)

Heading 8422 does not cover :

(i)

sewing machines for closing bags or similar containers (heading 8452); or

(ii)

office machinery of heading 8472.

(C)

Heading 8424 does not cover :

(i)

ink-jet printing machines (heading 8443); or

(ii)

water-jet cutting machines (heading 8456).?;

(ii)

after Note 4, the following Note shall be inserted, namely :?

?5. For the purposes of heading 8462, a ?slitting line? for flat products is a processing line composed of an uncoiler, a coil flattener, a slitter and a recoiler. A ?cut-to-length line? for flat products is a processing line composed of an uncoiler, a coil flattener and a shear.?

(iii)

the existing Notes 5, 6, 7 and 8 shall respectively be re-numbered as Notes 6, 7, 8 and 9, and after Note 9 as so re-numbered, the following Note shall be inserted, namely :?

?10. For the purposes of heading 8485, the expression ?additive manufacturing? (also referred to as 3D printing) means the formation of physical objects, based on a digital model, by the successive addition and layering, and consolidation and solidification, of material (for example, metal, plastics or ceramics).

Subject to Note 1 to Section XVI and Note 1 to Chapter 84, machines answering to the description in heading 8485 are to be classified in that heading and in no other heading of the Nomenclature.?

(iv)

the existing Note 9 shall be renumbered as Note 11 thereof, and in Note 11 as so renumbered, in clause (A), for the words, figures, brackets and letters ?Notes 9 (a) and

9.

(b)

?, the words, figures, brackets and letters ?Note 12 (a) and 12 (b)? shall be substituted;

(v)

in Sub-heading Note (2), for the word, figure, brackets and letter ?Note 5 (C)?, the word, figure, brackets and letter ?Note 6 (C)? shall be substituted;

(vi)

in heading 8414, ?

(a)

in the entry in column (2) occurring against heading 8414, for the word ?FILTERS?, the words ?FILTERS; GAS-TIGHT BIOLOGICAL SAFETY CABINETS, WHETHER OR NOT FITTED WITH FILTERS? shall be substituted;

(b)

after tariff item 8414 60 00 and the entries relating thereto, the following shall be inserted, namely :?

?8414 70 00

- Gas-tight biological safety cabinets

U

7.5%?; -

(vii)

in heading 8418, for the entry in column (2) occurring against sub-heading 8418 10, the following entry shall be substituted, namely :?

?- Combined refrigerator-freezers, fitted with separate external doors or drawers, or combinations thereof :?;

(viii)

in heading 8419, ?

(a)

after tariff item 8419 11 90 and the entries relating thereto, the following shall be inserted, namely :?

?8419 12 00

- - Solar water heaters

U

10% -?;

(b)

for tariff items 8419 31 00 and 8419 32 00 and the entries relating thereto, the following shall be substituted, namely :?

?8419 33 00

- - Lyophilisation apparatus, freeze drying units and spray dryers

u

7.5% -?;

8419 34 00

- - Other, for agricultural products

u

7.5% -?;

8419 35 00

- - Other, for wood, paper pulp, paper or paperboard

U

7.5% -

(ix)

in heading 8421, after tariff item 8421 31 00 and the entries relating thereto, the following shall be inserted, namely :?

?8421 32 00

- - Catalytic converters or particulate filters, whether or not combined, for purifying or filtering exhaust gases from internal combustion engines

U

15% -?;

(x)

in heading 8428, after tariff item 8428 60 00 and the entries relating thereto, the following shall be inserted, namely :?

?8428 70 00

- Industrial robots

U

7.5% -?;

xi) in heading 8438, in the entry in column (2) occurring against heading 8438, for the words ?VEGETABLE FATS? the words ?VEGETABLE OR MICROBIAL FATS? shall be substituted;

(xii)

for heading 8462 and the entries relating to, the following heading, sub-headings, tariff item and entries shall be substituted, namely:?

?8462 MACHINE-TOOLS (INCLUDING PRESSES) FOR WORKING METAL BY FORGING, HAMMERING OR DIE FORGING (EXCLUDING ROLLING MILLS); MACHINE-TOOLS (INCLUDING PRESSES, SLITTING LINES AND CUT-TO-LENGTH LINES) FOR WORKING METAL BY BENDING, FOLDING, STRAIGHTENING, FLATTENING, SHEARING, PUNCHING, NOTCHING OR NIBBLING (EXCLUDING DRAW-BENCHES); PRESSES FOR WORKING METAL OR METAL CARBIDES, NOT SPECIFIED ABOVE;

- Hot forming machines for forging, die forging (including presses) and hot hammers:

8462 11 00

- - Closed die forging machines

u

7.5%

8462 19 00

- - Other

u

7.5%

- Bending, folding, straightening or flattening machines (including press brakes) for flat products :

8462 22 00

- - Profile forming machines

u

7.5%

8462 23 00

- - Numerically controlled press brakes

u

7.5%

8462 24 00

- - Numerically controlled panel benders

u
 7.5%
 8462 25 00
 - - Numerically controlled roll forming machines
 u
 7.5%
 8462 26 00
 - - Other numerically controlled bending, folding, straightening or flattening machines
 u
 7.5%
 8462 29 00
 - - Other
 u
 7.5%
 - Slitting lines, cut-to-length lines and other shearing machines (excluding presses) for flat products, other than combined punching and shearing machines :
 8462 32 00
 - - Slitting lines and cut-to-length lines
 u
 7.5%
 8462 33 00
 - - Numerically controlled shearing machines
 u
 7.5%
 8462 39 00
 - - Other
 u
 7.5%
 - Punching, notching or nibbling machines (excluding presses) for flat products including combined punching and shearing machines :
 84624200
 - - Numerically controlled
 u
 7.5%
 8462 49 00
 - - Other
 u
 7.5%
 - Machines for working tube, pipe, hollow section and bar (excluding presses) :
 8462 51 00
 - - Numerically controlled
 u
 7.5%
 8462 59 00
 - - Other
 u
 7.5%
 - Cold metal working presses :
 8462 61 00
 - - Hydraulic presses
 u

7.5%

8462 62 00

- - Mechanical presses

u

7.5%

8462 63 00

- - Servo-presses

u

7.5%

846269 00

- - Other

u

7.5%

8462 90 00

- Other

u

7.5%

(xvi)

in heading 8486, in the entry in column (2), ?

(a)

occurring against heading 8486, for the word, figure, brackets and letter ?Note 9 (C)?, the word, figures, brackets and letter ?Note 11 (C)? shall be substituted;

(b)

occurring against tariff item 8486 40 00, for the word, figure, brackets and letter ?Note 9 (C)?, the word, figures, brackets and letter ?Note 11 (C)? shall be substituted;

(61)

in Chapter 85,?

(i)

after Note 4, the following Note shall be inserted, namely: ?

?5. For the purposes of heading 8517, the term "smartphones" means telephones for cellular networks, equipped with a mobile operating system designed to perform the functions of an automatic data processing machine such as downloading and running multiple applications simultaneously, including third-party applications, and whether or not integrating other features such as digital cameras and navigational aid systems.?

(ii)

the existing Note 5 shall be re-numbered as Note 6 thereof, and after Note 6 as so renumbered, the following Note shall be inserted, namely: ?

?7. For the purposes of heading 8524, ?flat panel display modules? refer to devices or apparatus for the display of information, equipped at a minimum with a display screen, which are designed to be incorporated into articles of other headings prior to use. Display screens for flat panel display modules include, but are not limited to, those which are flat, curved, flexible, foldable or stretchable in form. Flat panel display modules may incorporate additional elements, including those necessary for receiving video signals and the allocation of those signals to pixels on the display. However, heading 8524 does not include display modules which are equipped with components for converting video signals (e.g., a scaler IC, decoder IC or application processor) or have otherwise assumed the character of goods of other headings.

For the classification of flat panel display modules defined in this Note, heading 8524 shall take precedence over any other heading in the Nomenclature.?

(iii)

the existing Notes 6 and 7 shall respectively be re-numbered as Notes 8 and 9;

(iv)

the existing Note 8 shall be re-numbered as Note 10 thereof, and ??

the existing Note 10 shall be omitted;

after Note 10 as so re-numbered, the following Note shall be inserted, namely: ?

?11. For the purposes of heading 8539, the expression ?light-emitting diode (LED) light sources? covers??

(a)

?Light-emitting diode (LED) modules? which are electrical light sources based on light-emitting diodes (LED) arranged in electrical circuits and containing further elements like electrical, mechanical, thermal or optical elements. They also contain discrete active elements, discrete passive elements, or articles of heading 8536 or 8542 for the purposes of providing power supply or power control. Light-emitting diode (LED) modules do not have a cap designed to allow easy installation or replacement in a luminaire and ensure mechanical and electrical contact.

(b)

?Light-emitting diode (LED) lamps? which are electrical light sources containing one or more LED modules containing further elements like electrical, mechanical, thermal or optical elements. The distinction between light-emitting diode (LED) modules and light-emitting diode (LED) lamps is that lamps have a cap designed to allow easy installation or replacement in a luminaire and ensure mechanical and electrical contact.?

(v)

the exiting Note 9 shall be re-numbered as Note 12 thereof and in Note 12 as so renumbered, ?

(A)

for the clause (a), the following clause shall be substituted, namely : ?

?(a) (i) ?Semiconductor devices? are semiconductor devices, the operation of which depends on variations in resistivity on the application of an electric field or semiconductor-based transducers.

Semiconductor devices may also include assembly of plural elements, whether or not equipped with active and passive device ancillary functions.

?Semiconductor-based transducers? are, for the purposes of this definition, semiconductor-based sensors, semiconductor-based actuators, semiconductor-based resonators and semiconductor-based oscillators, which are types of discrete semiconductor-based devices, which perform an intrinsic function, which are able to convert any kind of physical or chemical phenomena or an action into an electrical signal or an electrical signal into any type of physical phenomenon or an action.

All the elements in semiconductor-based transducers are indivisibly combined, and may also include necessary materials indivisibly attached, that enable their construction or function.

The following expressions mean,??

(1)

?Semiconductor-based? means built or manufactured on a semiconductor substrate or made of semiconductor materials, manufactured by semiconductor technology, in which the semiconductor substrate or material plays a critical and unreplaceable role of transducer function and performance, and the operation of which is based on semiconductor properties including physical, electrical, chemical and optical properties.

(2)

?Physical or chemical phenomena? relate to phenomena, such as pressure, acoustic waves, acceleration, vibration, movement, orientation, strain, magnetic field strength, electric field strength, light, radioactivity, humidity, flow, chemicals concentration, etc.

(3)

?Semiconductor-based sensor? is a type of semiconductor device, which consists of microelectronic or mechanical structures that are created in the mass or on the surface of a semiconductor and that have the function of detecting physical or chemical quantities and converting these into electric signals caused by resulting variations in electric properties or displacement of a mechanical structure.

(4)

?Semiconductor-based actuator? is a type of semiconductor device, which consists of microelectronic or mechanical structures that are created in the mass or on the surface of a semiconductor and that have the function of converting electric signals into physical movement.

(5)

?Semiconductor-based resonator? is a type of semiconductor device, which consists of microelectronic or mechanical structures that are created in the mass or on the surface of a semiconductor and that have the function of generating a mechanical or electrical oscillation of a predefined frequency that depends on the physical geometry of these structures

in response to an external input.

(6)

?Semiconductor-based oscillator? is a type of semiconductor device, which consists of microelectronic or mechanical structures that are created in the mass or on the surface of a semiconductor and that have the function of generating a mechanical or electrical oscillation of a predefined frequency that depends on the physical geometry of these structures.

(ii)

?Light-emitting diodes (LED)? are semiconductor devices based on semiconductor materials which convert electrical energy into visible, infra-red or ultra-violet rays, whether or not electrically connected among each other and whether or not combined with protective diodes.

Light-emitting diodes (LED) of heading 85.41 do not incorporate elements for the purposes of providing power supply or power control;?

(b)

in clause (b), in sub-clause (iv), in sub-paragraph (3), for item (a), the following item shall be substituted, namely:?

?(a) ?Silicon-based sensors? consist of microelectronic or mechanical structures that are created in the mass or on the surface of a semiconductor and that have the function of detecting physical or chemical phenomena and transducing these into electric signals, caused by resulting variations in electric properties or displacement of a mechanical structure.

?Physical or chemical phenomena? relates to phenomena, such as pressure, acoustic waves, acceleration, vibration, movement, orientation, strain, magnetic field strength, electric field strength, light, radioactivity, humidity, flow, chemicals concentration, etc.?

(vi)

for Sub-heading Note, the following Sub-heading Notes shall be substituted, namely:?

?Sub-heading Notes :

1. Sub-heading 8525 81 covers only high-speed television cameras, digital cameras and video camera recorders having one or more of the following characteristics:??

- writing speed exceeding 0.5 mm per microsecond;

- time resolution 50 nanoseconds or less;

- frame rate exceeding 225,000 frames per second.

2. In respect of sub-heading 8525 82, radiation-hardened or radiation-tolerant television cameras, digital cameras and video camera recorders are designed or shielded to enable operation in a high-radiation environment. These cameras are designed to withstand a total radiation dose of at least 50×10^3 Gy(silicon) (5×10^6 RAD (silicon)), without operational degradation.

3. Sub-heading 8525 83 covers night vision television cameras, digital cameras and video camera recorders which use a photocathode to convert available light to electrons, which can be amplified and converted to yield a visible image. This sub-heading excludes thermal imaging cameras (generally subheading 8525 89).

4. Sub-heading 8527 12 covers only cassette-players with built-in amplifier, without built-in loudspeaker, capable of operating without an external source of electric power and the dimensions of which do not exceed 170 mm x 100 mm x 45 mm.

5. For the purposes of subheadings 8549 11 to 8549 19, ?spent primary cells, spent primary batteries and spent electric accumulators? are those which are neither usable as such because of breakage, cutting-up, wear or other reasons, nor capable of being recharged.?

(vii)

in heading 8501,?

(a)

for the entry in column (2) occurring after tariff item 8501 20 00 and the entries relating thereto, the following entry shall be substituted, namely :?

?- Other DC motors; DC generators, other than photovoltaic generators :?;

(b)

for the entry in column (2) occurring after tariff item 8501 53 90 and the entries relating thereto, the following entry shall be substituted, namely :?

?- AC generators (alternators), other than photovoltaic generators :?

(c)

after tariff item 8501 64 80 and the entries relating thereto, the following shall be inserted, namely :?

?- Photovoltaic DC generators :

8501 71 00

- - Of an output not exceeding 50 W

u

10%

8501 72 00

- - Of an output exceeding 50 W

u

10%

8501 80 00

- Photovoltaic AC generators

u

10%

(viii)

in heading 8507, tariff item 8507 40 00 and the entries relating thereto shall be omitted;

(ix)

in heading 8514, ?

(a)

for tariff item 8514 10 00 and the entries relating thereto, the following shall be substituted, namely : ?

?- Resistance heated furnaces and ovens :

8514 11 00

- - Hot isostatic presses

u

7.5%

8514 19 00

- - Other

u

7.5%

(b)

for sub-heading 8514 30, tariff items 8514 30 10 and 8514 30 90 and the entries relating thereto, the following shall be substituted, namely : ?

?- Other furnaces and ovens :

8514 31 00

- - Electron beam furnaces

u

7.5%

8514 32 00

- - Plasma and vacuum arc furnaces

u

7.5%

8514 39 00

- - Other

u

7.5%

(x)

in heading 8517, ?

(a)

in the entry in column (2) occurring against the heading 8517, for the words ?including TELEPHONES?, the words ?including SMARTPHONES AND OTHER TELEPHONES? shall be substituted;

(b)

in the entry in column (2) occurring after the heading 8517 and the entry relating thereto, for the words "including telephones", the words "including smartphones and other telephones" shall be substituted;

(c)

for sub-heading 8517 12, tariff items 8517 12 11 to 8517 12 90 and the entries relating thereto, the following shall be substituted, namely :—

8517 13 00

- - Smartphones

u

20%

8517 14 00

- - Other telephones for cellular networks or for other wireless networks

u

20%

(d)

for sub-heading 8517 70, tariff items 8517 70 10 and 8517 70 90 and the entries relating thereto, the following shall be substituted, namely :—

— Parts :

8517 71 00

- - Aerials and aerial reflectors of all kinds; parts suitable for use therewith

u

20%

8517 79

- - Other :

8517 79 10

- - - Populated, loaded or stuffed printed circuit boards

u

20%

8517 79 90

- - - Other

u

15%

(xi)

in heading 8519, tariff item 8519 50 00 and the entries relating thereto shall be omitted;

(xii)

after tariff item 8523 80 90, the following shall be inserted, namely :—

8524

FLAT PANEL DISPLAY MODULES, WHETHER OR NOT INCORPORATING TOUCH-SENSITIVE SCREENS

- Without drivers or control circuits :

8524 11 00

- - Of liquid crystals

8524 12 00

- - Of organic light-emitting diodes (OLED)

u

15%

8524 19 00

- - Other

u

15%

- Other :

8524 91 00

- - Of liquid crystals

u

15%

8524 92 00

- - Of organic light-emitting diodes (OLED)

u

15%

8524 99 00

- - Other

u

15%

(xiii)

in heading 8525, for sub-heading 8525 80, tariff items 8525 80 10 to 8528 80 90 and the entries relating thereto, the following shall be substituted, namely : ?

?- Television cameras, digital cameras and video camera recorders :

8525 81 00

- - High-speed goods as specified in Subheading Note 1 to this Chapter

u

20%

8525 82 00

- - Other, radiation-hardened or radiation-tolerant goods as specified in Sub-heading Note 2 to this Chapter

u

20%

8525 83 00

- - Other, night vision goods as specified in Sub-heading Note 3 to this Chapter

u

20%

8525 89 00

- - Other

u

20%

(xiv)

in heading 8529, ?

(a)

in the entry in column (2) occurring against the heading 8529, for the figures ?8525?, the figures ?8524? shall be substituted;

(b)

tariff item 8529 90 30 and the entries relating thereto shall be omitted;

(xv)

in heading 8539, ?

(a)

in the entry in column (2) occurring against the heading 8539, for the words and brackets ?LIGHT-EMITTING DIODE (LED) LAMPS?, the words and brackets ?LIGHT-EMITTING DIODE (LED) LIGHT SOURCES? shall be substituted;

(b)

for tariff item 8539 50 00 and the entries relating thereto, the following shall be substituted, namely :?

?- Light-emitting diode (LED) light sources :

8539 51 00

- - Light-emitting diode (LED) modules

u

20%

8539 52 00

- - Light-emitting diode (LED) lamps

u

20%

(xvi)

in heading 8541, ?

(a)

for the entry in column (2) occurring against the heading 8541 , the following entry shall be substituted, namely :?

?SEMICONDUCTOR DEVICES (FOR EXAMPLE, DIODES, TRANSISTORS, SEMICONDUCTOR BASED TRANSDUCERS); PHOTSENSITIVE SEMICONDUCTOR DEVICES, INCLUDING PHOTOVOLTAIC CELLS WHETHER OR NOT ASSEMBLED IN MODULES OR MADE UP INTO PANELS; LIGHT-EMITTING DIODES (LED), WHETHER OR NOT ASSEMBLED WITH OTHER LIGHT-EMITTING DIODES (LED); MOUNTED PIEZO-ELECTRIC CRYSTALS?;

(b)

for sub-heading 8541 40, tariff items 8541 40 11 to 8541 50 00 and the entries relating thereto, the following shall be substituted, namely : ?

?- Photosensitive semiconductor devices, including photovoltaic cells whether or not assembled in modules or made up into panels; light-emitting diodes (LED) :

8541 41 00

- - Light-emitting diodes (LED)

u

free

8541 42 00

- - Photovoltaic cells not assembled in modules or made up into panels

u

20%

8541 43 00

- - Photovoltaic cells assembled in modules or made up into panels

u

20%

8541 49 00

- - Other

u

20%

- Other semiconductor devices :

8541 51 00

- - Semiconductor-based transducers

u

20%

8541 59 00

- - Other

u

20%

(xvii)

in heading 8543, after tariff item 8543 30 00 and the entries relating thereto, the following shall be inserted , namely :?

?8543 40 00

- Electronic cigarettes and similar personal electric vaporising devices

u

7.5%

(xviii)

for heading 8548, sub-heading 8548 10, tariff items 8548 10 10 to 8548 90 00 and the entries relating thereto, the following shall be substituted, namely :?

?8548 00 00

electrical parts of machinery or apparatus, not specified or included elsewhere in this chapter

u

10%

8549

ELECTRICAL AND ELECTRONIC WASTE AND SCRAP

- Waste and scrap of primary cells, primary batteries and electric accumulators; spent primary cells, spent primary batteries and spent electric accumulators :

8549 11 00

- - Waste and scrap of lead-acid accumulators; spent lead-acid accumulators

kg.

10%

8549 12 00

- - Other, containing lead, cadmium or mercury

kg.

10%

8549 13 00

- - Sorted by chemical type and not containing lead, cadmium or mercury

kg.

10%

8549 14 00

- - Unsorted and not containing lead, cadmium or mercury

kg.

10%

8549 19 00

- - Other

kg.

10%

- Of a kind used principally for the recovery of precious metal :

8549 21 00

- - Containing primary cells, primary batteries, electric accumulators, mercury-switches, glass from cathode ray tubes or other activated glass, or electrical or electronic components containing cadmium, mercury, lead or polychlorinated biphenyls (PCBs)

kg.

10%

8549 29 00

- - Other

kg.

10%

- Other electrical and electronic assemblies and printed circuit boards :

8549 31 00

- - Containing primary cells, primary batteries, electric accumulators, mercury-switches, glass from cathode ray tubes or other activated glass, or electrical or electronic components containing cadmium, mercury, lead or polychlorinated biphenyls (PCBs)

kg.

10%

8549 39 00

- - Other

kg.

10%

- Other :

8549 91 00

- - Containing primary cells, primary batteries, electric accumulators, mercury-switches, glass from cathode ray tubes or other activated glass, or electrical or electronic components containing cadmium, mercury, lead or polychlorinated biphenyls (PCBs)

kg.

10%

8549 99 00

- - Other

kg.

10%

(62)

in Section XVII, in Note 1, in clause (k), for the words "lamps or lighting fittings", the words "luminaires and lighting fittings and parts thereof" shall be substituted;

(63)

in Chapter 87, ?

(i)

after Note 4, the following shall be inserted, namely : ?

?Sub-heading Note:

1. Sub-heading 8708 22 covers :

(a)

front windcreens (windshields), rear windows and other windows, framed; and

(b)

front windcreens (windshields), rear windows and other windows, whether or not framed, incorporating heating devices or other electrical or electronic devices,

when suitable for use solely or principally with the motor vehicles of headings 8701 to 8705.?

(ii)

in heading 8701, for sub-heading 8701 20, tariff items 8701 20 10 and 8701 20 90 and the entries relating thereto, the following shall be substituted, namely :?

?- Road tractors for semi-trailers :

8701 21 00

- - With only compression-ignition internal combustion piston engine (diesel or semi-diesel)

u

10%

8701 22 00

- - With both compression-ignition internal combustion piston engine (diesel or semi-diesel) and electric motor as motors for propulsion

u

10%

8701 23 00

- - With both spark-ignition internal combustion piston engine and electric motor as motors for propulsion

u

10%

8701 24 00

- - With only electric motor for propulsion

u

10%

8701 29 00

- - Other

u

10%

(iii)

in heading 8702, in the entry in column (2) occurring against sub-heading 8702 30, the word "reciprocating" shall be

omitted;

(iv)

in heading 8703, in the entry in column (2),?

(a)

occurring after tariff item 8703 10 90 and the entries relating thereto, the word "reciprocating" shall be omitted;

(b)

occurring against sub-heading 8703 40, the word "reciprocating" shall be omitted;

(c)

occurring against sub-heading 8703 60, the word "reciprocating" shall be omitted;

(v)

in heading 8704, for tariff item 8704 10 90, sub-heading 8704 21, tariff items 8704 21 10 to 8704 21 90, sub-heading 8704 22, tariff items 8704 22 11 to 8704 22 90, subheading 8704 23, tariff items 8704 23 11 to 8704 23 90, sub-heading 8704 31, tariff items 8704 31 10 to 8704 31 90, sub-heading 8704 32, tariff items 8704 32 11 to 8704 32 90 and the entries relating thereto, the following shall be substituted, namely :?

- Other, with only compression-ignition internal combustion piston engine (diesel or semi-diesel) :

8704 21 00

- - g.v.w. not exceeding 5 tonnes

u

40%

8704 22 00

- - g.v.w. exceeding 5 tonnes but not exceeding 20 tonnes

u

40%

8704 23 00

- - g.v.w. exceeding 20 tonnes

u

40%

- Other, with only spark-ignition internal combustion piston engine :

8704 31 00

- - g.v.w. not exceeding 5 tonnes

u

40%

8704 32 00

- - g.v.w. exceeding 5 tonnes

u

40%

- Other, with both compression-ignition internal combustion piston engine (diesel or semi-diesel) and electric motor as motors for propulsion :

8704 41 00

- - g.v.w. not exceeding 5 tonnes

u

40%

8704 42 00

- - g.v.w. exceeding 5 tonnes but not exceeding 20 tonnes

u

40%

8704 43 00

- - g.v.w. exceeding 20 tonnes

u

40%

- Other, with both spark-ignition internal combustion piston engine and electric motor as motors for propulsion :

8704 51 00

- - g.v.w. not exceeding 5 tonnes

u

40%

8704 52 00

- - g.v.w. exceeding 5 tonnes

u

40%

8704 60 00

- Other with only electric motor for propulsion

u

40%

(vi)

in heading 8708, after tariff item 8708 21 00 and the entries relating thereto, the following shall be inserted, namely :-

?8708 22 00

- - Front windcreens (windshields), rear windows and other windows specified in Subheading Note 1 to this Chapter kg.

15%

(vii)

in heading 8711, in the entry in column (2),?

(a)

occurring against sub-heading 8711 10, the word ?reciprocating? shall be omitted;

(b)

occurring against sub-heading 8711 20, the word ?reciprocating? shall be omitted;

(c)

occurring against sub-heading 8711 30, the word ?reciprocating? shall be omitted;

(d)

occurring against sub-heading 8711 40, the word ?reciprocating? shall be omitted;

(e)

) occurring against tariff item 8711 50 00, the word ?reciprocating? shall be omitted;

(64)

in Chapter 88, ?

(i)

for the Note, the following shall be substituted, namely :?

?Note:

1. For the purposes of this Chapter, the expression ?unmanned aircraft? means any aircraft, other than those of heading 8801, designed to be flown without a pilot on board. They may be designed to carry a payload or equipped with permanently integrated digital cameras or other equipment which would enable them to perform utilitarian functions during their flight.

The expression ?unmanned aircraft?, however, does not cover flying toys, designed solely for amusement purposes (heading 9503).

Sub-heading Notes:

1. For the purposes of sub-headings 8802 11 to 8802 40, the expression ?unladen weight? means the weight of the machine in normal flying order, excluding the weight of the crew and of fuel and equipment other than permanently fitted items of equipment.

2. For the purposes of sub-headings 8806 21 to 8806 24 and 8806 91 to 8806 94, the expression "maximum take-off weight" means the maximum weight of the machine in normal flying order, at take-off, including the weight of payload, equipment and fuel.?

(ii)

in heading 8802, in the entry in column (2) occurring against the heading 8802, for the word ?AIRCRAFT?, the words ?AIRCRAFT, EXCEPT UNMANNED AIRCRAFT OF HEADING 8806? shall be substituted;

- (iii)
heading 8803, tariff items 8803 10 00 to 8803 90 00 and the entries relating thereto shall be omitted;
- (iv)
after tariff item 8805 29 00 and the entries relating thereto, the following shall be inserted, namely :?
- 8806
UNMANNED AIRCRAFT
- 8806 10 00
- Designed for the carriage of passengers
u
10%
- Other, for remote-controlled flight only :
8806 21 00
- - With maximum take-off weight not more than 250 g
u
10%
8806 22 00
- - With maximum take-off weight more than 250 g but not more than 7 kg
u
10%
8806 23 00
- - With maximum take-off weight more than 7 kg but not more than 25 kg
u
10%
8806 24 00
- - With maximum take-off weight more than 25 kg but not more than 150 kg
u
10%
8806 29 00
- - Other
u
10%
- Other :
8806 91 00
- - With maximum take-off weight not more than 250 g
u
10%
8806 92 00
- - With maximum take-off weight more than
u
10%
250 g but not more than 7 kg
8806 93 00
- - With maximum take-off weight more than 7 kg but not more than 25 kg
u
10%
8806 94 00
- - With maximum take-off weight more than 25 kg but not more than 150 kg
u
10%
8806 99 00
- - Other

u

10%

8807

PARTS OF GOODS OF HEADING 8801, 8802 OR 8806

8807 10 00

- Propellers and rotors and parts thereof

kg.

3%

8807 20 00

- Under-carriages and parts thereof

kg.

3%

8807 30 00

- Other parts of airplanes, helicopters or unmanned aircraft

kg.

3%

8807 90 00

- Other

kg.

10%

(65)

in Chapter 89, in heading 8903, for tariff items 8903 10 00 to 8903 92 00, sub-heading 8903 99, tariff items 8903 99 10 and 8903 99 90 and the entries relating thereto, the following shall be substituted, namely :?

?- Inflatable (including rigid hull inflatable) boats :

8903 11 00

- - Fitted or designed to be fitted with a motor, unladen (net) weight (excluding the motor) not exceeding 100 kg

u

25%

8903 12 00

- - Not designed for use with a motor and unladen (net) weight not exceeding 100 kg

u

25%

8903 19 00

- - Other

u

25%

- Sailboats, other than inflatable, with or without auxiliary motor :

8903 21 00

- - Of a length not exceeding 7.5 m

u

25%

8903 22 00

- - Of a length exceeding 7.5 m but not exceeding 24 m

u

25%

8903 23 00

- - Of a length exceeding 24 m

u

25%

- Motorboats, other than inflatable, not including outboard motorboats :

8903 31 00

- - Of a length not exceeding 7.5 m

u

25%

8903 32 00

- - Of a length exceeding 7.5 m but not exceeding 24 m

u

25%

8903 33 00

- - Of a length exceeding 24 m

u

25%

- Other :

8903 93 00

- - Of a length not exceeding 7.5 m

u

25%

8903 99 00

- - Other

u

25%

(66)

in Chapter 90, ?

(i)

in Note 1, for clause (f), the following clause shall be substituted, namely :?

?(f) parts of general use, as defined in Note 2 to Section XV, of base metal (Section XV) or similar goods of plastics (Chapter 39); however, articles specially designed for use exclusively in implants in medical, surgical, dental or veterinary sciences are to be classified in heading 9021;?;

(ii)

in heading 9006, ?

(a)

tariff items 9006 51 00 and 9006 52 00, and the entries relating thereto shall be omitted;

(b)

for the entry in column (2) occurring against sub-heading 9006 53, the following entry shall be substituted, namely:?

?- - For roll film of a width of 35 mm:?;

(iii)

in heading 9013, ?

(a)

for the entry in column (2) occurring against heading 9013, the following entry shall be substituted, namely: ?

?LASERS, OTHER THAN LASER DIODES; OTHER OPTICAL APPLIANCES AND INSTRUMENTS, NOT SPECIFIED OR INCLUDED ELSEWHERE IN THIS CHAPTER?;

(b)

for sub-heading 9013 80, tariff items 9013 80 10 and 9013 80 90, sub-heading 9013 90 and tariff items 9013 90 10 and 9013 90 90, the following shall be substituted, namely: ?

?9013 80 00

- Other devices, appliances and instrument

u

7.5%

9013 90 00

- Parts and accessories

u

7.5%

(iv)

in heading 9022, ?

(a)

in the entry in column (2) occurring against heading 9022, for the words ?OR GAMMA?, the words ?, GAMMA OR OTHER IONISING? shall be substituted;

(b)

in the entry in column (2) occurring after tariff item 9022 19 00 and the entries relating thereto, for the words ?or gamma?, the words ?, gamma or other ionising? shall be substituted;

(v)

in heading 9027, for sub-heading 9027 80, tariff items 9027 80 10 to 9027 80 90 and the entries relating thereto, the following shall be substituted, namely :?

?- Other instruments and apparatus :

9027 81 00

- - Mass spectrometers

u

Free

9027 89

- - Other:

9027 89 10

- - - Viscometers

u

Free

9027 89 20

- - - Calorimeters

u

Free

9027 89 30

- - - Instruments and apparatus for measuring the surface or interfacial tension of liquids

u

Free

9027 89

- - - Other

u

Free

(vi)

in heading 9030, ?

(a)

in the entry in column (2) occurring after tariff item 9030 20 00 and the entries relating thereto, for the word ?power?, the words and brackets ?power (other than those for measuring or checking semiconductor wafers or devices)? shall be substituted;

(b)

for the entry in column (2) occurring against tariff item 9030 82 00, the following shall be substituted, namely :?

?- - For measuring or checking semiconductor wafers or devices (including integrated circuits)?;

(vii)

in heading 9031, for the entry in column (2) occurring against tariff item 9031 41 00, the following entry shall be substituted, namely :?

?- - For inspecting semiconductor wafers or devices (including integrated circuits) or for inspecting photomasks or reticles used in manufacturing semiconductor devices (including integrated circuits)?;

(67)

in Chapter 91, ?

(i)

sub-heading 9114 10, tariff items 9114 10 10 and 9114 10 20 and the entries relating thereto shall be omitted;

(ii)
after tariff item 9114 90 30 and the entries relating thereto, the following shall be inserted, namely :?
9114 90 40

- - - Springs, including hair-springs

kg.

10%

(68)

in Chapter 94, ?

(i)
in the Chapter heading, for the words ?lamps and lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;

(ii)
in Note 1,?

(A)
in clause (f), for the words ?lamps and lighting fittings?, the words ?lamps or light sources and parts thereof? shall be substituted;

(B)
in clause (l),-

(a)
for the words ?lamps or lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;

(b)
for the words ?electric garlands?, the words ?lighting strings? shall be substituted;

(iii)
for Note 4, the following Note shall be substituted, namely :?

?4. For the purposes of heading 9406, the expression ?prefabricated buildings? means buildings which are finished in the factory or put up as elements, presented together, to be assembled on site, such as housing or worksite accommodation, offices, schools, shops, sheds, garages or similar buildings.

?Prefabricated buildings include "modular building units" of steel, normally presented in the size and shape of a standard shipping container, but substantially or completely pre-fitted internally. Such modular building units are normally designed to be assembled together to form permanent buildings.?

(iv)
in heading 9401, ?

(a)
for tariff items 9401 30 00 and 9401 40 00 and the entries relating thereto, the following shall be substituted, namely :?

?- Swivel seats with variable height adjustment :

9401 31 00

- - Of wood

u

25%

9401 39 00

- - Other

u

25%

- Seats other than garden seats or camping equipment, convertible into beds :

9401 41 00

- - Of wood

u

25%

9401 49 00

- - Other

u

25%

(b)

for tariff item 9401 90 00 and the entries relating thereto, the following shall be substituted, namely :?

?- Parts :

9401 91 00

- - Of wood

kg.

25%

9401 99 00

- - Other

kg.

25%

(v)

in heading 9403, for tariff item 9403 90 00 and the entries relating thereto, the following shall be substituted, namely :?

?- Parts :

9401 91 00

- - Of wood

kg.

25%

9401 99 00

- - Other

kg.

25%

(vi)

in heading 9404, ?

(a)

after tariff item 9404 30 90 and the entries relating thereto, the following shall be inserted, namely :?

?9404 40

- Quilts, bedspreads, eiderdowns and duvets (comforters):

9404 40 10

- - - Quilts

u

25%

9404 40 20

- - - Bedspreads

u

25%

9404 40 30

- - - Eiderdowns

u

25%

9404 40 40

- - - Duvets (comforters)

u

25%

(b)

for sub-heading 9404 90, tariff items 9404 90 11 to 9404 90 99 and the entries relating thereto, the following shall be substituted, namely :?

?9404 90 00

- Other

kg.

25%

(vii)

in heading 9405, ?

(a)

in the entry in column (2) occurring against heading 9405, for the words ?LAMPS AND LIGHTING FITTINGS?, the words ?LUMINAIRES AND LIGHTING FITTINGS? shall be substituted;

(b)

for sub-heading 9405 10, tariff items 9405 10 10 to 9405 10 90, sub-heading 9405 20, tariff items 9405 20 10 to 9405 30 00, sub-heading 9405 40, tariff items 9405 40 10 and 9405 40 90, sub-heading 9405 50, tariff items 9405 50 10 to 9405 50 59, subheading 9405 60, tariff items 9405 60 10 and 9405 60 90 and the entries relating thereto, the following shall be substituted, namely :?

?- Chandeliers and other electric ceiling or wall lighting fittings, excluding those of a kind used for lighting public open spaces or thoroughfares :

9405 11 00

- - Designed for use solely with light-emitting diode (LED) light sources

U

25% -

9405 19 00

- - Other

u

25% -

- Electric table, desk, bedside or floor-standing luminaires :

25% -

9405 21 00

- - Designed for use solely with light-emitting diode (LED) light sources

u

9405 39 00

- - Other

u

25% -

- Other electric luminaires and lighting fittings :

u

9405 41 00

- - Photovoltaic, designed for use solely with light- emitting diode (LED) light sources

u

25% -

9405 42 00

- - Other, designed for use solely with light-emitting diode (LED) light sources

u

25% -

9405 49 00

- - Other

u

25% -

9405 50 00

- Non-electrical luminaires and lighting fittings

u

25% -

- Illuminated signs, illuminated name-plates and the like :

9405 61 00

- - Designed for use solely with light-emitting diode (LED) light sources

u

25% -

9405 69 00

- - Other

U

25% -?;

(viii)

in heading 9406, after tariff item 9406 10 90 and the entries relating thereto, the following shall be inserted, namely :?

?9406 20 00

- Modular building units, of steel

U

10% -?;

(69)

in Chapter 95, ?

(i)

in Note 1, ?

(A)

after clause (o), the following clause shall be inserted, namely :?

? (p) unmanned aircraft (heading 8806);?;

(B)

the existing clauses (p), (q), (r), (s), (t), (u), (v) and (w) shall respectively be relettered as clauses (q), (r), (s), (t), (u), (v), (w) and (x);

(b)

after Note 5, the following Note shall be inserted, namely :?

?6. For the purposes of heading 9508 :

(a)

The expression ?amusement park rides? means a device or combination of devices or equipment that carry, convey, or direct a person or persons over or through a fixed or restricted course, including watercourses, or within a defined area for the primary purposes of amusement or entertainment. Such rides may be combined within an amusement park, theme park, water park or fairground. These amusement park rides do not include equipment of a kind commonly installed in residences or playgrounds;

(b)

The expression ?water park amusements? means a device or combination of devices or equipment that are characterized by a defined area involving water, with no purposes built path. Water park amusements only include equipment designed specifically for water parks; and

(c)

The expression ?fairground amusements? means games of chance, strength or skill, which commonly employ an operator or attendant and may be installed in permanent buildings or independent concession stalls. Fairground amusements do not include equipment of heading 9504.

This heading does not include equipment more specifically classified elsewhere in the Nomenclature.?

(ii)

in heading 9504, for the entry in column (2) occurring against the heading 9504, the following entry shall be substituted, namely :?

?VIDEO GAME CONSOLES AND MACHINES, TABLE OR PARLOUR GAMES, INCLUDING PINTABLES, BILLIARDS, SPECIAL TABLES FOR CASINO GAMES AND AUTOMATIC BOWLING EQUIPMENT, AMUSEMENT MACHINES OPERATED BY COINS, BANK NOTES, BANK CARDS, TOKENS OR BY ANY OTHER MEANS OF PAYMENT?;

(iii)

for heading 9508, tariff items 9508 10 00 and 9508 90 00 and the entries relating thereto, the following shall be substituted, namely :?

?9508 TRAVELLING CIRCUSES AND TRAVELLING MENAGERIES; AMUSEMENT PARK RIDES AND WATER PARK

AMUSEMENTS; FAIRGROUND AMUSEMENTS, INCLUDING SHOOTING GALLERIES; TRAVELLING THEATRES

9508 10 00 -

- Travelling circuses and travelling menageries

kg.

20% -

- Amusement park rides and water park amusements :

9508 21 00

- - Roller coasters

U

20% -

9508 22 00

- - Carousels, swings and roundabouts

U

20% -

9508 23 00

- - Dodge?em cars

20% -

9508 24 00

- - Motion simulators and moving theatres

20% -

9508 25 00

- - Water rides

u

20% -

9508 26 00

- - Water park amusements

u

20% -

9508 29 00

- - Other

u

20% -

9508 30 00

- Fairground amusements

u

20% -

9508 40 00

- Travelling theatres

U

20% -?;

(70)

in Chapter 96, ?

(i)

in Note 1, in clause (k), for the words ?lamps and lighting fittings?, the words ?luminaires and lighting fittings? shall be substituted;

(ii)

for the entry in column (2) occurring against tariff item 9609 10 00, the following entry shall be substituted, namely :?

?- Pencils and crayons, with leads encased in a sheath?;

(iii)

for heading 9617, sub-heading 9617 00, tariff item 9617 00 11 and the entries relating thereto, the following shall be substituted, namely :?

9617

VACUUM FLASKS AND OTHER VACUUM VESSELS, COMPLETE; PARTS THEREOF OTHER THAN GLASS INNERS

9617 00

- Vacuum flasks and other vacuum vessels, complete; parts thereof other than glass inners:

- - Vacuum flasks and other vacuum vessels, complete:

9617 00 11

- - - Vacuum flasks having a capacity not exceeding 0.75 l

kg.

20% -?;

(iv)

for heading 9619, sub-heading 9619 00 and the entries relating thereto, the following shall be substituted, namely :?

9619 SANITARY TOWELS (PADS) AND TAMPONS, NAPKINS (DIAPERS), NAPKIN LINERS AND SIMILAR ARTICLES, OF ANY MATERIAL

9619.

00 - Sanitary towels (pads) and tampons, napkins (diapers), napkin liners and similar articles, of any material:?

(71)

in Chapter 97, ?

(i)

after Note 1, the following Note shall be inserted, namely :?

?2. Heading 9701 does not apply to mosaics that are mass-produced reproductions, casts or works of conventional craftsmanship of a commercial character, even if these articles are designed or created by artists.?

(ii)

the existing Notes 2, 3, 4 and 5 shall respectively be re-numbered as Notes 3, 4, 5 and 6;

(iii)

for heading 9701, sub-heading 9701 10, tariff items 9701 10 10 to 9701 10 90, subheading 9701 90, tariff items 9701 90 91 to 9701 90 99, and the entries relating thereto, the following shall be substituted, namely :?

9701 PAINTINGS, DRAWINGS AND PASTELS, EXECUTED ENTIRELY BY HAND, OTHER THAN DRAWINGS OF HEADING 4906 AND OTHER THAN HAND- PAINTED OR HANDDECORATED MANUFACTURED ARTICLES; COLLAGES, MOSAICS AND SIMILAR DECORATIVE PLAQUES

- Of an age exceeding 100 years :

- Of an age exceeding 100 years :

9701 21 00

- - Paintings, drawings and pastels

U

10% -

9701 22 00

- - Mosaics

u

10% -

9701 29 00

- - Other

U

10% -

- Other :

10% -

9701 91 00

- - Paintings, drawings and pastels

u

10% -

9701 92 00

- - Mosaics

u

10% -

9701 99 00

- - Other

u

10% -?;

(iv)

for tariff item 9702 00 00 and the entries relating thereto, the following shall be substituted, namely :?

9702

ORIGINAL ENGRAVINGS, PRINTS AND LITHOGRAPHS

9702 10 00

- Of an age exceeding 100 years

u

10% -

9702 90 00

- Other

u

10% -?;

(v)

for heading 9703, sub-heading 9703 00, tariff items 9703 00 10 to 9703 00 90 and the entries relating thereto, the following shall be substituted, namely :?

9703 10

- Of an age exceeding 100 years :

9703 10 10

- - - Of metal

u

10% -

9703 10 20

- - - Of stone

u

10% -

9703 10 90

- - - Other

u

10% -

9703 90

- Other :

u

10% -

9703 90 10

- - - Of metal

u

10% -

9703 90 20

- - - Of stone

u

10% -

9703 90 90

- - - Other

u

10% -?;

(vi)

for heading 9705, sub-heading 9705 00, tariff items 9705 00 10 and 9705 00 90 and the entries relating thereto, the following shall be substituted, namely :?

?9705 COLLECTIONS AND COLLECTORS' PIECES OF ARCHAEOLOGICAL, ETHNOGRAPHIC, HISTORICAL, ZOOLOGICAL, BOTANICAL, MINERALOGICAL, ANATOMICAL, PALEONTOLOGICAL, OR NUMISMATIC INTEREST

9705 10 00

- Collections and collectors' pieces of archaeological, ethnographic or historical interest

U

10% -

- Collections and collectors' pieces of zoological, botanical, mineralogical, anatomical or paleontological interest :

9705 21 00

- - Human specimens and parts thereof

U

10% -

9705 22 00

- - Extinct or endangered species and parts thereof

u

10% -

9705 29 00

- - Other

U

10% -

- Collections and collectors' pieces of numismatic interest :

9705 31 00

- - Of an age exceeding 100 years

u

10% -

9705 39 00

- - Other

u

10% -?;

(vii)

for tariff item 9706 00 00 and the entries relating thereto, the following shall be substituted, namely :?

?9706

ANTIQUES OF AN AGE EXCEEDING 100 YEARS

9706 10 00

- Of an age exceeding 250 years

u

10% -

9709 90 00

- Other

u

10% -?

THE FIFTH SCHEDULE

[See section 96(i)]

In the Fourth Schedule to the Central Excise Act, in Chapter 27, for heading 2709, tariff items 2709 10 00 and 2709 20 00 and the entries relating thereto, the following shall be substituted, namely :??

Tariff Item

Description of goods

Unit

Rate of Duty

(1)

(2)

_(3)

(4)

2709 00

-- Petroleum oils and oils obtained from bituminous minerals, crude

2709 00 10

--- Petroleum crude

kg.

Nil

2709 00 90

--- Other

kg.

?.. ?.

THE SIXTH SCHEDULE

[See section 96 (ii)]

In the Fourth Schedule to the Central Excise Act,??

Tariff Item

Description of goods

Unit

Rate of Duty

(1)

(2)

_(3)

(4)

(a)

in SECTION IV, for Section heading, the following Section heading shall be substituted, namely:??

?TOBACCO AND MANUFACTURED TOBACCO SUBSTITUTES; PRODUCTS, WHETHER OR NOT CONTAINING NICOTINE, INTENDED FOR INHALATION WITHOUT COMBUSTION; OTHER NICOTINE CONTAINING PRODUCTS INTENDED FOR THE INTAKE OF NICOTINE INTO THE HUMAN BODY?;

(b)

in Chapter 24,??

(i)

for Chapter heading, the following Chapter heading shall be substituted, namely:??

?Tobacco and manufactured tobacco substitutes; products, whether or not containing nicotine, intended for inhalation without combustion; other nicotine containing products intended for the intake of nicotine into the human body?;

(ii)

after Note 3, the following Notes shall be inserted, namely:??

?4. Any products classifiable in heading 2404 and any other heading of the Chapter are to be classified in heading 2404.

5. For the purposes of heading 2404, the expression ?inhalation without combustion? means inhalation through heated delivery or other means, without combustion.?;

(iii)

after tariff item 2403 99 90 and the entries relating thereto, the following shall be inserted, namely :?

?2404 PRODUCTS CONTAINING TOBACCO, RECONSTITUTED TOBACCO, NICOTINE, OR TOBACCO OR NICOTINE SUBSTITUTES, INTENDED FOR INHALATION WITHOUT COMBUSTION; OTHER NICOTINE CONTAINING PRODUCTS INTENDED FOR THE INTAKE OF NICOTINE INTO THE HUMAN BODY

2404 11 00

- Containing tobacco or reconstituted tobacco

kg.

81%

2404 12 00

- - Other, containing nicotine

kg.

?..

2404 19 00

- Other:

kg.

81%

2404 91 00

- Other:

kg.

?..

2404 92 00

- - For transdermal application

kg.

?..

2404 99 00

- -Other

kg.

?..

THE SEVENTH SCHEDULE

[See section 125 (1)]

Item No

Description of goods

Rate

(1)

(2)

(3)

1.

Motor spirit commonly known as petrol

Rs. 2.50 per litre

2.

High speed diesel

Rs. 4.00 per litre

Related AI tags, queries and research notes

Translation